



CAP III Notes

Summary Notes of Advanced Auditing and Assurance

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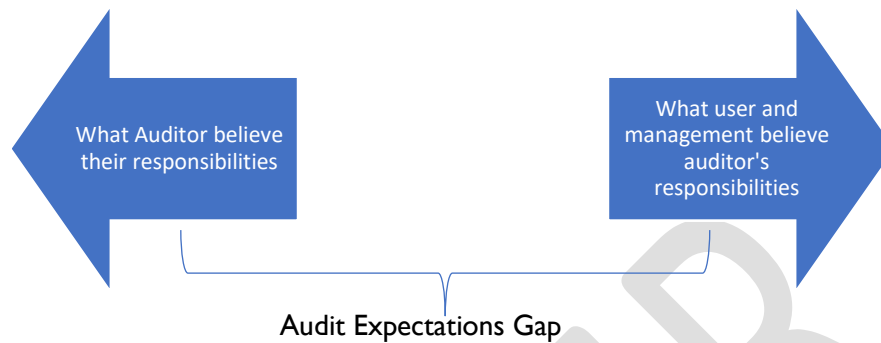
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- ✓ **Meaning of Audit:** Independent examination of historical financial information based on Nepal Standard of auditing of any legal entities which is profit oriented or not of any size to express the opinion.
- ✓ **Importance of Audit** (Safeguards for stakeholders, moral check on employees and manager, settlement of trade and labor disputes, detection of wages and minimization the same, review the internal control system, settlement of accounts of partner and retiring directors, basis for purchase consideration, and decision for prospective investors.
- ✓ **Threats to Independence (FASIS)**
 - a) **Self Interest threat** – have investments or obtained loan from auditee, relatives, substantial fees, contingent fees, gifts and hospitality, potential employment in an audit client.
 - b) **Self-Review Threat** : (Auditor was the immediate employee/manager of an audit client, prepare the subject matter and audit on the basis of same subject matter, same audit team were engaged in internal audit and external audit)
 - c) **Advocacy threat** : Acting as an advocate on behalf of an audit client in litigation, promoting audit clients.
 - d) **Familiarity Threat** : Long association of senior staff in same audit client, former partner is on top management of the audit client, audit client has close relative of the audit team)
 - e) **Intimidation Threat:** Threat of reducing fees, replacement, dominant personality in a senior position)
- ✓ **Safeguards of Threat:**
 - a) **Created by profession, legislation and Regulator:** provided trainings, monitoring and disciplinary procedures, external review and other regulatory requirements such as investments, appointments policy, code of ethics etc.
 - b) **Within Audit Client:** appointment and ratifications authority shall be different, competent employees, policies and procedures, internal procedures to ensure objective choice in commissioning non-audit services, corporate governance structures
 - c) **Within Audit Firm:** Quality control of audit engagements (NSQC I manual and its implementation), training for audit team, etc.

Summary Version of Safeguard to Threat

Safeguard Created by Profession, Legislation	Safeguard Created within the auditee	Safeguard created within audit firm
Rules and Regulation	Competent and efficient staff	Quality control policies
Disciplinary committee	Fair financial reporting	Training to staffs and personnel
Ethics standards and rules	Organizational culture and management	
Review and monitoring audit work by regulatory bodies	Knowledge about independence of auditor and importance of audits	
Professional educator standards		
Code of Ethics		
Continuous Professional Education (CPE)		

- ✓ **Objectives of Audit:**
 - a) **Primary Objective:** To express the opinion
 - b) **Secondary Objective:** To detect material misstatements due to fraud and error
- ✓ **Audit Expectation Gap**



It refers to the gap between the expectation of users of FS and the duties of the auditors. In other words, AEG refers to the difference between what the users of FS believe the responsibility of auditors and what actually the auditors are responsible for.

For Example: The users may expect the auditor to detect and report all the misstatements but due to the inherent limitation it is not possible for auditor to report all the misstatements. Therefore, it is necessary to reduce the expectation gap before starting the audit so that any future conflict between the management and audit can be avoided.

The following points are responsible for reducing the expectation gap.

- i. Auditor should notify the management about his duties.
 - ii. The user must understand about the inherent limitations of audit
 - iii. Auditor and management must agree in terms of agreement before starting the audit
 - iv. Auditor must have time to time communication to understand the specific need of audit.
- ✓ **Why the auditor cannot express absolute assurance (due to inherent limitations of audit):** due to Test check, financial statements and prepared on the basis of judgement and estimates, management may not provide required information, audit evidence may be persuasive rather than conclusive, due to inherent limitation of internal control system, competency within audit firm etc.

Quality of Auditor

- a) **Integrity, objectivity and independence:** Ethical, straightforward and unbiased
- b) **Confidentiality:** Not to disclose confidential information of clients.
- c) **Knowledge:** Proper knowledge of business, laws and regulations
- d) **Communication skills:** proper communication skills to interact with various level of staff/management
- e) **Logical and technical Skills:** Apply proper logical skills when required
- f) **Tactfulness:** proper management skills

Concept of True and Fair View

Auditor cannot express true and correct opinion due to Inherent limitations of audit. The question is when can the auditor express true and fair view? Below conditions should be fulfilled for expressing True and Fair view opinion,

- i. Financial statements are prepared on the basis of AFRF
- ii. Complied with all applicable Laws and Regulations
- iii. Arithmetical accuracy
- iv. Obtained SAAE
- v. Properly disclosed all the required information
- vi. Classification of Capital and revenue expenditure
- vii. FS is free from material misstatements
- viii. Assets and liabilities are presents in their fair value.

Auditor is watchdog not a bloodhound. “Explain”

In case of Kingston cotton Mills (1896), the shareholders of the company sued their auditors for non-detection of misstatements and asked auditors for compensation.

On careful examination it was held that auditors had conducted the audit as per Basic Principle Governing Audit. Since the audit has its own limitation, the auditor cannot be expected to detect all the misstatements because the objective of auditor is not to detect the misstatements on the financial statements.

The above-mentioned statements are given by Justice Lopez in the case Kingston Cotton Mills (1896). According to these statements, auditor is compared to watch dog rather than bloodhound because the objective of auditor is to give true and fair view, not to hound the misstatements in financial statements. Similarly, auditor also has certain types of limits while auditing. And the auditors are not expected to detect all the misstatements. However, auditors can suggest the management to rectify the mistakes, errors and frauds while auditing the FS through BGPA. Similarly, it is the duty of management to prepare FS and detect all errors or prepare financial statements correctly.

Basic Principle Governing Audit (O-IPCC)

1. **Integrity:** the quality of being honest and having strong moral principles
2. **Professional Behavior:** the state or practice of doing one's job with skill, competence, ethics, and courtesy.
3. **Objectivity:** the quality or character of being objective, lack of favoritism toward one side or another, freedom from bias
4. **Confidentiality:** the state of keeping or being kept secret or private, auditor should maintain confidentiality of information during the course of audit. However, in the following circumstances disclosure of client's information does not amount to violation;
 - i. As required by law
 - ii. Permitted by client
 - iii. There is a professional duty or right to disclose
5. **Competency:** the ability to do something successfully or efficiently.
6. **Work Performed by other (NSA 600, 610 and 620)**
 - i. The auditor can use work performed by others such as internal auditor, component auditor and expert. But the auditor has to review properly the work before relying (using).
 - ii. Although auditor can use the work of others, he shall be solely liable for his decision.
7. **Documentation (NSA 230):** Auditor shall maintain the documentation for the period of 5 years from the date of audit report. The documentation should include all the relevant working papers and evidence.

8. Planning (NSA 300, 315, 330 and 320)

- i. The auditor must make proper audit plan and a proper audit program before start the audit
- ii. It includes identifying the nature of the entities and related internal control, identifying the Risk of Material Misstatements, assigning the staffs, communication with clients etc.

9. Audit Procedures: Audit shall perform compliance and substantive audit procedures in order to obtain audit evidence

10. Audit Evidence (NSA 500 series....)

11. Audit Reporting (NSA 700 and 800 series)

S.D.LMR

NSA 200: Overall Objective of the Independent Auditor and the Conduct of an audit in Accordance with the NSAs

Important for Exams

I) Definition of Professional judgement and Skepticism

II) Objectives of Auditor

III) Requirements of Independent Audit

- a) **Professional Judgement:** Applying knowledge, skills and experience, in a way that is also informed by professional standards / knowledge, laws and ethical principles, to develop an opinion or decision about what should be done to best serve clients.
- b) **Professional Skepticism:** having a questioning mind. being alert to anything that may indicate misstatement due to error or fraud.

Overall Objectives

1. To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework
2. To report on the financial statements, and communicate as required by the NSAs in accordance with the auditor's findings

Conduct of an audit in accordance with NSAs

1. The auditor shall comply with all NSAs relevant to the audit.' One of the matters that will need to be addressed in planning an audit is whether there are any NSAs that are not relevant. For example, in the audit of an SME that does not have an internal audit function, the requirements of NSA 610, Using the Work of Internal Auditors is irrelevant.
2. The auditor shall have an understanding of the entire text of an NSA
3. The auditor shall not represent compliance with NSAs in the auditor's report unless the auditor has complied with the requirements of this NSA and all other NSAs relevant to the audit
4. To achieve the overall objectives of the auditor, the auditor shall use the objectives stated in relevant NSAs in planning and performing the audit, having regard to the interrelationships among the NSAs
5. The auditor shall comply with each requirement of an NSA unless in the circumstances of the audit:
 - a. The entire NSA is not relevant; or
 - b. The requirement is not relevant because it is conditional, and the condition does not exist.

CA R is the auditor of SR Ltd. The auditor expressed his opinion on the financial statements without ascertaining whether the financial statements as a whole were free from material misstatements or not. In your opinion, whether CA R has complied with objectives of audit considering the applicability of relevant NSA?

Overall Objectives of the Independent Auditor: As per NSA-200 "Overall Objectives of the Independent Auditor", in conducting an audit of financial statements, the overall objectives of the auditor are:

- ✓ To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and

- ✓ To report on the financial statements, and communicate as required by the NSAs, in accordance with the auditor's findings.

In the given case of SR Ltd, CA R expressed his opinion on the financial statements of SR Ltd without obtaining reasonable assurance about whether the financial statements as a whole are free from material misstatement or not. Therefore, it can be concluded that CA R did not comply with the objective of audit as stated in NSA 200

Question- NSA 200 and fundamental principles

You are the audit manager responsible for the audit of **TechNova Solutions Limited**, a rapidly growing technology company. The audit team consists of four junior auditors, all of whom have worked on this engagement for the past three years.

During a team meeting, you observe the following discussion regarding revenue recognition:

Junior A: "TechNova has always been honest. Last year we found no issues, so I'm comfortable keeping revenue testing at the same level."

Junior B: "I've already completed the analytical procedures. Revenue increased by 40% – management said it's due to new contracts, so no further work needed."

Junior C: "The CFO is very helpful. She prepared all the schedules for us. Since she's a qualified accountant, we can rely on her work."

Junior D: "Our budget was cut by 20%. I'm planning to reduce testing on high-value contracts to focus on completing the work within time."

You also note that:

- The company has introduced a new complex revenue recognition policy for multi-element arrangements
- One major customer (contributing 25% of revenue) is owned by the brother of TechNova's CEO
- Management has aggressively pursued IPO plans requiring audited financials in four months

Required:

(a) Identify and explain the breaches of professional scepticism principles under NSA 200 evident in the team's approach. (4 marks)

(b) Discuss how the requirements of NSA 200 regarding professional judgement apply to the audit of the new revenue recognition policy. (2 marks)

(c) As audit manager, what specific actions would you take to address these issues? (2 marks)

Answer

(a) Breaches of Professional Scepticism (4 marks)

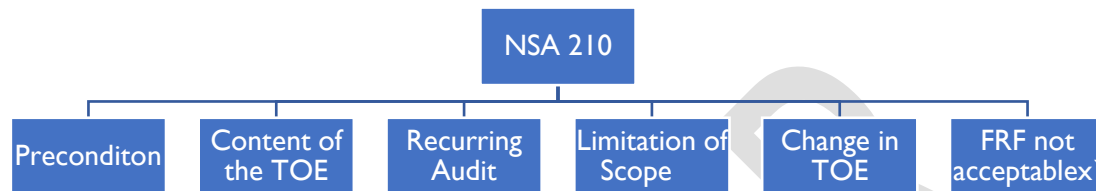
Breach	Analysis under NSA 200
"Last year no issues, so comfortable" (Junior A)	NSA 200 states that past positive experience with management does not reduce the need for professional scepticism. Each period's audit must be planned and performed independently.
"40% increase – management said new contracts" (Junior B)	NSA 200 requires critical assessment of evidence. Accepting management's explanation without corroboration is a fundamental failure. Analytical procedures alone are insufficient; substantive testing is required for significant fluctuations.
"CFO prepared schedules – we can rely on her work" (Junior C)	NSA 200 emphasizes that auditors cannot assume management is honest. Reliance on management-prepared schedules without independent verification breaches the principle of critical assessment.

"Budget cut – reducing testing" (Junior D)	NSA 200 application guidance recognizes budget constraints as an impediment to professional scepticism. Reducing testing on high-value contracts to meet budget is unacceptable and may result in insufficient appropriate audit evidence.
Additional Concerns: • Complex revenue recognition requires enhanced scrutiny, not reduced testing • Related party transaction (25% revenue from CEO's brother's company) requires heightened professional scepticism per NSA 240 • IPO plans create management bias incentives (b) Professional Judgement on Revenue Recognition (2 marks) Under NSA 200, professional judgement must be applied to the new revenue recognition policy: Evaluating Management's Judgements: ✓ The auditor must assess whether the multi-element arrangement policy complies with the applicable financial reporting framework ✓ Judgement is required to evaluate whether revenue allocation between elements is reasonable Requirement for Specialised Knowledge: ✓ If the team lacks expertise in complex revenue recognition, NSA 200 requires consulting specialists or obtaining training ✓ Professional judgement includes recognizing when external expertise is needed Documentation: ✓ NSA 230 requires documentation of significant professional judgements, including how the appropriateness of management's policy was evaluated Response to Assessed Risks: ✓ The complexity and related party concentration require enhanced procedures, not reduced testing (c) Actions as Audit Manager (2 marks) Immediate Intervention: ✓ Halt the audit and convene an immediate team meeting ✓ Reiterate the importance of professional scepticism with specific examples of deficiencies ✓ Reassign work to ensure proper supervision Reperform and Review: ✓ Personally reperform analytical procedures on the 40% revenue increase ✓ Review all work performed by team members for evidence of critical assessment ✓ Ensure related party transactions are properly identified and tested Enhanced Procedures: ✓ Increase substantive testing on high-value contracts, not reduce ✓ Independently verify the new revenue recognition policy through: ▪ Review of contracts for each element ▪ Testing allocation methodologies ▪ Consulting with firm's technical department Address Budget Issues: ✓ Communicate to partner that budget is unrealistic given complexity ✓ Request additional resources or agree on revised approach ✓ Document that budget constraints did not compromise audit quality	

NSA 210: Agreeing the Terms of Engagement

Area to be covered

- a) **Preconditions for Audit**
- b) **Limitation of scope before signing TOE**
- c) **Change in Scope after signing TOE**
- d) **Content of Workpapers**
- e) **Recurring Audit**



- I. **Preconditions:** To establish whether the preconditions for the audit are present, the auditor shall;
 - a) Determine whether the FRF to be applied in the preparation of FS is acceptable
 - b) Acknowledgement of management for
 - I. Preparation of financial statements in accordance with applicable FRFs
 - II. Internal control for preparation of FS that are free from material misstatements
 - III. To provide auditor with full information, additional information and unrestricted access
- II. **Limitation of Scope:** the auditor believes the limitation will result in auditor disclaiming an opinion on the financial statements, the auditor shall not accept such as a limited engagement as an audit engagement, unless required by law or regulation.
- III. **Content of Engagement Letter:**
 - a) Objective and scope of the audit of the financial statements
 - b) Responsibilities of Auditor
 - c) Responsibilities of Management
 - d) Identification of applicable FRF for preparation of FS
 - e) Form and content of the audit reports

Additional Points may be considered while drafting Terms of Engagements.

- Arrangements regarding the planning and performance of audit, including the audit team
- Expectation that management will provide written representations.
- The agreement of management to make available to the auditor draft financial statements and any accompanying other information in time to allow the auditor to complete the audit in accordance with the proposed timetable.
- The agreement management to inform the subsequent events.
- Request for the client to confirm the terms of the engagement by acknowledging receipt of the engagement letter.
- Basis on which fees are computed and any billing arrangement.
- Wherever relevant, the following points could also be incorporated
- Arrangements concerning the involvement of other auditors and experts in some aspects of the audit.
- Arrangements concerning the involvement of internal auditors and other client staff.

IV. Recurring Audit

Auditor shall assess whether circumstances require the terms of the audit engagement to be revised and is there a need to remind the entity of the existing terms of the audit engagements.

In following circumstances, the auditor may have to consider sending the engagement letter.

- ✓ Misunderstanding or change in terms and conditions, change in senior management, change in ownership, change in nature or size of the entity, change in legal or regulatory compliance, Change in FRFs, Change in other reporting requirements

V. Change in TOE:

- a) The auditor shall not agree to a change in the terms of the audit engagement where there is no reasonable justification for doing so.
- b) If the auditor is unable to agree to a change of the terms of the audit engagement and is not permitted by management to continue the original audit engagement, the auditor shall:
 - Withdraw from the audit engagement, where possible and,
 - Determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.

VI. Financial Reporting Framework Prescribed by Law or Regulation

1. Acceptance of the Financial Reporting Framework:

- ✓ The auditor must determine whether the framework prescribed by law or regulation is acceptable for the preparation of the financial statements.
- ✓ If the auditor concludes that the prescribed framework is not acceptable, the auditor must discuss the issue with management and determine the appropriate action. This may involve:
 - Refusing the engagement if the auditor believes the financial statements will be misleading.
 - Modifying the auditor's report if the framework is not acceptable but the engagement cannot be refused due to legal or regulatory requirements.

2. Framework and Additional Disclosures:

- ✓ Sometimes, a framework prescribed by law or regulation may be incomplete or insufficient for the needs of the users of financial statements. In such cases, additional disclosures beyond those required by the framework may be necessary to achieve fair presentation.
- ✓ The auditor should discuss with management the need for such additional disclosures.

3. Modification of the Auditor's Opinion:

- ✓ If the prescribed financial reporting framework is deemed unacceptable and the engagement cannot be refused, the auditor should consider the implications for the auditor's report.
- ✓ This could lead to a modification of the opinion in the auditor's report (e.g., a qualified opinion or an adverse opinion).

4. Emphasis of Matter or Other Matter Paragraphs:

- ✓ In situations where the auditor is required to perform the audit despite an unacceptable framework, the auditor may include an Emphasis of Matter paragraph or an Other Matter paragraph in the auditor's report to highlight the situation.
- ✓ This helps to draw attention to the issue and provides additional context to the users of the financial statements.

5. Communication with Those Charged with Governance:

- ✓ The auditor should communicate with those charged with governance regarding the implications of the prescribed framework on the audit.
- ✓ This communication ensures that those charged with governance are aware of any limitations or issues related to the financial reporting framework.

Q. No. 1

You are the engagement partner at **Shrestha & Associates**. You have been approached to audit **Himalaya Hydropower Private Limited (HHPL)** for the year ended 31 Ashadh 2082. HHPL has a term loan of NRs 50 crore from a commercial bank.

The applicable law prescribes a financial reporting framework based on the Income Tax Act. This framework does not mandate a Cash Flow Statement, requires minimal disclosures, and permits capitalization of pre-commissioning costs without NFRS limitations. Management refuses to add any additional disclosures, stating NFRS adoption is not yet mandatory.

When you raise concerns, the Managing Director proposes changing the engagement to a review, claiming the bank has informally agreed. No audit work has commenced.

Required

- Discuss the acceptability of the prescribed financial reporting framework under NSA 210 and whether you can accept the audit engagement. (4 marks)**
- Explain whether there is reasonable justification to change the engagement to a review. (2 marks)**
- What actions should you take as the engagement partner? (2 marks)**

Q. No. 1**(a) Acceptability of Framework and Decision on Audit Acceptance (4 marks)**

Under NSA 210, an acceptable financial reporting framework is a **precondition for an audit**. The auditor must assess acceptability considering the nature of the entity, purpose of financial statements, and whether law prescribes the framework.

Assessment: HHPL is a commercial entity with external bank financing. The bank requires reliable information on cash flows, contingent liabilities, and accounting policies to assess the company's financial position. The prescribed framework is deficient because:

- ✓ No Cash Flow Statement deprives the bank of liquidity information
- ✓ Minimal disclosures omit critical accounting policies and contingent liabilities
- ✓ Capitalization policy differs from NFRS, potentially overstating assets

Application of NSA 210: Since the framework is prescribed by law but unacceptable, acceptance is possible only if management agrees to make **additional disclosures** to overcome the deficiencies (NSA 210). Management has explicitly refused to add any disclosures.

As law does not compel the auditor to accept this engagement, **the audit engagement cannot be accepted** under NSA 210..

(b) Reasonable Justification for Change to Review (2 marks)

Under NSA 210, the auditor shall not agree to a change in terms unless there is **reasonable justification**. NSA 210 clarifies that a change is **not reasonably justified** if it appears motivated by a desire to avoid a modified opinion or to circumvent an unacceptable framework.

The request to change to a review came immediately after the auditor raised concerns about the framework. Management claims the bank "informally" agreed, but the loan agreement requires audited financial statements, and no written confirmation exists. A review provides lower assurance and does not satisfy statutory audit requirements.

Conclusion: There is **no reasonable justification** for the change. The request is declined under NSA 210.

(c) Actions to Be Taken as Engagement Partner (2 marks)

Action	Details
Written Communication	Issue a formal letter to the Managing Director stating: (a) the prescribed framework is not acceptable; (b) the audit engagement cannot be accepted; (c) the review proposal is declined as there is no reasonable justification

Documentation	Document the framework assessment, deficiencies identified, management's refusal, and rationale for declining in accordance with NSA 230	
Advisory Guidance	Advise HHPL to consult their banker in writing to confirm the required level of assurance and consider voluntarily adopting NFRS or making additional disclosures to meet user needs	

S.D.LMR

NSA 220: Quality Control on Audit and NSQCI: Quality Control on overall Firm

That means Quality control for firms that performs

- ✓ Audits and
- ✓ Review of Historical financial information and
- ✓ Other assurance and related services

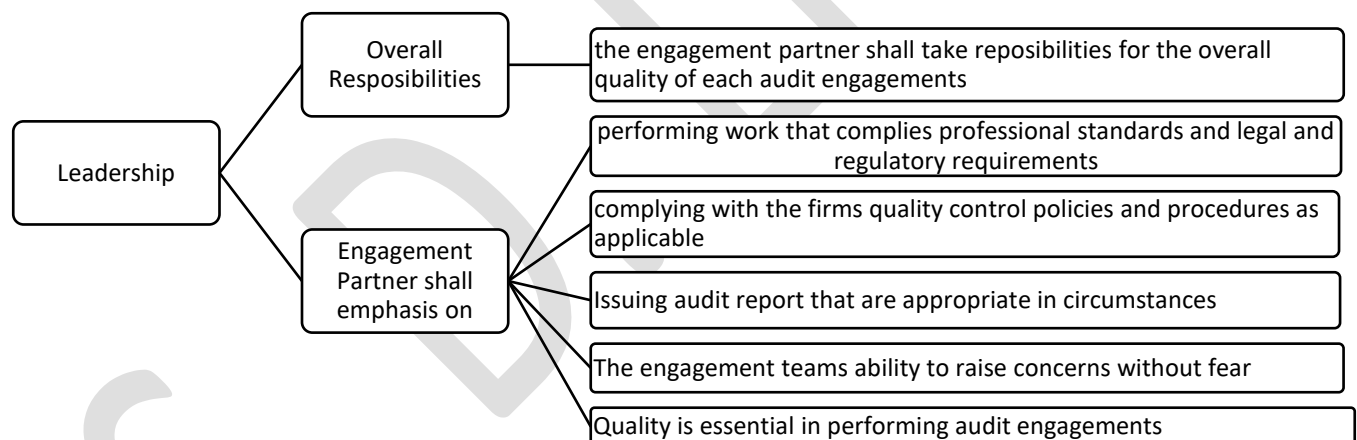
The firm should establish a system of quality control designed to provide it with reasonable assurance

- that the firm and its personnel comply with
 - ✓ professional standards and
 - ✓ regulatory and legal requirements and
- that reports issued by the firm or engagement partner(s) are appropriate in the circumstances.

Elements of a system of quality control

1. Leadership responsibilities for quality with in the firm
2. Relevant Ethical requirements
3. Acceptance and continuance of client relationship and specific engagements
4. Human resources
5. Engagement performance
6. Monitoring

Leadership responsibilities for quality with in the firm



Acceptance and continuance of client relationship and Audit engagement

NSA 220 requires the firm to obtain information before accepting an engagements information such as the following assists the engagement partner in determining whether the decisions regarding the acceptance and continuance of audit engagement are appropriate

1. The integrity of principal owner, key management and TCWG of the entity.
2. Whether the team is competent to perform audit and comply with the relevant ethical requirements
3. Significant matters that have arisen during the current or previous audit engagement and their implication for continuing the client relations.

If an engagement partner obtains information that would have caused the firm to decline the audit engagement had that information been available earlier, the engagement partner shall communicate that information promptly to the firm, so that the firm and the engagement partner can take the necessary action.

Human Resources

The firm should establish policies and procedures designed to provide it with reasonable assurance that it has sufficient personnel with the capabilities, competence and commitment to ethical principles necessary to perform its engagements in accordance with professional standards and regulatory and legal requirements and to enable the firm or engagement partner to issue reports that are appropriate in the circumstances.

Such policies and procedures address the following personnel issues:

- a) Recruitment
- b) Performance evaluation
- c) Capabilities
- d) Competence
- e) Career development
- f) Promotion
- g) Compensation and estimation of personnel needs

Also, the firm shall assign responsibility for each engagement to an engagement partner and shall establish the policies and procedures requiring that,

- Identity and role of each engagement team shall be communicated to the key management team
- AEP has appropriate capabilities, competence required to perform the role
- Responsibilities of engagement partner and team members are clearly defined and communicated to client

Engagement Performance

The firm should establish policies and procedures designed to provide it with reasonable assurance that engagements are performed in accordance with professional standards and regulatory and legal requirements and to enable the firm or engagement partner to issue reports that are appropriate in the circumstances.

- ✓ Through its policies and procedures, the firm seeks to establish consistency in the quality of engagement performance, supervision responsibilities and review responsibilities.

The firm shall also establish policies and procedures for:

- ✓ Appropriate consultation in relevant matters
- ✓ Engagement quality control review
- ✓ Resolving the difference of opinion within the engagement team
- ✓ Documentation of all relevant matters.

Monitoring: Cold review

The firm should establish policies and procedures designed to provide it with reasonable assurance that the policies and procedures relating to the system of quality control are relevant, adequate, operating effective and complied with in practice.

The purpose of monitoring compliance with quality control policies and procedures is to provide an evaluation of:

- ✓ Adherence to professional standards and regulatory and legal requirements
- ✓ Whether the quality control system has been appropriately designed and effectively implemented

- ✓ Whether the firm's quality control policies and procedures have been appropriately applied, so that reports that are issued by the firm or engagement partners are appropriate in the circumstances.

Engagement quality control reviewer

- ✓ A partner, other person in the firm
- ✓ Suitably qualified external persons or
- ✓ Team made up of such individuals- Head of such team shall be member of ICAN.
- ✓ With sufficient and appropriate experience and authority
- ✓ To objectively evaluate before the report is issued, the significant judgements and engagements team made and
- ✓ The conclusions they reached in formulating the report.

Engagement quality control review- Hot Review

- ✓ For audits of financial statements of listed entities, and those other audit engagements, if any, for which the firm has determined that an engagement quality control review is required, engagement partner shall:
 - Determine that an engagement quality control reviewer has been appointed,
 - Significant matters arising during the audit engagements
 - Review financial statements, Auditor Report, Auditor Documentation, Consultation and Independence.
- ✓ A process designed to provide an objective evaluation before the report is issued,
- ✓ of the significant judgements the engagement team made and the conclusion they reached in formulating the report.

Additional Notes for NSQM I and NSQM 2

NSQM I surpasses current standards by giving more importance to information systems and promoting interactive communication both within and outside the organization. This includes implementing transparency reporting in certain cases.

NSQM I specifies when engagement quality reviews are required, and ISQM 2 sets out clear guidelines on what is involved and who may perform the review. These requirements have been expanded to incorporate due consideration of public interest

NSA 220 (Revised) requires the audit EP to actively manage and take responsibility for the achievement of quality, especially through confirming adherence to the firm's policies.

Network Firm: The ultimate responsibility for the firm's system of quality management essentially resides with the individual firm's leadership.

The firm should perform an **annual evaluation** of the system of quality management and conclude whether the system provides the firm with reasonable assurance that the objectives of quality management are being achieved

Key Requirements of ISQM I

- The introduction of a Risk Assessment Process,
- A new emphasis on Quality Management,
- References to Audit Automation, including audit software and data analytics,

- Specific references to Service Providers, such as the training groups and publishers that design and supply audit methodologies,
- Changes to Monitoring and Remediation, including a specific requirement to use Root Cause Analysis, and
- Documentation requirements.

Elements as per NSQC I	Elements as per ISQM I
Not Addressed	Firm's Risk Assessment Procedures
Leadership Responsibilities	Governance and Leadership
Relevant Ethical requirements	Relevant Ethical requirements
Acceptance and Continuance	Acceptance and Continuance
Human Resources	Resources (human, technological and intellectual resources)
Engagement Performance	Engagement Performance
Not Addressed	Information and Communication
Monitoring	Monitoring

Risks Assessments

Step I of the risk assessment process is to establish the quality objectives specified in NSQM I that are required for all firms and all engagements, unless clearly not applicable (Establish quality objectives).

The quality objectives related to the following 6 components sections of NSQM I

- Governance and leadership
- Relevant ethical requirements
- Acceptance and Continuance
- Engagement performance resources
- Resources
- Information and Communication

Establishing Quality Objectives

- Quality Objective required by ISQM I
- Additional quality objectives when necessary to achieve the objective of the standards

Identifying and assess quality risks

- Risks with reasonable possibility of occurring and affecting the achievement of quality objective
- Understand conditions, events, circumstances, actions or inactions

Design and implement Responses

- Design and implement firm's responses, and include certain responses specified in the standards

If there are changes in the nature and circumstances of the firm or the engagements, or as a result of information from the firm's monitoring and remediation process, the firm:

- Establishes additional quality objectives, or modifies any additional quality objectives
- Modifies or adds to the quality risks and responses

What are the Quality Objectives?

I. To deliver services that meet or exceed the expectations of clients and stakeholders.

1. To comply with all relevant legal and regulatory requirements.
2. To maintain a high level of competence among its staff through training and development.
3. To implement quality control procedures to ensure that all work is performed to a high standard.
4. To monitor and measure the effectiveness of the firm's quality management system and take corrective action where necessary.
5. To continuously improve the effectiveness of the firm's quality management system.
6. To promote a culture of quality and ethical behavior throughout the firm.
7. To provide timely and accurate reporting to clients and stakeholders.
8. To manage risks effectively to ensure that the firm's services are delivered with integrity, objectivity, and professional skepticism.
9. To ensure that the firm's resources are used efficiently and effectively to achieve its quality objectives.

More Robust Governance and Leadership

NSQM I addresses, among other matters:

- The firm demonstrating a commitment to quality through its culture which exists throughout the firm includes recognizing and reinforcing:
 - ❖ The firm's role in serving the public interest by consistently performing quality engagements
 - ❖ The importance of quality in the firm's strategic decisions and actions, including those related to the firm's financial and operational priorities
- Operational responsibility for the system of quality management
- **The roles, responsibilities and accountability of leadership, leadership's qualifications, and undertaking performance evaluations of leadership annually**

- The responsibility of all personnel for quality relating to the performance of engagements or activities within the SOQM, and their expected behavior?
- Does the firm recognize that the Leadership is responsible and accountable for quality?
- Does the firm recognize that the Leadership demonstrates a commitment to quality through their actions and behaviors?
- Does the firm confirm that the organizational structure and assignment of roles, responsibilities and authority is appropriate to enable the design, implementation, and operation of the firm's ISQM?
- Responsibilities and accountability of leadership.

Improving Information and Communication

- ✓ NSQM I emphasizes the continual flow of information within the firm, and with engagement teams, and drives firms to establish an information system
- ✓ The firm culture needs to embed the need to exchange information
- ✓ The firm communicates with external parties when it is appropriate
- ✓ Includes communicating to those charged with governance about the system when the firm performs an audit of financial statements of listed entities
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Proactive Monitoring

- ✓ The firm monitors the system as a whole
- ✓ The firm tailors the nature, timing and extent of the monitoring activities, based on factors described in NSQM I
- ✓ Inspection of completed engagements – NSQM I has an increased focus on risk-based selection and factoring in other monitoring activities performed by the firm.

Identify Deficiencies and Implement the responses

- ✓ SQM I includes a framework for evaluating findings and identifying deficiencies and evaluating the severity and pervasiveness of the deficiencies
- ✓ The firm is required to investigate the root cause(s) of deficiencies
- ✓ The firm appropriately remediates deficiencies that is responsive to the root cause(s)
- ✓ Leadership is required to determine that remedial actions are effective

Scope of Engagement Quality Reviews- NSQM 2

The objective of the firm, through appointing an eligible engagement quality reviewer, is to perform an objective evaluation of the significant judgments made by the engagement team and the conclusions reached thereon.

EQR shall evaluate of significant judgement (consultations) raised by audit team However, an engagement quality review is not intended to be an evaluation of whether the entire engagement complies with professional standards and applicable legal and regulatory requirements

Appointment of EQR

- The firm establish the policy and procedures for appointment of EQR with the competencies and capabilities to fulfill his responsibilities
- Those who is not part of Engagement team
- Complies ethical requirements
- Complies the laws and regulations if any for appointment as EQR

Most Important

- Cooling off period of 2 years after previously serving as the engagement partner

SUMMARY NOTES: NSQM 2 Engagement Quality Reviews

1. OBJECTIVE & SCOPE

- **Objective:** To establish requirements and guidance for an **Engagement Quality Review (EQR)** to provide an objective evaluation of significant judgements made and conclusions reached in formulating the engagement report.
- **Scope:** Applies to **audits of financial statements of listed entities**, and other engagements as determined by the firm's quality management system (QMS). The firm may also mandate EQRs for other high-risk or complex engagements.

2. KEY DEFINITIONS

- **Engagement Quality Reviewer (EQR):** A partner or other individual with sufficient and appropriate experience and authority who performs the EQR.
- **Engagement Team:** All who perform the engagement, including external experts.
- **Matter:** An issue, circumstance, or relationship that could affect the EQR's determination that the engagement team reached appropriate conclusions.

3. ELIGIBILITY OF THE EQR

The EQR must:

1. **Possess Appropriate Competence & Capabilities:** Technical expertise, industry knowledge, and understanding of professional standards.
2. **Satisfy Independence Requirements:** Be independent of the engagement team and the client. Cannot make engagement decisions or assume responsibility for the engagement.
3. **Demonstrate Sufficient Objectivity:** Avoid conflicts of interest; not evaluated/rewarded based on selling non-assurance services to the client.

4. NATURE, TIMING & EXTENT OF THE EQR

- **Nature:** Objective evaluation of judgements and conclusions through:
 - Discussion with engagement partner and key team members.
 - Review of engagement documentation.
 - Evaluation of consultations on difficult/contentious matters.
- **Timing:** Performed at appropriate points during the engagement so that significant matters can be resolved **before** the report is issued.
- **Extent:** Focuses on **areas of significant judgement and higher risk**, particularly those involving:
 - ✓ Ethics and independence.
 - ✓ Significant risks.
 - ✓ Areas prone to material misstatement.
 - ✓ Critical accounting estimates.

- ✓ Going concern considerations.
- ✓ Material unusual transactions.

5. DOCUMENTATION OF THE EQR

The EQR must document:

1. That the procedures were performed in accordance with NSQM 2.
2. That the EQR was completed **before** the report was issued.
3. That the EQR is not aware of any unresolved matters that would cause them to believe significant judgements or conclusions were inappropriate.

6. REPORTING & CONCLUDING THE EQR

- ✓ The EQR does **not** issue a separate report. Their role is to provide an objective evaluation.
- ✓ The EQR must **conclude** whether they are aware of any unresolved matters leading them to believe the engagement team's significant judgements or conclusions were inappropriate.
- ✓ **If unresolved matters exist**, the EQR must discuss with the engagement partner. If unresolved, the matter must be referred to the firm's **network/firm leadership or designated person**.
- ✓ The engagement report **cannot be dated or issued** until the EQR is complete.

7. DIFFERENCE FROM NSA 220 (QUALITY MANAGEMENT FOR AN AUDIT)

- ✓ **NSA 220:** Focuses on the engagement partner's responsibilities for quality management **on the individual audit**.
- ✓ **NSQM 2:** Focuses on the **external, objective evaluation** of that audit by a separate qualified individual (EQR) as part of the **firm's overall QMS** (NSQM 1).

Audit Documentation (NSA 230- Synopsis)

The objective of this standard is to provide guidelines to the auditor for the maintenance of documentation for the future period.

Documentation includes working papers, notes and the audit evidence obtained during the course of audit

Working Papers

Audit working papers are used to document the information gathered during an audit. They provide evidence that sufficient information was obtained by an auditor to support his or her opinion regarding the underlying financial statements. Working papers also provide evidence that an audit was properly planned and supervised. They should contain sufficient information for an auditor who did not work on an audit to discern the reasons for the opinion given regarding a client's financial statements. The forms of documentation that may be contained within the working papers include the following:

- ✓ Checklists of standard investigation items that were completed, and by whom
- ✓ Copies of correspondence
- ✓ Documentation of the assertions investigated and supporting evidence found
- ✓ Extracts from the corporate minutes of the client
- ✓ Flowcharts of a client's key transaction processes
- ✓ Narrative discussions of issues found
- ✓ Organization charts
- ✓ Questionnaires for which the client provided answers

Documentation

- ❖ It is the process of safe keeping the audit evidence and information obtained during the course of audit.
- ❖ Documentation helps the auditor to identify and trace the work related to audit engagement.
- ❖ The auditor has to maintain documentation upto 5 years from the date of signing the report.

Advantage of Audit Documentations

- ❖ Documentation helps to review quality control policy of the firm
- ❖ It helps to monitor the work of the assistance
- ❖ It provides a basis for expressing the opinion
- ❖ It is used as a defence of the charges of negligence are brought against the auditor
- ❖ It is used as an evidence in disputes and litigation
- ❖ It provides a reference to the auditor for future period.

Confidentiality of working papers

Working papers consists of various informations of the client which may be confidential in nature. The auditor must not show or disclose his working papers to anyone except :

- a) It is required by law
- b) It is allowed by client

Custody of working papers

- ❖ Working Papers are the calculations and the records of the auditor which form the basis of auditor opinion.
- ❖ Working papers are exclusive property of the auditor. Therefore, the auditor is not bound to provide his working papers to anyone except at his discretion, on a reasonable request by the client (management).
- ❖ If the auditor decides to provide working papers, He shall only provide photocopies or extracts of the working papers and retain the original one.

Audit Notebook:

During the course of audit, the auditor may come across various queries which may not be sorted out immediately. The auditor makes the collection of such queries to sort out with management in some future date.

Audit note book is the collection of queries which are not solved immediately and which require clarification from the management.

Content of the audit note book

- ✓ Significant observations made
- ✓ Routine queries such as missing invoices, wrong accounting heads
- ✓ Error identified
- ✓ Effects of such errors in Financial Statements
- ✓ Deficiencies observed in internal control systems

Advantage of Audit Note Book

- ✓ Helpful to prepare audit report
- ✓ Helps to evaluate the work of the staff
- ✓ The matters to be discussed are not overrule
- ✓ Helps to plan the recurring audits etc.

Audit File

Permanent Working File	Current Audit File
This file consists of information which doesn't change frequently and i.e., information of the permanent nature	This file consists of the information relating to the financial statements of the current year
It includes the following ✓ Registration documents of the company such as certificate of incorporation, MOA, AOA, TOE Licensing agreement ✓ Important decisions made in the company ✓ Extracts or copies of important legal matters ✓ Internal control framework ✓ Note of significant accounting policies of the entity ✓ Copies of audited financial statements of previous year ✓ Copy of audit report and significant audit observations of past period ✓ Analysis of significant ratios and trends of financial transactions ✓ The communication made with the TCWG and their replied	It includes the following ✓ Appointment letter of the current year of auditor ✓ Terms of engagement issued by auditor ✓ FS of the current year ✓ Communication made with the predecessor auditor ✓ Significant audit observations of current year ✓ Replies of the management/TCWG relating to the observation of current year ✓ Extract of important minutes of current year ✓ Analysis of transactions and balances of current year ✓ Copies of management letter issued by the auditor ✓ Copies of audit plan and audit procedures ✓ Copies of audit evidence of current year

CAM is the engagement partner of S Ltd. He has instructed his audit team to maintain proper audit documentation. The audit team members are not sure about the purpose for which the documentation should be made. Explain the various purposes of audit documentation with reference to NSA 230.

Purpose of Audit Documentation: As per NSA 230, "Audit Documentation", the following are the purpose of Audit documentation:

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities
3. Enabling the engagement team to be accountable for its work.
4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with NSQC I
6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements

As per NSA 230, *Audit Documentation*, the auditor is required to prepare audit documentation on a timely basis. Explain the **purpose of audit documentation** and describe **three** specific characteristics or contents that audit documentation must possess to meet the requirements of NSA 230.

Purpose of Audit Documentation (2 marks):

Audit documentation serves the following primary purposes:

1. **To provide evidence** of the auditor's basis for a conclusion about the achievement of the overall objectives of the audit.
2. **To demonstrate** that the audit was planned and performed in accordance with NSAs and applicable legal and regulatory requirements.
3. **To assist** the engagement team in planning and performing the audit.
4. **To enable** supervision and review of audit work.
5. **To allow** for quality reviews and inspections by regulators or oversight bodies.

Three Required Characteristics/Contents of Audit Documentation (3 marks):

As per NSA 230, audit documentation must:

1. **Be sufficiently detailed and complete** to enable an experienced auditor, having no previous connection with the audit, to understand:
 - The nature, timing, and extent of the audit procedures performed.
 - The results of the procedures and the audit evidence obtained.
 - Significant matters arising during the audit and conclusions reached.
2. **Record the identifying characteristics** of the specific items or matters tested, such as:
 - The sample size and selection method.
 - Documents tested (e.g., invoice numbers, dates).
 - The auditor who performed the work and the date of completion.
3. **Include documentation of significant matters** and related professional judgments, including:
 - How significant risks were addressed.
 - Discussions with management or TCWG on difficult or contentious matters.
 - Basis for conclusions on accounting treatments and estimates.
 - Any departures from relevant NSAs and reasons thereof.

Auditor's Responsibility of Fraud (NSA 240)

- ✓ **The Difference Between Fraud and Error:** The key distinguishing factor between fraud and error is whether the underlying action that results in a misstatement of the financial statements is intentional or unintentional.
- ✓ NSA 240 (Redrafted) defines fraud as: 'An intentional act by one or more individuals among management, those charged with governance, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage
- ✓ The two types of fraud most relevant to the auditor, according to NSA 240 (Redrafted), are misstatements arising from fraudulent financial reporting, and misstatements arising from the misappropriation of assets.

1. Types of Fraud

Fraudulent Financial Reporting: This involves intentional misstatements or omissions in financial statements to deceive users. Examples include falsifying revenues, manipulating expenses, or misstating assets and liabilities.

Misappropriation of Assets: This refers to the theft or misuse of an organization's assets. Examples include embezzling cash, stealing inventory, or fraudulent expense claims.

2. Responsibilities for Fraud

NSA 240 (Redrafted) makes it clear who has the main responsibility for the prevention and detection of fraud. The primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and management however, 'An auditor conducting an audit in accordance with NSAs is responsible for obtaining reasonable assurance that the financial statements as a whole are free from material misstatement, whether caused by fraud or error.

Hence, both the entity itself and the auditors have responsibilities for fraud and error. It could be said that management, and those charged with governance, have the primary responsibility for fraud and error, whereas the auditor has a secondary responsibility.

3. **Professional Skepticism:** An attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence. Professional skepticism is of key importance to the audit, for example requiring auditors to be alert to;

- ✓ audit evidence contradicting other evidence
- ✓ information questioning evidence reliability
- ✓ information questioning evidence reliability
- ✓ circumstances that suggest the need for audit procedures in addition to those required by the NSAs

4. **Discussion Among the Engagement Team:** This discussion shall place particular emphasis on how and where the entity's financial statements may be susceptible to material misstatement due to fraud, including how fraud might occur. Ordinarily, the key members of the engagement team should be involved in the discussion, and the engagement partner should then consider which matters are to be communicated to those in the team not involved in the discussion. Discussion is expected to occur with a questioning mind, setting aside any beliefs held by the engagement team members that the management and those charged with governance are honest and have

integrity. Interestingly, this discussion is also expected to include a consideration of how an element of unpredictability will be incorporated into the nature, timing, and extent of the audit procedures to be performed

5. Risk Assessment Procedures

A. Enquiries

- ✓ The auditor should inquire about management's own assessments of the risks of fraud, the process used for identifying and responding to the risks of fraud, and management's communication to those charged with governance regarding its processes for identifying and responding to the risks of fraud.
- ✓ The auditor should also make of management to determine whether they have any knowledge of fraud
- ✓ The auditor should also make inquiries of internal audit (where there exists an internal function) to determine whether it has any knowledge of fraud.

B. Oversight role of those charged with governance

- ✓ The auditor should obtain an understanding of how those charged with governance exercise oversight of the management process for identifying and responding to the risks of fraud, and whether those charged with governance have any knowledge of fraud affecting the entity.

C. Evaluate unusual or unexpected relationships

- ✓ The auditor should evaluate whether unusual or unexpected relationships identified when performing analytical procedures may indicate risks of material misstatement due to fraud

D. Consider other information

- ✓ The auditor should consider whether other information obtained potentially indicates risks of fraud

E. Evaluation of other risk assessment procedures

- ✓ The auditor should evaluate whether the information obtained from the other risk assessment procedures and related activities performed indicates that one or more fraud risk factors are present.

The difference between fraud and error depends upon whether deception has been used, and the distinction between the responsibilities of those charged with governance and auditors for fraud prevention can be described respectively as primary and secondary responsibilities. Auditors are required, however, to maintain an attitude of professional skepticism throughout the audit, and members of the audit engagement team are required to discuss the susceptibility of the entity's financial statements to material misstatement due to fraud. NSA 240 (Redrafted) requires auditors to perform risk assessment procedures to obtain information for use in identifying the risks of material misstatement due to fraud.

6. Auditor's inability to continue engagement

If auditor is unable to continue working on engagement as a result of fraud, actual or suspected, auditor shall:

- ✓ Determine responsibilities imposed by law and profession including communicating the matter with those who appointed auditor and regulatory authorities.
- ✓ If appropriate and permitted by applicable laws, decide whether to withdraw from engagement

If auditor withdraws then discuss withdrawal and reasons of withdrawal with:

- ✓ Management and those charged with governance
- ✓ those who appointed auditor after determining professional legal responsibilities for such

7. Written Representation

Auditor shall obtain written representation from management that it is the responsibility of management to design and implement internal control system capable of preventing and detecting fraud.

Written representations shall contain a disclosure by management that they have disclosed:

1. Management's assessment that financial statements may be materially misstated due to fraud
2. Any actual or suspected fraud in their knowledge involving employee, management or third party.
3. Any actual or suspected fraud or allegations of the same affecting financial statements as brought to attention by employee, analysts, regulators or others

According to NSA 240, "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements," there are two types of intentional misstatements relevant to the auditor's consideration of fraud. Identify and briefly explain these two types, and describe one specific procedure an auditor should perform when fraud risk factors related to each type are identified. – 5 Marks

The two types of intentional misstatements relevant to fraud are:

1. Fraudulent Financial Reporting (Management Fraud):

This involves intentional misstatements or omissions in financial statements to deceive users. It is typically perpetrated by management, such as through manipulating accounting records, misapplying accounting policies, or omitting disclosures.

Auditor Procedure Example: If risk factors exist (e.g., pressure to meet forecasts), the auditor should perform **detailed substantive analytical procedures** at a disaggregated level, compare major revenue contracts with supporting documentation, and review the appropriateness of year-end journal entries for unusual activity.

2. Misappropriation of Assets (Employee Fraud):

This involves theft of an entity's assets (e.g., cash, inventory) by employees, often through false documentation or circumvention of controls.

Auditor Procedure Example: If risk factors exist (e.g., lack of segregation of duties in cash handling), the auditor should perform **physical verification of high-value assets** on a surprise basis, review reconciliation procedures, and test authorization controls over disbursements.

Explain the concept of professional skepticism in the context of NSA 240. Describe three specific actions an auditor should take to maintain professional skepticism during an audit where there is a risk of management override of controls. 5 Marks

Professional skepticism under NSA 240 is an attitude that includes a questioning mind, being alert to conditions that may indicate possible fraud, and a critical assessment of audit evidence. It requires the auditor to challenge assumptions, remain vigilant for contradictory evidence, and avoid bias.

Three specific actions to maintain skepticism regarding **management override of controls** are:

1. **Testing Journal Entries and Adjustments:** Selectively testing journal entries, especially those made at year-end, for appropriate authorization and business rationale. The auditor should focus on entries made by senior management or those with unusual descriptions, amounts, or accounts.
2. **Reviewing Accounting Estimates for Bias:** Retrospectively reviewing significant estimates made in prior periods for management bias and evaluating the reasonableness of current-year estimates by comparing them with industry data or independent expectations.
3. **Evaluating Business Rationale for Significant Unusual Transactions:** Investigating the business purpose of complex, unusual, or late-year transactions, particularly those with related parties, and considering whether they have been structured to misrepresent financial position or performance.

You are the audit manager of M/s. Shah & Associates, responsible for the audit of Grow Fast Ltd., a publicly listed company. During the planning phase, your team identifies several fraud risk factors, including:

- **Significant pressure on management to meet aggressive earnings targets to maintain the company's stock price.**
- **A dominant CEO who is heavily involved in the financial reporting process and has the ability to override controls.**
- **Unusually complex year-end transactions with related parties that lack clear business rationale.**

Required:

a) In accordance with NSA 240, describe the auditor's key responsibilities concerning fraud in an audit of financial statements. (4 marks)

b) Outline the specific audit procedures you would plan to perform in response to the identified fraud risk factors at Grow Fast Ltd., focusing particularly on the risk of management override of controls. (6 marks)

a) Auditor's Key Responsibilities under NSA 240 (4 marks):

- **Primary Responsibility:** To obtain reasonable assurance that the financial statements are free from material misstatement, whether due to fraud or error. However, due to the inherent limitations of an audit, absolute assurance is not attainable.
- **Fraud Identification and Assessment:** To identify and assess risks of material misstatement due to fraud through inquiry, analytical procedures, and consideration of fraud risk factors (incentives/pressures, opportunities, attitudes/rationalization).
- **Response to Assessed Risks:** To design and implement appropriate audit procedures responsive to the assessed fraud risks, including overall responses and specific procedures at the assertion level.
- **Evaluation of Evidence:** To evaluate whether audit evidence indicates a material misstatement due to fraud exists. If fraud is suspected or identified, the auditor must communicate appropriately with management, those charged with governance, and possibly regulatory authorities, and reconsider the reliability of prior audit evidence.
- **Documentation:** To document the fraud risk assessment, responses, and conclusions.

b) Specific Audit Procedures for Grow Fast Ltd. (6 marks):

In response to the identified fraud risks, particularly management override:

1. **Testing Journal Entries & Adjustments:**

- Perform a detailed review of all significant year-end and post-year-end adjusting journal entries, focusing on entries made by the CEO or finance department.
- Use computer-assisted audit techniques (CAATs) to identify entries with unusual characteristics (e.g., round amounts, non-standard accounts, lack of description).

2. **Scrutinizing Accounting Estimates:**

- Perform a retrospective review of prior-year management estimates (e.g., provisions, asset impairments) that were subject to significant judgement, comparing them to actual outcomes to identify bias.
- For current-year estimates, develop an independent auditor's range or point estimate for key items (e.g., revenue recognition on complex contracts, warranty provisions) to challenge management's assumptions.

3. **Examining Unusual Transactions:**

- Obtain and review all documentation supporting the complex related-party transactions, including board minutes, contracts, and valuations.
- Inquire of management and those charged with governance about the business rationale and ensure proper disclosure as per relevant accounting standards.
- Consider confirming transaction terms directly with the related parties (with management's permission).

4. **Revenue Recognition Fraud Risk:**

- Perform substantive analytical procedures on revenue disaggregated by product line, month, and region, investigating significant deviations.
- Select a sample of significant revenue transactions near year-end and verify supporting evidence (e.g., shipping documents, customer acceptance records, terms of sale).

5. Challenging Management Representations:

- Corroborate significant oral and written representations from the CEO and management with independent evidence.
- Maintain heightened skepticism in all interactions and document challenges and responses.

6. Overall Responses:

- Assign more experienced audit team members with specialized skills.
- Incorporate an element of unpredictability in audit procedures (e.g., unannounced inventory counts, surprise cash counts).
- Review the control environment critically, focusing on the effectiveness of the board and audit committee in overseeing the dominant CEO.

NSA 250- Consideration of Laws and Regulations in an Audit of Financial Statements

Non-compliance – Acts of omission or commission, either intentional or unintentional, committed by the entity, which are contrary to the prevailing laws or regulations. Non-compliance does not include personal misconduct unrelated to the business activities of the entity

Responsibilities of management

It is the responsibility of management, with the oversight of those charged with governance, to ensure that the entity's operations are conducted in accordance with relevant laws and regulations, including those that determine the reported amounts and disclosures in the financial statements

Responsibilities of the auditor

The auditor must perform audit procedures to help identify non-compliance with laws and regulations that may have a material impact on the financial statements

The auditor must obtain sufficient, appropriate evidence regarding compliance with laws and regulations generally recognized to have a direct effect on the determination of material amounts and disclosures in the financial statements (e.g., completeness of a tax provision in accordance with tax law, or the presentation of the financial statements in accordance with the applicable financial reporting framework)

The auditor must perform audit procedures to help identify non-compliance with other laws and regulations that may have a material impact on the financial statements (e.g. data protection, environmental legislation, public health and safety). Non-compliance in respect of such matters could affect the company's ability to continue as a going concern or could result in the need for material liabilities to be recognized or disclosed

Audit procedures to identify instances of non-compliance

Obtaining a general understanding of the legal and regulatory framework applicable to the entity and the industry, and of how the entity is complying with that framework

Enquiring of management and those charged with governance as to whether the entity is in compliance with such laws and regulations

Inspecting correspondence with relevant licensing or regulatory authorities

Remaining alert to the possibility that other audit procedures applied may bring instances of non-compliance to the auditor's attention

Obtaining written representation from the directors that they have disclosed to the auditors all those events of which they are aware which involve possible non-compliance, together with the actual or contingent consequences which may arise from such non-compliance

Investigations of possible non-compliance

When the auditor becomes aware of information concerning a possible instance of non-compliance with laws or regulations, they should:

- ✓ Understand the nature of the act and circumstances in which it has occurred.
- ✓ Obtain further information to evaluate the possible effect on the financial statements

Audit procedures when non-compliance is identified

- ✓ Enquire of management of the penalties to be imposed
- ✓ Inspect correspondence with the regulatory authority to identify the consequences
- ✓ Inspect board minutes for management's discussion on actions to be taken regarding the non-compliance
- ✓ Enquire of the company's legal department as to the possible impact of the non-compliance.

Reporting non-compliance

- ✓ The auditor must report non-compliance to management and those charged with governance, unless prohibited by law or regulation
- ✓ If the auditor believes the non-compliance is intentional and material, the matter should be reported to those charged with governance
- ✓ If the auditor suspects management or those charged with governance are involved in the non-compliance, the matter should be reported to the audit committee or supervisory board.
- ✓ If the non-compliance has a material effect on the financial statements, a qualified or adverse opinion should be issued.
- ✓ The auditor should also consider whether they have any legal or ethical responsibility to report non-compliance to third parties (e.g. to a regulatory authority)

The following are examples of the types of policies and procedures an entity may implement to assist in the prevention and detection of non-compliance with laws and regulations:

- ✓ Monitoring legal requirements and ensuring that operating procedures are designed to meet these requirements.
- ✓ Instituting and operating appropriate systems of internal control.
- ✓ Developing, publicizing and following a code of conduct.
- ✓ Ensuring employees are properly trained and understand the code of conduct
- ✓ Monitoring compliance with the code of conduct and acting appropriately to discipline employees who fail to comply with it.
- ✓ Engaging legal advisors to assist in monitoring legal requirements.
- ✓ Maintaining a register of significant laws and regulations with which the entity has to comply within its particular industry and a record of complaints.
- ✓ In larger entities, these policies and procedures may be supplemented by assigning appropriate responsibilities to an Internal Audit function, an Audit Committee and a Compliance unit.

Indications of Non-Compliance with Laws and Regulations

If the auditor becomes aware of the existence of, or information about, the following matters, it may be an indication of non-compliance with laws and regulations:

- ✓ Investigations by regulatory organizations and government departments or payment of fines or penalties.
- ✓ Payments for unspecified services or loans to consultants, related parties, employees or government employees.
- ✓ Sales commissions or agent's fees that appear excessive in relation to those ordinarily paid by the entity or in its industry or to the services actually received.
- ✓ Purchasing at prices significantly above or below market price.

- ✓ Unusual payments in cash, purchases in the form of cashiers' checks payable to bearer or transfers to numbered bank accounts.
- ✓ Unusual transactions with companies registered in tax havens.
- ✓ Payments for goods or services made other than to the country from which the goods or services originated.
- ✓ Payments without proper exchange control documentation.
- ✓ Existence of an information system which fails, whether by design or by accident, to provide an adequate audit trail or sufficient evidence.
- ✓ Unauthorized transactions or improperly recorded transactions.
- ✓ Adverse media comment.

NOCLAR: Auditor responsibilities in addition to NSA 250

The Code of Ethics for Professional Accountants sets out ethical requirements in relation to an entity's compliance with laws and regulations.

The ethical standard, Responding to Non-compliance with Laws and Regulations (NOCLAR), provides guidance to accountants as to the actions that should be taken if they become aware of an illegal act committed by a client or employer

The additional requirements have been introduced to address concerns that the duty of confidentiality was acting as a barrier to the disclosure of potential NOCLAR to public authorities in the appropriate circumstances. Auditors were resigning from client relationships without NOCLAR issues being appropriately addressed.

NOCLAR sets out responsibilities in relation to:

- ✓ Responding to identified or suspected non-compliance
- ✓ Communicating identified or suspected non-compliance with other auditors
- ✓ Documenting identified or suspected non-compliance.

The aim is to generate an earlier response by management or those charged with governance, and timelier intervention from public authorities on reports of potential NOCLAR, thereby mitigating adverse consequences for stakeholders and the general public

NSA 260- Communications with TCWG

- ✓ The objective of this standard is to provide guidelines to the auditor for the communication to be made of the significant matters observed during the course of audit with TCWG
- ✓ While understanding the entity, at the initial stage, the auditor identifies the management and TCWG for the purpose of its communication.

Definition

TCWG: The person(s) or organization (s) with the responsibility for overseeing the strategic direction and obligations relating to the accountability of the entity. TCWG includes chairpersons, executive members of the board of Directors.

Management

The person (s) responsible for managing the day-to-day operation of the entity

Note

In smaller entities, management and TCWG may be same whereas in bigger entities, the level of

management and TCWG is clearly segregated. In bigger entities where there is subgroup of TCWG, the auditor shall communicate the matters to subgroup as well

Matters to be communicated

The following matters are relevant for communicating:

- i) Responsibilities of the auditor: The auditor shall clearly mention his responsibilities so as to reduce the audit expectation gap. The auditor shall state that
 - a) Auditor is responsible for expressing the opinion on the FS
 - b) The audit of FS doesn't relieve the management of its responsibilities
- ii) Planned scope and timing of audit: The auditor shall also communicate the planned scope and timing of the audit so that the management can make necessary arrangements to facilitate the auditor conducting the audit effectively
- iii) Significant findings from the audit: The auditor shall communicate significant findings during the course of his audit. These findings include
 - a) Auditor views about the significant aspects of entities accounting policies, estimates and practices
 - b) Significant difficulties encountered during the course of audit
 - c) The requirement of written representation that may be required during the course of audit
 - d) Other matters which the auditor finds significant to communicate
- iv) Independence and ethical requirements: The auditor shall communicate in writing that he and his engagement team has complied with relevant ethical requirements and independence and necessary safeguards have been applied where any threats to independence have been observed.

Communication process

- i) Establishing communication process: The auditor shall establish a communication channel by communicating the nature and extent of communication to be made and the general content included in the communication.
- ii) Forms of communication: Communication should be made in written form. It helps to maintain the documentation for future references. Mostly, the independence and ethical requirements and significant findings are communicated in written form
- iii) Timing of communication: Communication should be made on timely basis depending upon the size of the organization and volume of the findings
- iv) Adequacy of communications: There should be an effective two-way communication process which means that management/TCWG should acknowledge and address the queries of the auditor.

NSA 265- Communications of significant deficiencies in ICS

The objective of this standard is to provide guidelines to the auditor for the communication of significant deficiencies in the Internal control system to the TCWG, which are observed during the course of audit

Definition of Deficiency

It is the condition which exists when,

- a) Control necessary to prevent detect and correct the misstatements is missing
- b) A control is designed in such a way that it is unable to prevent, detect and correct the misstatements

Significant deficiencies: The deficiencies which are material enough to seek the attention of management. In other words, the deficiency which cannot be ignored as it might have a significant impact on the transactions.

Indicators of significant deficiencies

- i. Ineffective internal control
- ii. Absence of risk assessment procedures
- iii. Evidence of ineffective risk assessment procedures
- iv. Misstatements detected by the auditor's procedures which could have been detected by the ICS
- v. Evidence of management's inability to oversee the preparation of financial statements
- vi. Evidence of ineffective responses to risk identified

Letter of Weaknesses

- ✓ During the course of the audit, auditor may observe the deficiencies in the internal control system which may be significant for the management. Those deficiencies are communicated by the auditor in a written form through the letter which is known as letter of weaknesses.
- ✓ Although the auditor is not responsible for expressing the opinion on Internal Controls. It is the responsibility of auditor to communicate significant deficiencies observed in the internal control system while conducting the audit.
- ✓ The auditor shall include the following in his written communication.
 - i) Description of deficiencies identified and their potential impact
 - ii) Declaration that;
 - ❖ The purpose of audit was to express the opinion on FS and not on the internal control
 - ❖ The deficiencies being communicated are only limited to the deficiencies observed during the audit and doesn't include all the deficiencies.

Advantages of letter of weaknesses

- ✓ It helps the management to identify significant deficiencies in internal control
- ✓ It provides suggestions and feedback for improving the internal control
- ✓ It is important part of the documentation for future reference.

NSA 300 Audit Planning (Note: revise the Audit Planning Memorandum and Audit Program from the Text Book)

Important for Exams

- a) **Audit Strategy (5 points)**
- b) **Audit plan and audit planning memorandum**
- c) **Advantage and disadvantage of audit program**
- d) **Planning is the iterative process**
- e) **Documents to be maintained for planning the audit**

Planning should result in an audit that is well directed and supervised and ultimately good planning will reduce audit risk.

Planning is the dynamic process

Naturally, it is reasonable to assume that planning occurs towards the start of an audit engagement. However, according to NSA 300, planning should not be seen as a discrete and separate part of the overall audit. Planning often begins shortly after, or in connection with, the completion of the previous audit.

Similarly, the audit plan may be revised as the audit progresses, and should not be viewed as being fixed in place once the main planning phase has ended. For example, a significant event may take place as the audit is in progress, meaning that the audit plan needs to be changed.

The nature and extent of planning activities depends on the size and complexity of the audit client, previous experience of the audit firm with the client, and any changes in circumstance that may occur during the audit

Things to consider while preparing audit plan

1. Scope of work
2. Requirements (nature of report i.e., shareholders report, management letter etc.)
3. Key audit areas i.e., circularization of confirmation letter, physical verification, staff field work etc.)
4. Anticipated reliance on internal controls
5. Reliance on work of internal auditor and other experts if any
6. Setting of materiality level
7. Nature and extent of audit procedures
8. The budget i.e., the time required for each section of audit should be identified
9. Requirements of engagement quality control reviewer

Advantages of an audit plan

Before commencement of audit, auditor should prepare audit plan, which will facilitate him/her in

1. Devoting appropriate attention to important areas of audit
2. Identification of potential problem areas
3. The expeditious completion of work
4. Proper utilization of resources i.e., assistant and staff
5. Facilitates the direction and supervision of engagement team
6. Coordination of work done by the other auditors and experts

Preliminary activities

NSA 300 contains a requirement that the auditor shall undertake the following activities at the beginning of the current audit engagement:

- Performing procedures regarding the continuance of the client relationship and the specific audit engagement (NSA 220).
- Evaluating compliance with relevant ethical requirements, including independence (NSA 220).
- Establishing an understanding of the terms of the engagement (NSA 210).

These requirements are also contained in and NSA 220, *Quality Control for an Audit of Financial Statements* and NSA 210, *Agreeing the Terms of Audit Engagements* and remind us that planning is a wider activity than just obtaining understanding of the business and performing risk assessment.

Audit Strategy

The audit strategy sets out in general terms how the audit is to be conducted and sets the scope, timing and direction of the audit. The audit strategy then guides the development of the audit plan, which contains the detailed responses to the auditor's risk assessment. An underpinning principle of audit planning under the Clarified NSAs is that the audit plan should contain detailed responses to the specific risks identified from obtaining an understanding of the audited entity. NSA 300 requires the auditor to consider specific matters when establishing the audit strategy, and provides a list of typical matters to be considered in its appendix. These matters are discussed below.

- A) Identify the characteristics of the engagement that define its scope
- B) Ascertain the reporting objectives of the engagement to plan the timing of the audit and the nature of the communications required
- C) Consider the factors that are significant in directing the audit team's efforts in the auditor's professional judgment
- D) Consider the results of preliminary engagement activities and knowledge gained on other engagements
- E) Ascertain the nature, timing and extent of resources necessary to perform the engagement

Audit plan

NSA 300 states that once the overall audit strategy has been established, an audit plan can be developed to address the various matters identified in the overall audit strategy, taking in to account the need to achieve the audit objectives through the efficient use of the auditor's resources. The establishment of the overall audit strategy and the detailed audit plan are not necessarily discrete or sequential processes, but are closely interrelated since changes in one may result in consequential changes to the other.

Therefore, it is not necessarily the case that the audit strategy is prepared and completed before the audit plan is devised, and in practice it is typical for the two to be developed together.

The audit plan is a detailed program giving instructions as to how each area of the audit will be conducted. In other words, the audit plan details the specific procedures to be carried out to implement the strategy and complete the audit.

NSA 300 provides guidance on what should be included in the audit plan, stating that the audit plan should describe:

- the nature, timing and extent of planned risk assessment procedures
- the nature, timing and extent of planned further audit procedures at the assertion level
- other planned audit procedures that are required to be carried out so that the engagement complies with NSAs.

Typically, an audit plan will include sections dealing with business understanding, risk assessment procedures, planned audit procedures i.e., the responses to the risks identified and other mandatory audit procedures.

Audit Program

Audit program refers to step by step tools prepared by the auditor to achieve the audit plan. It is second stage after the formation of overall audit strategy.

Benefits of audit plan/ audit strategy and audit program

- a) Timely completion of work
- b) Identification of work
- c) Allocation of work
- d) Review of work done by team members
- e) Future references
- f) Defense

Disadvantages

- a) Mechanical approach
- b) Time consuming
- c) Chances of overlooking
- d) Demotivation for efficient staff
- e) Shelter to inefficient staff

Changes to the audit strategy and audit plan

The audit strategy and audit plan are not fixed once the planning stage of the audit is complete. It is important that both are updated and changed as necessary as the audit progresses. For example, as a result of unexpected events, or changes in conditions, the auditor may need to modify the overall audit strategy and audit plan and thereby the resulting planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks.

This may be the case when information comes to the auditor's attention that differs significantly from the information available when the auditor planned the audit procedures, for example, an event may take place after audit planning has been initially completed which creates doubt over going concern. Or, as a result of performing planned audit procedures additional information may come to light which may lead the auditor to amend initial risk assessment, or level of performance materiality, for all, or part, of the audit.

NSA 315 – Understanding the entity and its environment



Important for Exams

- Understanding the entity and process/documents for understanding**
- Risk assessment procedures**
- Identification of significant risks**
- Substantive procedures cannot provide SAAE**

NSA 315 (Revised) has explicitly defined inherent risk factors as being qualitative or quantitative, and include:

Defined Inherent Risks	Explanation and Example
Complexity	Arises because of the nature of the information or the way that it is prepared – for example, complex accounting or reporting requirements such as the audit of a large, multi-national insurance group.

Subjectivity	Results from inherent limitations in the ability to prepare the information objectively – for example, choice of valuation methodology or basis for accounting estimations.
Change	Events or conditions which affect the entity's business, industry, regulatory or economic environment. – for example, customer change or geographical expansion.
Uncertainty	Arises when the required information cannot be prepared based on sufficiently precise and comprehensive data. – for example, contingent liabilities or uncertainty over key issues - environmental, legal or financial – such as the audit of a company with ongoing litigation issues (requiring provisions and estimations of liability).
Susceptibility to misstatement due to management bias or other fraud risk factors	Conditions which create susceptibility for intentional or unintentional failure by management to maintain neutrality – for example, transactions with related parties, the use of manual adjustments, bonus schemes dependent on financial results.

Inherent risk is considered by the auditor **before** they consider any related controls. Inherent risk and control risk are both elements of the risk of material misstatement at the assertion level.

Understanding the applicable financial reporting framework

Auditors must consider the impact of the accounting policies and financial reporting requirements, including industry specific requirements, when assessing the risk of material misstatement.

There are several financial reporting standards which can be subject to misapplication, either deliberate or accidental, such as NFRS 15 Revenue from Contracts with Customers or NAS 37, Provisions, Contingent Liabilities and Contingent Assets. Foreign currency adjustments or complex financial instruments can further complicate the reporting (and regulatory) requirements.

New or emerging accounting issues, such as cryptocurrencies or environmental reporting may be affected by the subjectivity of management. In the case of technological changes, a lack of definitive accounting standards may result in inconsistent or incorrect valuations or disclosures.

Evaluating the financial reporting policies of the entity is part of the overall assessment of inherent risk.

Understanding the Entities and Process

Understanding	Process or documents
Relevant Industry, regulatory and other external factors including financial reporting framework	Enquiry with the management and TCWG, registration documents, Annual Report, Minutes etc.
Nature of Business including operation, mission vision objectives, Prospective expansion plan, ownership structures, Organizational Structure	Board meeting minutes, trade journals, strategic plan, Organizational Structure Chart
Accounting policies and changes in policies as compared to previous year	Annual report, board minutes
Related Party Transactions	Enquiry with the Management and TCWG, annual report, governance structure etc.
Internal Control System	Enquiry with internal auditor, internal audit report and Internal control framework

NSA 315, "Identifying and Assessing the Risks of Material Misstatement," has undergone significant revisions that took effect for audits of financial statements for periods beginning on or after December 15, 2021. These updates are designed to enhance the quality and consistency of audits through a more robust risk assessment process. Here are the key changes:

1. **New Inherent Risk Factors:** Five new inherent risk factors have been introduced to make risk assessments more comprehensive. These include subjectivity, complexity, uncertainty, change, and susceptibility to misstatement due to management bias or fraud.
2. **Spectrum of Risk:** The concept of a spectrum of risk has been introduced, with significant risks at the higher end. This helps auditors in categorizing and prioritizing risks more effectively.
3. **Focus on IT:** The revised standard places greater emphasis on understanding the entity's IT environment, recognizing the critical role of IT in today's business operations. Auditors are now required to gain a comprehensive understanding of the IT systems and related controls.
4. **Controls Relevant to the Audit:** More guidance is provided on identifying and assessing controls relevant to the audit, particularly IT general controls, and the design and implementation work required for these controls.
5. **Professional Skepticism:** The revisions encourage greater use of professional skepticism throughout the audit process, ensuring that auditors critically assess the evidence obtained.
6. **Evidence from Risk Assessment Procedures:** The revised NSA 315 mandates obtaining sufficient, appropriate evidence from risk assessment procedures to form the basis for the risk assessment.

These changes aim to ensure a more detailed and systematic approach to identifying and assessing risks, thereby improving the overall quality of audits.

1. OBJECTIVE OF NSA 315 (REVISED)

The objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, **at the financial statement level** and **at the assertion level**, through understanding the entity and its environment, including the entity's internal control. This provides a basis for designing and implementing **responses to the assessed risks** in accordance with NSA 330.

2. KEY DEFINITIONS

- **Assertions:** Representations by management, explicit or otherwise, that are embodied in the financial statements.
- **Business Risk:** Risk resulting from significant conditions, events, circumstances, actions or inactions that could adversely affect the entity's ability to achieve its objectives and execute its strategies.
- **Internal Control:** The process designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of an entity's objectives with regard to:
 1. Reliability of financial reporting
 2. Effectiveness and efficiency of operations
 3. Compliance with applicable laws and regulations
 4. Safeguarding of assets
- **Risk Assessment Procedures:** The audit procedures performed to obtain an understanding of the entity and its environment, including internal control, to identify and assess risks of material misstatement.
- **Significant Risk:** An identified and assessed risk of material misstatement that, in the auditor's judgment, requires special audit consideration.

3. RISK ASSESSMENT PROCEDURES & SOURCES OF INFORMATION

The auditor shall perform **risk assessment procedures** to provide a basis for risk identification and assessment. These include:

1. **Inquiries** of management, TCWG, internal audit, and others.
2. **Analytical procedures** (preliminary analytics).

3. **Observation and inspection** (e.g., operations, documents, premises).
4. **Information obtained from prior period audits** (if relevant).
5. **Client acceptance or continuance procedures.**

The auditor is required to obtain an understanding of the entity and its environment, including internal control, sufficient to identify and assess risks of material misstatement.

4. REQUIRED UNDERSTANDINGS UNDER NSA 315 (REVISED)

(A) The Entity and Its Environment:

1. **Industry, regulatory and other external factors** (e.g., competition, technology, legal/political environment).
2. **Nature of the entity:**
 - Operations
 - Ownership & governance structures
 - Investments & plans
 - Structure & financing
3. **Entity's selection and application of accounting policies.**
4. **Objectives, strategies & related business risks** that may result in risks of material misstatement.
5. **Measurement & review of the entity's financial performance** (KPIs, budgets, variance analysis).

(B) Internal Control – Five Components (COSO Framework):

1. **Control Environment:**
 - Governance & management functions
 - Culture of honesty & ethical behavior
 - Commitment to competence
 - Participation by TCWG
 - Management's philosophy & operating style
 - Organizational structure, assignment of authority, HR policies
2. **Entity's Risk Assessment Process:**
 - How management identifies, estimates, assesses and responds to business risks relevant to financial reporting.
3. **Information System & Communication:**
 - Classes of significant transactions
 - Procedures for initiating, recording, processing, correcting, transferring to GL, reporting
 - Related accounting records & supporting information
 - How significant events/conditions are captured
 - Financial reporting process & journal entries
4. **Control Activities:**
 - Policies & procedures to ensure management directives are carried out
 - Includes: authorization, segregation of duties, performance reviews, IT controls, physical controls
5. **Monitoring of Controls:**
 - Ongoing or separate evaluations of internal control effectiveness
 - Includes internal audit function, supervisory activities, communication from external parties

5. IDENTIFYING AND ASSESSING RISKS OF MATERIAL MISSTATEMENT

- ✓ Risks assessed at **financial statement level** (pervasive risks) and **assertion level**.
- ✓ Consider **inherent risk factors** (complexity, subjectivity, change, uncertainty).
- ✓ Assess whether risks require **special audit consideration** (significant risks).

Significant Risks:

- ✓ Often relate to **non-routine transactions** or **judgmental matters**.
- ✓ Include **risks of material misstatement due to fraud** and **significant related party transactions outside normal course**.
- ✓ Auditor's response to significant risks: **obtain more persuasive evidence**, consider control effectiveness, apply substantive procedures specifically responsive to that risk.

6. DOCUMENTATION REQUIREMENTS

The auditor shall document:

1. Discussion among engagement team regarding susceptibility to material misstatement.
2. Key elements of understanding obtained for each aspect of entity & internal control.
3. Sources of information & risk assessment procedures performed.
4. Identified & assessed risks at FS level & assertion level.
5. Risks identified & related controls understood.

7. CHANGES IN NSA 315 (REVISED) – KEY EMPHASIS

- ✓ More **robust risk assessment** requiring deeper understanding of system of internal control.
- ✓ Greater focus on **technology, including automated controls and IT environment**.
- ✓ Enhanced consideration of **inherent risk factors** and **significant risks**.
- ✓ Explicit requirement to understand **controls over journal entries** and **use of IT**.
- ✓ Stronger link between risk assessment and **audit responses** (NSA 330).

AUDIT RISK MODEL REITERATED:

$$\text{Audit Risk} = \text{Inherent Risk} \times \text{Control Risk} \times \text{Detection Risk}$$

- ✓ **Inherent Risk & Control Risk = Risks of Material Misstatement**
- ✓ **Detection Risk** is controlled by the auditor through the nature, timing and extent of audit procedures.

Audit Risks and their components

- ✓ It is the risk that auditor may express an inappropriate opinion when the FS are materially misstated.
- ✓ It means the possibility of auditor giving unmodified opinion when the FS are material misstated
- ✓ Audit risk is the product of inherent risk, control risk and detection risk.
- ✓ To reduce the overall audit risk, auditor has to manage the detection risk because inherent risk and control risk are management side risk which cannot be managed by the auditor.
- ✓ $\text{Audit Risks} = \text{Inherent Risk} * \text{Control Risks} * \text{Detection Risk}$

Inherent Risks

- ✓ It is the susceptibility of account balances and transaction to the level of misstatements assuming no internal controls. Simply, the risk which always exists ignoring the facts of existence of internal control is called inherent risk.
- ✓ Generally, inherent risk arises where;
 - a) High degree of estimation uncertainty exists or
 - b) The nature of the transaction is complex
- ✓ Inherent risk arises at two levels
 - a) **At the financial statement level:** due to integrity of management, experience and knowledge of management for preparation of Financial Statements, unusual pressure in the entity which may lead to the manipulation, the nature of the entity's business
 - b) **At the Assertion Level:** due to degree of estimation and judgement, complexity of transaction, assets prone to misstatements and the transactions that are subject to manipulation such as yearend entries.

Control Risks

- ✓ It is the risk that the entities designed internal controls will not be able to prevent, detect and correct all the misstatements due to inherent limitations of ICS.
- ✓ The inherent limitations of ICS are, i) cost effectiveness ii) human error iii) change in condition and technology iv) collusion among employees v) management override of control vi) illusion of control etc.
- ✓ The control risk arises at the risk of management because the responsibility of designing and implementing ICS is that of management

Detection Risks

- ✓ It is the risk that the auditors' substantive procedures will not detect the misstatements. The detection arises due to inherent limitations of audit
- ✓ It may occur due to the auditor's misapplication of audit procedure, misinterpretation of audit result etc.
- ✓ This risk arises at the level of auditor.

Relationship between components of Audit Risk

- ✓ IR and CR are client-side risk whereas detection risk arises at the level of auditor. There is an inverse relationship between detection risk and combined level of inherent risk and control risk
- ✓ It means that when inherent risk and control risk are high, detection risk is low and when inherent and control risk are low, detection risk is high.

NSA 320 – Audit Materiality and Evaluation of Misstatements (450)

- The objective of this standard is to provide guidelines to the auditor to consider materiality conducting the audit of the financial statements.
- Due to the time constraints, it is not possible for the auditor to check each and every item in detail due to which the auditor has to consider the materiality so that the audit risks can be minimized.
- Materiality simply means significance of the value. Material items are those items which can affect the economic decision of users of Financial Statements.
- The materiality level depends upon the size of the organization, nature of the entity's business, relevant laws and regulations etc.

Traditional Benchmark of Materiality

Although determination of materiality depends upon the experience, judgement and knowledge of the auditors, the certain traditional benchmark can be considered for determining the materiality.

Profit before tax – 5 to 10%

Revenue – 0.5% to 1%

Gross Assets – 1 to 2%

Suppose the profit-oriented entity has profit before tax of NRs 2,200,000, gross assets of NRs 12,000,000 and revenue of NRs 21,000,000. Then the overall materiality may be,

Profit before tax	2,200,000	10%	220,000
Revenue	21,000,000	1%	210,000
Gross Assets	12,000,000	2%	240,000
Overall materiality	Selection Basis- Profit Before tax		220,000

Performance Materiality

Overall Materiality	220,000	Low – 75%	165,000
	220,000	Medium – 62.5%	137,500
	220,000	High – 50%	110,000

Audit materiality is a concept used in auditing to determine the significance of an item or an amount in the context of financial statements. Materiality is a subjective concept and varies depending on the nature and size of the organization being audited, as well as the specific circumstances of the audit.

The auditor's responsibility is to ensure that the financial statements are free from material misstatements. To achieve this, the auditor sets a materiality threshold, which is the maximum amount or percentage that a misstatement can be without affecting the overall fairness of the financial statements. The materiality threshold is based on the auditor's professional judgment and is determined by considering factors such as the size of the entity, the nature of its operations, and the regulatory environment.

Auditors use materiality in planning and executing their audits. The materiality threshold guides the auditor in determining the extent of testing and the areas to focus on during the audit. If an item or amount exceeds the materiality threshold, the auditor considers it to be a material misstatement that requires further investigation and potentially adjustment.

In summary, audit materiality is a critical concept in auditing that helps the auditor determine the significance of items or amounts in the financial statements. The materiality threshold guides the auditor's testing and helps ensure that the financial statements are free from material misstatements.

Matters of Professional Judgements

The auditor's determination of materiality is a matter of professional judgment, and is affected by the auditor's perception of the financial information needs of users of the financial statements.

Yes, materiality is a matter of professional judgment in auditing. It requires the auditor to exercise their professional judgment to determine the significance of an item or an amount in relation to the financial statements as a whole. There is no specific threshold or formula to determine materiality as it depends on the specific circumstances of each audit engagement. Therefore, the auditor must consider various factors such as the size, nature, and complexity of the entity, the industry in which it operates, and the user's reliance on the financial statements to determine the appropriate materiality level. The auditor must also consider the risk of misstatements and the level of assurance required by the user in determining the materiality threshold. Overall, the auditor's professional judgment plays a critical role in determining materiality and its application throughout the audit process.

Performance Materiality

Performance materiality is the **amount set by the auditor below the materiality level** for the financial statements as a whole, to assess the risk of material misstatement in the individual account balances, transactions or disclosures. **It provides a margin of safety or a buffer that allows the auditor to address the risk of misstatements** in the financial statements more effectively.

The auditor considers the risk of material misstatement at the account balance or class of transactions level and then sets a lower materiality level to reduce the risk of failing to detect material misstatements.

In practical terms, performance materiality is used by the auditor to evaluate the significance of misstatements detected during the audit. If the total misstatements detected are less than the performance materiality level, the auditor may consider them immaterial and not adjust the financial statements. However, if the total misstatements are above the performance materiality level, the auditor will investigate further to determine if they are material to the financial statements as a whole.

Overall, performance materiality is an important concept in auditing as it allows the auditor to focus on the areas of the financial statements that have the greatest risk of material misstatement while still providing a reasonable level of assurance.

Questions:

An assistant of Ram & Associates, Chartered Accountants detected an error of Rs.15 for interest payment which occurred a number of times. The General Manager (Finance) of XYZ Bank Ltd. advised him not to request passing adjustment entries as individually the errors were of small amounts. The company had 19,000 deposit accounts and interest was paid monthly.

Traditional Benchmark

Some of the sample for traditional benchmarks for determining materiality may be:

- ✓ ½ - 1% of turnover
- ✓ 5-10% of profit before tax
- ✓ 1-2% of gross assets

Factors that may affect the identification of an appropriate benchmark (SEVEN)

- ✓ The **elements of the financial statements** (for example, assets, liabilities, equity, revenue, expenses);
- ✓ Whether there are items on which the attention of the users (**Special Items**) of the particular entity 's financial statements tend to be focused (for example, for the purpose of evaluating financial performance users may tend to focus on profit, revenue or net assets);
- ✓ The **nature of the entity**, where the entity is at in its life cycle, and the industry and economic environment in which the entity operates;
- ✓ The **entity 's ownership structure** and the way it is financed (for example, if an entity is financed solely by debt rather than equity, users may put more emphasis on assets, and claims on them, than on the entity 's earnings); and
- ✓ The relative **volatility** of the benchmark.

Questions

Shyam was appointed as the auditor of M/s Himalayan Ltd. and intends to apply the concept of materiality for the financial statements as a whole. Please guide him as to the factors that may affect the identification of an appropriate benchmark for this purpose.

Materiality At Planning Stage

The aim of setting materiality is to specify what level of error or omission would change the addressees' minds about the financial statements. Therefore, an understanding is needed of:

Who the addressees are and what they need to know; and

Which figures in the financial statements and which primary statements they are interested. Their interest may be influenced by the purposes for which they will use the financial statements, for example, showing to the bank manager.

Audit Risk & Materiality

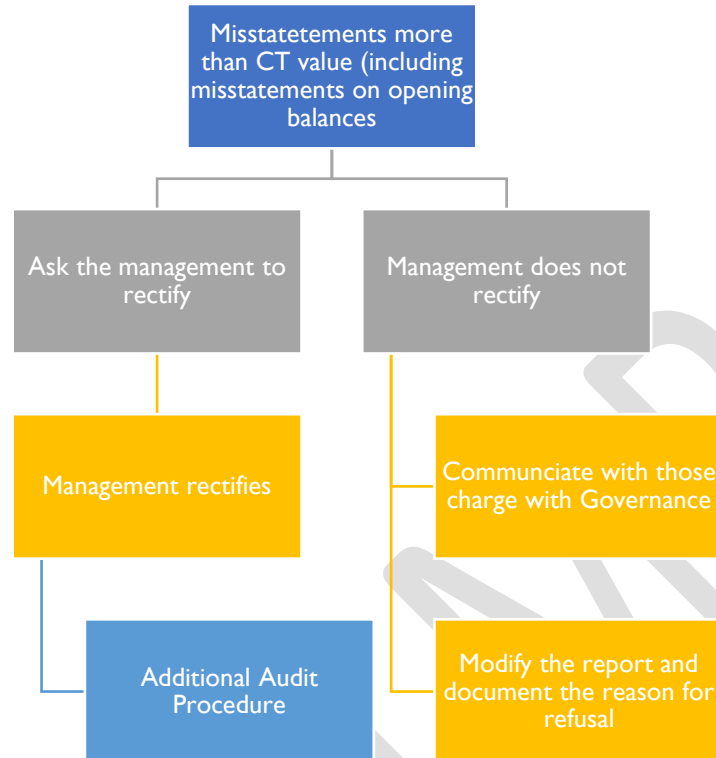
There is an **inverse relationship between materiality and the level of audit risk**, which is the higher the materiality level, lower the audit risk and vice versa.

Alternatively, when the auditor assumes the audit risk to be high, he will set a lower materiality level because lower materiality level means he will have to check more items which will reduce his audit risks.

Explanation

Based upon the assessment of risk of material misstatements, auditor assumes that the Audit Risk is higher (i.e., he is skeptical that he may not be able to provide an appropriate opinion due to his inability to detect the misstatements). Now, he will set materiality to a lower level so that he can examine many more transactions to detect the misstatements if any.

Similarly, if the auditor assumes that the audit risk is lower or there is no substantiated audit risk, he will set higher materiality level so that checking lesser transactions will suffice



In performing the audit, the auditor assesses the risk of material misstatements in the financial statements and designs procedures to detect such misstatements. The auditor evaluates the effect of any identified misstatements on the financial statements and considers whether they are material, individually or in aggregate. The auditor also evaluates the potential impact of uncorrected misstatements on the financial statements and considers whether they are material, individually or in aggregate.

Finally, in forming the opinion in the auditor's report, the auditor considers the effect of identified and uncorrected misstatements on the financial statements as a whole. The auditor evaluates whether the financial statements, taken as a whole, are fairly presented in accordance with the applicable financial reporting framework. The auditor then expresses an opinion in the auditor's report based on the evaluation of the audit evidence gathered during the audit.

NSA 330 - The Auditor's Responses to Assessed Risks

1. OBJECTIVE OF NSA 330

The objective of the auditor is to **obtain sufficient appropriate audit evidence** about the assessed risks of material misstatement by:

- ✓ Designing and implementing **overall responses** to address assessed risks at the financial statement level, and
- ✓ Designing and performing **further audit procedures** whose nature, timing, and extent are responsive to the assessed risks of material misstatement at the assertion level.

2. OVERALL AUDIT RESPONSES TO FINANCIAL STATEMENT LEVEL RISKS

Overall responses include:

1. **Emphasizing professional skepticism** – maintaining an attitude of questioning mind.
2. **Assigning more experienced staff** or using experts.
3. **Providing more supervision** and reviewing work performed.

4. **Incorporating unpredictability** in the selection of audit procedures.
5. **Making changes to the nature, timing, or extent** of audit procedures, e.g., performing substantive procedures at period-end rather than interim.

These are **generalized responses** and do not relate to specific assertions.

3. FURTHER AUDIT PROCEDURES (Assertion Level)

Components:

1. **Tests of Controls (ToC)** – to obtain evidence about **operating effectiveness** of controls.
2. **Substantive Procedures** – to detect material misstatements at the assertion level.

Designing Further Audit Procedures:

- ✓ **Nature** – type of procedure (inspection, observation, inquiry, confirmation, recalculation, reperformance, analytical procedures).
- ✓ **Timing** – when performed (interim vs. period-end).
- ✓ **Extent** – sample size or coverage.

Higher assessed risk → **More persuasive evidence required** → More extensive and effective procedures.

4. TESTS OF CONTROLS (ToC)

When to Test Controls:

- ✓ When **intending to rely** on controls (control risk < high) in determining nature, timing, and extent of substantive procedures.
- ✓ When **substantive procedures alone cannot provide sufficient appropriate evidence** at assertion level.

Nature of Tests of Controls:

- ✓ **Inquiry** (not sufficient alone)
- ✓ **Observation**
- ✓ **Inspection** of documents
- ✓ **Reperformance** of control
- ✓ **Walkthroughs** (trace transaction from start to finish)

Extent of Testing:

Factors to consider:

- ✓ Frequency of control performance
- ✓ Length of reliance period
- ✓ Expected deviation rate
- ✓ Relevance and reliability of evidence

Timing of Testing:

- ✓ May test at **interim date** if controls operate **throughout the period**.
- ✓ Must obtain evidence of **effective operation** during entire period of reliance.
- ✓ Consider **roll-forward procedures** for period between interim test and period-end.

Using Evidence from Prior Audits:

Auditor may **rely on prior year evidence** if:

- ✓ Controls have not changed significantly
- ✓ Control is not subject to significant **manual** intervention
- ✓ Control environment is strong
- ✓ Need to **re-test** periodically (at least once every **third audit** for automated controls; more frequent for manual controls)

5. SUBSTANTIVE PROCEDURES

Nature:

1. **Tests of Details (ToD)** – verifying transactions, balances, disclosures (vouching, verification, confirmation).

2. **Substantive Analytical Procedures (SAP)** – evaluating financial information through analysis of plausible relationships.

Irrespective of assessed risk, the auditor MUST perform substantive procedures for each material class of transactions, account balance, and disclosure.

Substantive Procedures must be responsive to assessed risks:

- Higher risk → More persuasive evidence (e.g., **external evidence** vs. internal).
- Higher risk → Procedures performed **closer to period-end**.
- Higher risk → **Larger sample sizes** or more extensive testing.

Substantive Analytical Procedures:

- More effective for **predictable, stable relationships** (e.g., sales vs. volume).
- Less effective for **assertions with higher risk of material misstatement** unless combined with tests of details.

6. SIGNIFICANT RISKS

For significant risks, the auditor **shall** perform substantive procedures that are **specifically responsive** to those risks.

If controls over significant risks are expected to be effective, the auditor **shall test those controls** in the current period.

7. ADEQUACY OF PRESENTATION AND DISCLOSURE

The auditor must perform audit procedures to evaluate whether:

- Financial statements are presented fairly, in accordance with the applicable framework.
- Disclosures are **appropriate** and **understandable**.

8. EVALUATING AUDIT EVIDENCE AND REVISING RISK ASSESSMENT

If misstatements are detected, the auditor must:

- **Re-evaluate** risk assessment and appropriateness of planned procedures.
- Consider whether **controls are operating effectively**.
- Determine if **additional substantive procedures** are needed.

If **deviations in controls** are identified, the auditor must:

- Make specific inquiries.
- Evaluate impact on reliance.
- Consider additional tests of controls or substantive procedures.

NSA 402- Use of the service organizations

Many companies use service organizations to perform business functions such as

- ✓ Payroll processing
- ✓ Receivables collection
- ✓ Pension management.

If a company uses a service organization, audit evidence will need to be obtained from the service organization instead of, or in addition to, the client. This needs to be considered when planning the audit.

Planning the audit

The auditor will need to:

- ✓ Obtain an understanding of the service organization sufficient to identify and assess the risks of material misstatement.
- ✓ Design and perform audit procedures responsive to those risks.

This requires the auditor to obtain an understanding of the service provided:

- ✓ Nature of the services and their effect on internal controls
- ✓ Nature and materiality of the transactions to the entity.
- ✓ Level of interaction between the activities of the service organization and the entity.
- ✓ Nature of the relationship between the service organization and the entity, including contractual terms.

The auditor should determine the effect the use of a service organization will have on their assessment of risk. The following issues should be considered:

- ✓ Reputation of the service organization.
- ✓ Existence of external supervision.
- ✓ Extent of controls operated by service provider.
- ✓ Experience of errors and omissions.
- ✓ Degree of monitoring by the user.

Sources of information about the service organization

- Obtaining a type 1 or type 2 report from the service organization's auditor

A Type 1 report provides a description of the design of the controls at the service organization prepared by the management of the service organization. It includes a report by the service auditor providing an opinion on the description of the system and the suitability of the controls.

A Type 2 report is a report on the description, design and operating effectiveness of controls at the service organization. It contains a report prepared by management of the service organization. It includes a report by the service auditor providing an opinion on the description of the system, the suitability of the controls, the effectiveness of the controls and a description of the tests of controls performed by the auditor.

If the auditor intends to use a report from a service auditor, they should consider:

- ✓ The competence and independence of the service organization auditor
- ✓ The standards under which the report was issued.

- Contacting the service organization through the client.
- Visiting the service organization
- Using another auditor to perform procedures that will provide the necessary information about controls at the service organization.

Responding to assessed risks

The auditor should determine whether sufficient appropriate evidence is available from the client and if not, perform further procedures or use another auditor to perform procedures on their behalf.

If controls are expected to operate effectively:

- Obtain a type 2 report if available and consider:
 - ✓ Whether the date covered by the report is appropriate for the audit.
 - ✓ Whether the client has any complementary controls in place.
 - ✓ The time elapsed since the tests of controls were performed.
 - ✓ Whether the tests of controls performed by the auditor are relevant to the financial statement assertions
- Perform tests of controls at the service organization.
- Use another auditor to perform tests of controls.

The auditor should enquire of the client whether the service organization has reported any fraud to them or whether they are aware of any frauds.

Impact on the auditor's report

If sufficient appropriate evidence has not been obtained, a qualified or disclaimer of opinion will be issued.

The use of a service organization auditor is not mentioned in the auditor's report unless required by law or regulation. Reference to the work of a service organization auditor may be included in a report containing a modified opinion if it is relevant to the understanding of the modification. This does not diminish the auditor's responsibility for the opinion.

Benefits to the audit

Independence: because the service organization is external to the client, the audit evidence derived from it is regarded as being more reliable than evidence generated internally by the client.

Competence: because the service organization is a specialist, it may be more competent in executing its role than the client's internal department resulting in fewer errors.

Possible reliance on the service organization's auditors: it may be possible for the audit firm to confirm information directly with the service organization's auditors.

Drawbacks

The main disadvantage of outsourced services from the auditor's point of view concerns access to records and information.

The auditor has a legal right to access the client's records and to receive answers and explanations that they consider necessary for the audit. They do not have such rights over records and information held by a third party such as a service organization

If access to records and other information is denied by the service organization, this may impose a limitation on the scope of the auditor's work. If sufficient appropriate evidence is not obtained, this will result in a modified audit opinion.

S.D.LMR

NSA 500 – Audit Evidence

Audit Evidence: It is the basis for formation of opinion on the financial statements.

The objective of this standards is to provide guidelines to the auditor for obtaining sufficient appropriate audit evidence for the purpose of expressing opinion on the financial statements.

Sufficient appropriate audit evidence – appropriate audit evidence in sufficient numbers

Sufficient means **quantity** and **appropriate** means **quality**

Sufficient: It means enough audit evidence to require the forming an opinion. Enough is based on professional judgement of auditor. However, following factors affecting the quantity of audit evidence required for the auditor

- a) Knowledge of the business
- b) Risk of material misstatements and materiality of the financial statements line items
- c) Strengthen of internal control system
- d) Result of compliance procedures

Appropriateness: Depends upon relevance and reliability

Relevance: The audit evidence should relevant for particular transactions, relevant period and should obtain the objective of the procedures performed. For e.g., Evidences of transactions pertaining to previous year is not relevant for the current year

Reliability: Depending on the source of the information obtained.

SN	Situation/Factor	Effect on Reliability of Audit Evidence
1	The audit Evidence is in written/Documented form	Increases
2	The audit Evidence is in Verbal form	Decreases
3	The audit evidence is in the form of original document	Increases
4	The audit Evidence is in the form of Photocopy/Xerox	Decreases
5	The audit evidence is obtained directly by the auditor from third party	Increases
6	The audit evidence is obtained by the auditor through the client, not directly from third party	Decreases
7	The audit evidence is obtained from independent external source and not internal sources	Increases
8	The audit evidence is obtained from internal sources, not from independent external sources	Decreases
9	The internal Control system is strong.	Increases
10	The internal control system is weak.	Decreases

Management Expert: -

Person or firm, whose expertise in the field other than accounting or auditing is used by the management in preparation of financial statements

Factors to be considered in using the work done by Management Expert

- I. **Work done by the expert:** - Auditor should ensure whether the work performed by the expert is appropriate. For this, auditor should examine the followings: -
 - a) Source Data: - whether the source data taken by the expert are correct and appropriate.
 - b) Assumptions and methods applied: - Auditor should check if the assumptions and methods applied by the expert are reasonable.

- c) Suitability of final outcome: - Auditor should check if the final outcome/ end result calculated by the expert is acceptable for auditor.
2. **Competence of Expert:** - Auditor should consider whether the expert is competent for the work. For this, he/she can examine the degrees and certificates obtained by the expert.
 3. **Objectivity of expert:** - Auditor should check whether the expert possesses objective mindset. The expert should have a focused mindset while working on the project.
 4. **Capability of expert:** - Auditor should check whether the expert is capable for the particular job. For this, auditor should evaluate the past experience and track record of the expert.
 5. **Appropriateness of expert:** - Auditor should check whether the job done by expert is appropriate for being used by the auditor.

Audit Procedures for obtaining Evidences

The method of obtaining audit evidence is:

- Inspection of records, documents or physical assets
- Observations of processes and procedures, e.g., inventory counts
- External confirmation obtained in the form of direct written responses to the auditor from the third party
- Recalculation to confirm the numerical accuracy of documents or records
- Re-performance by the auditor of procedures or control
- Analytical procedures
- Enquiry of knowledgeable parties

Inconsistency in Audit Evidences

If Audit evidences obtained from two or more sources are inconsistent with each other, auditor will consider the followings: -

1. Auditor will reconsider the reliability of audit evidences earlier obtained.
2. Auditor will reconsider the level of integrity of management and revise his understanding of inherent risk.
3. Auditor will extend the nature, timing and extent of audit procedures
4. Auditor will consider its impact on the audit report as per NSA 705

Question: The objective of auditing is to design and perform audit procedures in such a way as to enable the auditor to obtain sufficient appropriate audit evidence to be able to draw reasonable conclusions on which to base the auditor's opinion. This can be obtained by performing which procedures? Name the types of audit procedures the auditor can perform to obtain audit evidence?

Audit Procedures

a) Inspections

Inspection involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset.

b) Observations:

Observation consists of looking at a process or procedure being performed by others.

c) External Confirmation

An external confirmation represents audit evidence obtained by the auditor as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium.

d) Recalculations

Recalculations means calculating the arithmetical figures to confirm their accuracy. Recalculation may be done in the areas where the internal controls over preparation of financial data are weak.

e) Reperformance

Reperformance means performing the management procedures again to confirm their validity. For example, stock taking, interest reperformance, preparation of BRS etc.

f) Analytical Procedures

Analytical procedures consist of evaluations of financial information made by a study of plausible relationships among both financial and non- financial data.

g) Inquiry

Inquiry consists of seeking information of knowledgeable persons, both financial and non-financial, within the entity or outside the entity. Inquiry is used extensively throughout the audit in addition to other audit procedures.

S.D.LMR

NSA 501- Audit Evidence – Specific Consideration of Selected Items

Responsibility while conducting Physical Verification of Inventory

Inventory: Existence and Conditions

Sr. No.	Management – Responsibility	Auditor - Responsibility
1	To count/ Measure the inventory by applying suitable methods	To check whether the methods applied by the management are appropriate
2	To implement internal controls in the counting/measuring activity	To check the suitability of internal controls applied by the management
3	To prepare the stock lists	To inspect the stock lists
4		To count/measure the inventory on test basis

Due to unforeseen or impracticable situation, auditor is unable to conduct physical verification of inventory. What alternatives are available for such auditor?

Answer: - If there exists unforeseen situation or impracticable situation, auditor can consider the following activities as alternatives to physical verification: -

1. Conducting of Physical Verification on an alternative date

In such situation, auditor should make adjustment to the count/measure of inventory so that the position of inventory as on balance sheet date could be correctly ascertained.

2. Perform the alternative/Additional audit procedures to obtain SAAE for existence and condition of inventories such as:
- Obtaining confirmation from third party or obtaining report from third party auditor
 - Obtaining Management Representation letter/ written representation
 - Examination of relevant documents to check inventory (documents such as Goods Received Note, Gate Register, etc.)

If auditor is unable to obtain sufficient and appropriate audit evidences regarding inventory even after applying alternative procedures as discussed above, auditor will consider modifying his opinion based on NSA 705.

Litigation and Claims

- Auditor should review the minutes of meeting of the board of directors to identify the litigations currently faced by the organization.
- Auditor should check the correspondence with the legal advisor and government entities of the organization.
- Auditor should examine the ledger in the name of lawyer or legal expenses.
- Auditor should conduct inquiry with the legal advisor or with the management of the client regarding litigations currently in progress.

What if Auditor is denied the access to contact legal advisor of the client?

Auditor should try to obtain sufficient and appropriate audit evidences regarding the litigation and claim by applying alternative procedures, in such circumstances.

If auditor is unable to obtain sufficient and appropriate audit evidence regarding the transactions, even after applying alternative procedures, he will consider modifying his opinion as per NSA 705.

NSA 505- External Confirmations

- ✓ The objective of this standard is to provide guidance to the auditor to obtain external confirmation as and when required in order to make sufficient appropriate audit evidence.
- ✓ The confirmation obtained by the auditor directly from third parties which involved with the entity is known as external confirmation.
- ✓ External confirmation may be in the form of written/electronic form such as email.

Uses of External confirmations

- ✓ External confirmation is used in the following areas:
 - a) Bank balances and other confirmation from bank
 - b) Account receivables
 - c) Accounts payables
 - d) Stock held by third party
 - e) Litigations confirmations from external legal council
 - f) Property title deeds held by third parties
 - g) Investments purchased and held by third parties etc.

External Confirmation Procedures

- ✓ The external confirmation procedures include the following
 - a) Identifying the party to whom confirmation is to be sent
 - b) Determining the nature of information required to be confirmed
 - c) Selecting the appropriate type of confirmation request i.e., PCR/NCR
 - d) Sending the confirmation required to the parties
 - e) Obtaining the follow up request as required

Types of Confirmation Request

- ✓ **Positive Confirmation Request**
 - a) The auditor identifies the information required to be confirmed and sends it to the party by asking the party to confirm in all the cases whether agree or disagree with the confirmation balances.
 - b) The external party has to respond and also provide remarks if such party does not agree with the information provided.
 - c) PCR can be used in the circumstances where the balances of the transactions are material and also the auditor's reliance on internal control is less
 - d) PCR provides more reliable audit evidence because of the responses of the party to whom the confirmation is sent. The auditor can also ask the respondent to fill the information or to supply his additional information that may be relevant for the audit.
 - e) Simply PCR provides the confirmation about the accuracy of transactions
- ✓ **Negative Confirmation Request**
 - a) In this request, the auditor sends the information to be confirmed through non-responses. It means that the party has to provide responses only if it disagrees with the information send by the auditor
 - b) If the confirming party doesn't respond, it is deemed that the party has confirmed the information.
 - c) NCR has its own significance although PCR is more reliable
 - d) Accordingly, the auditor shall not use negative confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level unless all of the following are present:

- (i) The auditor has assessed the risk of material misstatement as low and has obtained sufficient appropriate audit evidence regarding the operating effectiveness of controls relevant to the assertion;
- (ii) The population of items subject to negative confirmation procedures comprises a large number of small, homogeneous, account balances, transactions or conditions;
- (iii) A very low exception rate is expected; and
- (iv) The auditor is not aware of circumstances or conditions that would cause recipients of negative confirmation requests to disregard such requests.

Management's Refusal to Allow the Auditor to Send a Confirmation Request

If management refuses to allow the auditor to send a confirmation request, the

auditor shall:

- a) Inquire as to management's reasons for the refusal, and seek audit evidence as to their validity and reasonableness;
- b) Evaluate the implications of management's refusal on the auditor's assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and
- c) Perform alternative audit procedures designed to obtain relevant and reliable audit evidence.

If the auditor concludes that management's refusal to allow the auditor to send a confirmation request is unreasonable, or the auditor is unable to obtain relevant and reliable audit evidence from alternative audit procedures, the auditor shall communicate with those charged with governance in accordance with NSA 260.

The auditor also shall determine the implications for the audit and the auditor's opinion in accordance with NSA 705.

CA Rojan is appointed as an auditor of Race Pvt. Ltd.; he wants to design a suitable confirmation request letter for a few debtors of Grace Ltd. As a senior auditor of the firm, explain to him with reference to NSA 505 "External Confirmation" all the conditions that should be present to use Negative Confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level

The management of XYZ Ltd did not provide the information of certain debtors to whom auditor intended to send confirmation request, they asked auditor to verify the data from internal records

As per NSA 505, External confirmation is the process of obtaining and evaluating audit evidence through a representation of information or an existing condition directly from a third party in response to a request for information about a particular item affecting assertions in the financial statements or related disclosures. As per NSA 500 External confirmation is more reliable than internal records. Also, as per NSA 210, if management restrict the scope of auditor and the resultant outcome is the disclaimer opinion, the auditor may withdraw from the engagement.

However, in certain cases, the management may refuse auditor to send such confirmation request. In such case, the auditor shall ensure whether the reasons provided by the management is reasonable or not.

In the question above, the management did not provide the information of certain debtors to whom auditors intended to send confirmation request and asked the auditor to verify the data from internal records

If the reasons for refusal is valid, then the auditor shall perform alternative procedures for obtaining SAAE otherwise issue modified opinion. If the reason is not valid, the auditor shall evaluate the implication of refusal and perform alternative procedures after discussion with appropriate level of management/TCWG. After performing alternative procedures, the auditor can either withdraw from the engagement or issue modified report as per NSA 705.

Here the Management has not provided reasonable justification to auditor about why not to send such confirmation request to certain debtors. In this situation, after communicating the matter with TCWG, the auditor shall issue modified opinion or withdraw from the engagement if the implication is pervasive.

S.D.LMR

NSA 510- Initial Audit Engagement- Opening Balances

Not Applicable for new company

Applicable for PY's audit conducted by another auditor or previous years FS is not audited at all

	Opening Balances	Accounting Policies	Predecessor Audit Report
Auditor Responsibility	• Read PY's financial statements • Check whether opening balances are correctly brought forward • Ensure consistency in application of accounting policies in opening balances	• Identify accounting policies • Ensure APs are consistently applied • If any changes in AP ensure proper disclosure.	• Read the predecessor audit report to identify notification if any
Reporting	• If unable to obtain SAAE regarding opening balances then Q/D opinion. • If incorrect opening balances, then Q/A opinion.	• If APs not appropriately accounted or not adequately presented then Q/A opinion	If PY's modification has not been resolved the modify CY's report

Applicability:

An engagement in which either:

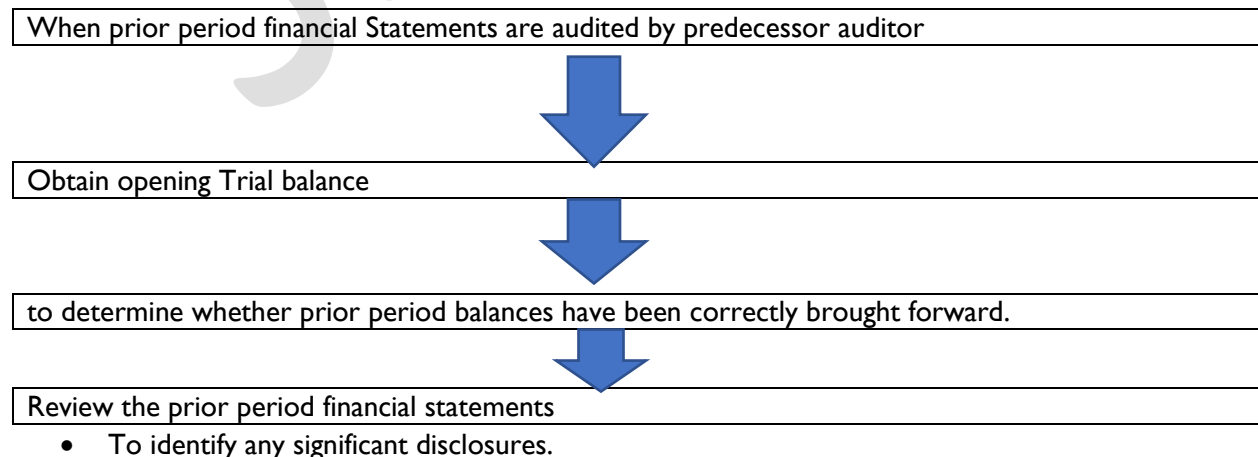
The financial statements for the prior period were not audited;
or the financial statements for the prior period were audited by a predecessor auditor.

Objectives of the auditor:

To obtain sufficient and appropriate audit evidence about whether

- Opening balances contain misstatements that materially affect the current period's financial statements; and
- Appropriate accounting policies reflected in the opening balances have been consistently applied in the current period FS, or changes thereto are properly accounted for, presented and disclosed in accordance with the applicable financial reporting framework.

Audit procedures to be performed as per NSA 510



- To ensure consistent application of accounting policies from the prior period financials.

Review important documents

- (Like Audit Report, Statement of uncorrected misstatements, management Letter etc.)
- For any significant observations is to be noted.

Approaches can be followed here



- Review of predecessor auditor's workpaper
- In detail testing of opening balances.

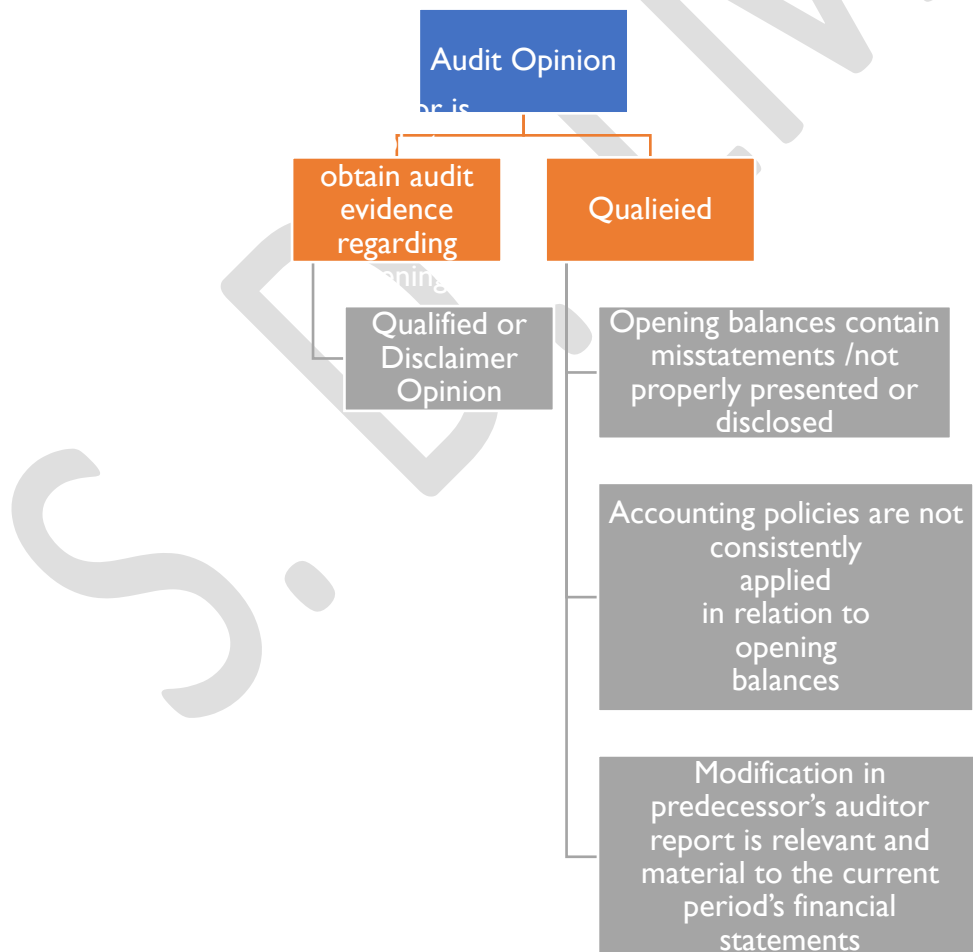
Test all above performance materiality balances

For Receivable and payable:

- Ageing report can be obtained for prior period; or
- Subsequent testing for all material balances

For Bank Balances: Obtain Bank statements, confirmation and bank reconciliation statements.

For fixed assets/investments/long term debt: Obtain fixed asset register/ investment, share certificate/ loan agreement



The newly appointed auditor of BTN Limited wants to obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements. What audit procedures should he perform for this purpose?

Audit Procedure Regarding Opening Balances: The newly appointed auditor of BTN Ltd shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures. The auditor of BTN Ltd shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by:

- I. Determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, any adjustments have been disclosed as prior period items in the current year's Statement of Profit and Loss.
- II. Determining whether the opening balances reflect the application of appropriate accounting policies; and
- III. Performing one or more of the following:
 - a) Where the prior year financial statements were audited, perusing the copies of the audited financial statements including the other relevant documents relating to the prior period financial statements.
 - b) Evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or
 - c) Performing specific audit procedures to obtain evidence regarding the opening balances.

NSA 520- Analytical Procedures

NSA 520, Analytical Procedures, is an auditing standard that provides guidance to auditors on the use of analytical procedures as an audit tool. The standard defines analytical procedures as the evaluation of financial information through analysis of plausible relationships among financial and non-financial data. The key points of NSA 520 are:

1. Planning analytical procedures: Auditors should plan the use of analytical procedures at the planning stage of the audit. The purpose of planning is to identify areas where analytical procedures can be used effectively.
2. Designing analytical procedures: Auditors should design analytical procedures that are relevant to the audit objectives, reliable, and capable of providing sufficient evidence to support the audit opinion. The design should also take into account the nature and scope of the entity's operations, and the availability of data.
3. Performing analytical procedures: Auditors should perform analytical procedures at various stages of the audit. The standard suggests that auditors should perform analytical procedures at the planning stage, during the audit fieldwork, and at the conclusion of the audit.
4. Evaluating the results of analytical procedures: Auditors should evaluate the results of analytical procedures in conjunction with other audit evidence obtained to form an overall conclusion on the financial statements.
5. Documenting analytical procedures: Auditors should document the analytical procedures performed and the results obtained. The documentation should be sufficient to enable another auditor to understand the nature, timing, and extent of the procedures performed and the results obtained.

Overall, NSA 520 emphasizes the importance of using analytical procedures as a tool to enhance audit effectiveness and efficiency. The standard requires auditors to use professional judgement in determining the nature, timing, and extent of the analytical procedures performed.

Reliability of Data

Under NSA 520, reliability of data is a key consideration when using analytical procedures as an audit tool. The auditor should obtain data that is relevant, reliable and sufficient to support the design and performance of the analytical procedures.

The reliability of data refers to the degree to which the data can be depended on for accuracy and completeness. The auditor should consider the source of the data, the nature of the data, and the controls over the preparation and maintenance of the data when assessing its reliability.

If the auditor determines that the data is not reliable, the auditor may need to consider alternative sources of data or perform additional procedures to obtain more reliable data. The auditor should also document any concerns about the reliability of data and the impact on the audit procedures performed.

It is important to note that the use of analytical procedures should not be the sole source of audit evidence. The auditor should use analytical procedures in conjunction with other audit procedures to obtain sufficient and appropriate evidence to support the audit opinion.

The following are the general procedures for performing substantive analytical review according to NSA 520:

1. **Suitability:** The auditor should plan the nature, timing, and extent of the substantive analytical procedures that are required to be performed. The planning should take into account the materiality of the financial statement balances, the assessed risks of material misstatement, the availability and reliability of data, and the nature of the client's business.
2. **Data Reliability:** The auditor should collect the relevant data necessary to perform the analytical procedures. The data may include financial and non-financial data such as budgets, industry data, economic data, and operating statistics.
3. **Develop expectations:** The auditor should develop expectations based on the data collected. The expectations can be developed using various methods such as trend analysis, ratio analysis, regression analysis, or benchmarking.
4. **Compare expectations with recorded amounts:** The auditor should compare the expectations developed in step 3 with the recorded amounts in the financial statements. Any significant differences between the expectations and the recorded amounts should be investigated by the auditor.
5. **Evaluate the results:** The auditor should evaluate the results of the substantive analytical procedures performed. The evaluation should take into account the nature and cause of any significant differences, the reliability of the data used, and the effectiveness of the analytical procedures performed.
6. **Document the procedures:** The auditor should document the procedures performed, the data collected, the expectations developed, the results obtained, and the evaluation of the results. The documentation should provide sufficient evidence to support the auditor's conclusions and findings.

NSA 530- Audit Sampling

- ✓ Sampling is the process of selecting few transactions (less than 100%) from the entire transactions (i.e., from population) for the purpose of identifying the characteristics of the population and forming an opinion there on.

Types of Sampling

- ✓ Two types of sampling are considered:
 - Statistical Sampling: This sampling is based on the theory of probability where the samples are selected by using the statistical tools such as random number tables, random number generators. This sampling is used when internal controls of the entity are strong and there is a lesser risk of misstatements.

Advantages:

- Samples are selected in an unbiased manner
- It is modern and scientific in nature
- The results of sampling are more accurate

Disadvantages:

- Not suitable for the entities having weak internal controls
- Required mathematical skills and knowledges
- Involves high training costs

The statistical sampling may further classify as (i) attribute sampling and (ii) variable sampling

- Attribute sampling:** in attribute sampling internal controls are tested to identify the particular characteristics of the transactions
- Variable Sampling:** In variable sampling, the account balances and transactions are tested to identify their correctness

- Non- Statistical/ Judgement sampling: This sampling is also known as judgmental sampling because it depends on the judgement of the auditor. This sampling is based on the auditors' experiences, knowledge, expertise. Therefore, it may be biased in nature.

Advantages:

- Simple and easy to understand
- It doesn't require any mathematical and statistical knowledge
- It is less expensive
- It can be used for any type of organization

Disadvantages:

- It is biased in nature
- Results are less accurate
- Sometimes, sample may not be a true representation of the population (i.e., anomaly)

Methods of Sampling

- Radom Selection:** it is the process of selecting the samples where the samples are selected without any structured pattern i.e., in a random manner.

There are three types of random selection

- Simple random selection: The samples are selected in a random manner by using random numbers tables or random number generators
- Haphazard Selection: Samples are selected without using any tools i.e., in a random manner through the judgement of the auditor (judgmental sampling)

- iii) **Stratified random number:** This sampling is used where the nature of the population is large and heterogeneous. The heterogeneous population is just divided into homogeneous population, this is the process of stratification. The samples are then selected from each group. This way the entire range is covered and auditor can form an overall opinion about the population
- B. Systematic Selection:** In this selection, there is a constant gap between the selection of two samples and the samples are examined in such a manner. (For example, 6th, 16th, 26th, sales invoice). There are three types of systematic sampling.
- i) **Value weighted sampling:** the value based on materiality is determined and the transactions having such material value are examined. It is obvious that the items having material value have greater chance of being selected.
 - ii) **Block Sampling :** The samples are selected in blocks and then examined for e.g. first 50 sales invoices are selected for every month.
 - iii) **Cluster Sampling :** In this sampling the transactions are first divided into groups known as clusters and samples are selected from the cluster in systematic manner. For example 500 purchase samples are divided into 10 cluster having 50 populations each. Then purchase vouchers are selected from each cluster such as every 5th items of each cluster.

Factor affecting sampling size

A. Tolerable errors (for TOD) and Tolerable deviation (for TOC)

- ✓ It refers to the errors that the auditor is willing to accept for the given population.
- ✓ Lesser the tolerable errors /tolerable deviation, bigger the sample size, it means that if the auditor is not willing to tolerate any errors, he shall take the bigger sample size.

B. Expected Errors

- ✓ It is the error that auditor expects in the population based upon his understanding about the entity. If the auditor expects higher rate of error auditor would take big sample size.

C. Sampling Risks: It is a risk that arises from the possibility that the audit results based on samples may be different had the auditor applied audit procedures on the entire populations. Sampling risk is inherent in sampling. To reduce the sampling risk bigger sample size is to be considered. Sampling risk arises in substantive and compliance procedures.

a) Risk in compliance procedures

- ✓ **Risk of under reliance**
- ✓ **Risks of over reliance**

b) Risk in Substantive Procedures

- ✓ **Risk of incorrect rejections**
- ✓ **Risk of incorrect acceptance**

What are the areas where sampling is not suggested?

Sampling is a common technique used in auditing to obtain evidence about a population. However, there are certain situations where sampling may not be appropriate or sufficient for an auditor to draw conclusions. Here are some examples of areas where sampling may not be appropriate in an audit:

- ✓ **Fraud investigations:** In situations where there is a suspicion of fraud, sampling may not be an appropriate method to obtain evidence. Auditors may need to investigate all transactions and documents to identify any fraudulent activity.

- ✓ **Tests of controls:** When performing tests of controls, auditors may need to examine all transactions to assess the effectiveness of internal controls. Sampling may not provide sufficient evidence to evaluate the overall effectiveness of a control.
- ✓ **High-risk areas:** In high-risk areas such as financial reporting or areas with a history of material misstatements, auditors may need to perform substantive testing on 100% of the transactions or account balances. Sampling may not provide sufficient evidence to support a conclusion on the accuracy of financial statements.
- ✓ **Non-representative populations:** If the population being sampled is not representative of the entire population, sampling may not provide accurate results. For example, if a sample is taken from only one business unit within a company, it may not be representative of the entire organization.
- ✓ **Small populations:** If the population being sampled is small, auditors may need to examine all transactions or account balances to obtain sufficient evidence. Sampling may not be appropriate if the population is small enough to examine in its entirety.

In summary, auditors need to exercise professional judgment when deciding whether to use sampling techniques in an audit. Sampling may not be appropriate in all situations, and auditors should consider the nature of the population being sampled and the risks associated with the audit objective when deciding on the appropriate audit approach.

Tolerable Misstatements and Tolerable rate of deviation

Tolerable misstatement is the maximum amount of error that an auditor can tolerate in the financial statements without qualifying their opinion on the fairness of the financial statements. Tolerable misstatement is determined based on a combination of factors, including the auditor's judgment, the size and complexity of the account or balance being audited, and the level of risk associated with the account or balance.

The tolerable rate of deviation, on the other hand, is the maximum rate of deviation from a prescribed control procedure that an auditor can tolerate and still conclude that the control is effective. The tolerable rate of deviation is also determined based on a combination of factors, including the auditor's judgment, the effectiveness of the control, and the level of risk associated with the control.

Both tolerable misstatement and tolerable rate of deviation are used in the audit process to help auditors determine the appropriate level of evidence they need to gather to support their conclusions. If the actual misstatement or deviation exceeds the tolerable amount, auditors may need to perform additional audit procedures or qualify their opinion on the financial statements or the effectiveness of the control.

It is important to note that tolerable misstatement and tolerable rate of deviation are not fixed values but rather estimates based on the auditor's professional judgment. Therefore, it is essential for auditors to carefully document the basis for their determinations to ensure that their conclusions are supported by sufficient evidence and that their judgments can be defended if challenged.

NSA 540- Auditing Accounting Estimates and Related Disclosures

There are many accounting estimates in the financial statements, e.g. allowances for receivables, depreciation of property, plant and equipment, provisions, etc.

Accounting estimates are inherently risky because they relate to the future and therefore documentary evidence may be limited. This makes it difficult for the auditor to obtain sufficient appropriate evidence regarding the balance

Inherent risk is increased because management judgment is needed to determine accounting estimates. As a result, estimates may be used to manipulate the financial statements and show a desired result.

Professional skepticism is essential for the auditor to ensure the accounting estimates are reasonable and are not being used to introduce bias into the financial statements.

NSA 540 (Revised) Auditing Accounting Estimates and Related Disclosures requires the auditor to obtain an understanding necessary to allow the auditor to identify and assess the risks of material misstatement relating to accounting estimates.

This involves obtaining an understanding of:

- The entity's environment including the requirements of the financial reporting framework and regulatory factors relevant to accounting estimates
- The entity's internal controls related to accounting estimates including the control activities, the need for specialized skills, and the governance in place over the financial reporting process relevant to estimates, and how management reviews the outcome of previous accounting estimates and responds to the results of the review

The auditor must separately assess inherent risk and control risk when assessing the risk of material misstatement relating to accounting estimates. When assessing inherent risk the auditor should consider:

- The degree to which the estimate is subject to estimation uncertainty
- The degree of complexity and subjectivity involved in the method, assumptions and data used to make the estimate.
- The degree of complexity and subjectivity used in the selection of management's point estimate

When responding to the risk of material misstatement in the accounting estimates, the auditor must perform the following procedures;

- Obtain evidence from subsequent events.
- Test how management made the estimate.
- Develop an auditor's point estimate or range

Obtain sufficient and appropriate evidence about whether accounting estimates and related disclosures are reasonable in the context of the financial reporting framework

Audit procedures required will vary in relation to the estimation uncertainty

Professional skepticism should be increased in relation to the assessed level of inherent risk, and where accounting estimates are subject to a greater degree of estimation uncertainty

The auditor is required to:

- Separately assess inherent risk and control risk to assess the risk of material misstatement

- Respond to the risk of material misstatement by
 - ✓ Reviewing events after the reporting period
 - ✓ Testing how management made the estimate
 - ✓ Developing an independent estimate
- Request written representation from management about whether the methods, significant assumptions and data using in making the estimates are appropriate.

S.D.LMR

NSA 550- Related Party

The definition provided of a related party in NSA 550 is based on a person or entity that has control or significant influence, directly or indirectly, over the reporting entity; another entity over which the reporting entity has control or significant influence, directly or indirectly, or another entity that is under common control of the reporting entity. The applicable financial reporting framework is likely to provide similar definitions (for example in NAS 24, *Related Party Disclosures*). The issue is that all entities, whether large or small, will have related parties, which the auditor must take steps to identify, and to assess the risk of material misstatement arising.

Risk factors and objectives

Regardless of whether the applicable financial reporting framework establishes related party requirements, the auditor's objective is to obtain an understanding of related party relationships and transactions. This understanding should then be used to assess any resulting fraud risk indicators, and to conclude on the appropriateness of the accounting treatment and disclosures applied to related parties and transactions.

It is important to appreciate that NSA 550 recognizes that related parties and transactions may give rise to a high-risk of material misstatement, and are therefore of particular significance to the auditor. Risks arise because:

- ✓ Many entities operate through a complex range of relationships and structures, increasing the complexity of related party transactions;
- ✓ Management may be unaware of the existence of all related-party relationships and transactions;
- ✓ The entity's information systems may not identify transactions or outstanding balances with related parties, especially for transactions conducted at nil value, or outside the normal course of business;
- ✓ Related-party transactions may not be conducted under normal terms and conditions; and
- ✓ Related-party transactions may be deliberately concealed by management, and their accounting treatments often carry a high risk of deliberate manipulation.

NSA 550 emphasizes the importance of maintaining professional skepticism when planning and performing audit work on related parties.

Identification of related-party relationships and transactions NSA 550 requires the use of a risk-based approach to the audit of related parties and transactions. Specific reference is made to the engagement team discussion, in which specific consideration shall be made of the susceptibility of the financial statements to material misstatement resulting from related parties and transactions. Matters that could be discussed by the engagement team may include, for example, the entity's organizational structure, instances of off-balance sheet finance, and the existence of any special purpose entities controlled or influenced by management.

NSA 550 imposes specific requirements in terms of enquiry with management. The auditor shall inquire regarding:

- ✓ The identity of related parties, including changes from the last reporting period;
- ✓ The nature of the relationships between the entity and the related parties; and
- ✓ Whether any related-party transactions have been entered into, and the type and purpose of any such transactions.

From a practical point of view, to help fulfil these requirements, the auditor should ask management for a list of related parties and all relevant transactions. This list can then be reviewed for completeness, based on the auditor's business understanding. Of course, management may not have

such a list, especially if the applicable financial reporting framework contains limited or no disclosure requirements, in which case the auditor may need to discuss the NSA 550 definition of related party relationships with management and ask for a list to be drawn up.

NSA 550 also requires that the auditor obtains an understanding of controls used by management to:

- ✓ Identify, account for and disclose related-party relationships and transactions;
- ✓ Authorize and approve significant transactions and arrangements with related parties; and
- ✓ Authorize and approve significant transactions and events outside the normal course of business.

The application paragraphs of NSA 550 explain that the risk of management override of controls is potentially high when considering related-party relationships and transactions, especially when the relationships present management with incentives and opportunities to conduct fraud. Examples of such frauds include the transfer of assets to related parties at an amount significantly different to market value, and using special-purpose entities to deliberately misrepresent the financial position or performance of the reporting entity.

NSA 550 imposes a requirement that specific documents shall be inspected for indications of the existence of related-party relationships or transactions that management has not previously identified or disclosed to the auditor. The documents referred to in the NSA are:

- ✓ Bank and legal confirmations; and
- ✓ Minutes of meetings of shareholders and of those charged with governance.

Although the clarified NSA 550 requires the inspection of few specific documents, it requires the auditor to actively consider the inspection of other records or documents to identify related-party relationships transactions. Paragraph A22 provides a comprehensive list of suggestions, including:

- ✓ Entity income tax returns;
- ✓ Information supplied by the entity to regulatory authorities;
- ✓ Shareholder registers to identify the entity's principal shareholders;
- ✓ Statements of conflicts of interest from management and those charged with governance;
- ✓ Records of the entity's investments and those of its pension plans;
- ✓ Contracts and agreements with key management or those charged with governance;
- ✓ Significant contracts re-negotiated during the period

Related-party transactions outside the normal course of business NSA 550 requires that significant related-party transactions outside the normal course of business shall be treated as a significant risk. The NSA provides examples of such transactions, including complex equity transactions, sales transactions with unusually large discounts or returns, transactions with circular arrangements such as sale and repurchase, and the rendering of management services if no consideration is exchanged.

If such transactions are identified, enquiries should be made into the business rationale of the transaction, and the relevant terms and conditions. Of course, the issue here is that the auditor should be alert to fraud-risk indicators, as well as considering whether the transaction has been accounted for correctly, and disclosed appropriately in the financial statements.

The application paragraphs of NSA 550 provide a helpful summary of matters that may be considered in evaluating the business rationale of a transaction, including the consideration of whether the transaction is overly complex, has unusual terms of trade, involves previously unidentified related parties, or is processed in an unusual manner.

It is also important to consider whether significant related-party transactions outside the normal course of business have been authorized and approved by management, those charged with governance, or shareholders (where relevant). The absence of such authorization and approval without rational explanation may indicate a high risk of material misstatement due to fraud or error.

New Discovery of Related Party

When the auditor discovers a related-party relationship or significant transaction with a related party that had not been disclosed by management, NSA 550 requires additional procedures to be conducted. These include prompt communication of the discovery with the audit engagement team, enquiry with management as to why controls failed to identify or disclose the related party or transaction, and the performance of additional substantive procedures, such as analysis of accounting records for transactions with the newly identified related party.

The main issues for the auditor to address here are whether the non-identification of the related party or transaction is deliberate, and whether there are other non-identified related parties or transactions.

If it appears that management has concealed their existence, the auditor may consider whether it is necessary to re-evaluate management's responses to auditor's enquiries. Deliberate concealment may be viewed as a fraud risk indicator, and NSA 240 becomes relevant.

Representations and communication

NSA 550 requires that where the financial reporting framework establishes related party requirements, the auditor shall obtain written representations from management, and where appropriate, those charged with governance that:

- ✓ They have disclosed the identity of all related parties, related party relationships and transactions that they are aware; and
- ✓ They have appropriately accounted for and disclosed such relationships and transactions in accordance with the financial reporting framework.

NSA 550 also provides guidance on matters relevant to related parties that the auditor may communicate to those charged with governance, for example:

- ✓ Non-disclosure (whether intentional or not) by management to the auditor of related parties or significant related-party transactions, which may alert those charged with governance to significant related-party relationships and transactions of which they may not have been previously aware;
- ✓ Disagreement with management regarding the accounting for and disclosure of significant related party transactions in accordance with the framework; and
- ✓ Difficulties in identifying the party that ultimately controls the entity.

NSA 560- Subsequent Events

- The auditor should perform audit procedures designed to obtain sufficient appropriate audit evidence that all events up to the date of the auditor's report that may require adjustment of, or disclosure in, the financial statements have been identified.
- The audit procedures to identify events that may require adjustment of, or disclosure in, the financial statements would be performed as near as practicable to the date of the auditor's report. Such audit procedures take into account the auditor's risk assessment and ordinarily include the following:
 - Reviewing procedures management has established to ensure that subsequent events are identified.
 - Reading minutes of the meetings of shareholders, those charged with governance the board of directors, including established committees such as relevant and audit and executive committees and the audit committee, held after period end and inquiring about matters discussed at meetings for which minutes are not yet available.
 - Reading the entity's latest available interim financial statements and, as considered necessary and appropriate, budgets, cash flow forecasts and other related management reports
 - Inquiring, or extending previous oral or written inquiries, of the entity's legal counsel lawyers concerning litigation and claims.
 - Inquiring of management as to whether any subsequent events have occurred which might affect the financial statements. Examples of inquiries of management on specific matters are:
 - ❖ The current status of items that were accounted for on the basis of preliminary or inconclusive data.
 - ❖ Whether new commitments, borrowings or guarantees have been entered into.
 - ❖ Whether sales or acquisition of assets have occurred or are planned.
 - ❖ Whether the issue of new shares or debentures or an agreement to merge or liquidate has been made or is planned.
 - ❖ Whether any assets have been appropriated by government or destroyed, for example, by fire or flood.
 - ❖ Whether there have been any developments regarding risk areas and contingencies.
 - ❖ Whether any unusual accounting adjustments have been made or are contemplated.
 - ❖ Whether any events have occurred or are likely to occur which will bring into question the appropriateness of accounting policies used in the financial statements as would be the case, for example, if such events call into question the validity of the going concern assumptions
- When the auditor becomes aware of events which materially affect the financial statements, the auditor should consider whether such events are properly accounted for and adequately disclosed in the financial statements

Financial statements amended *after* the date of the auditor's report, but *before* the financial statements are issued.

Circumstances may arise when the auditor becomes aware of facts that may materially affect the financial statements and, in such situations, the auditor will consider whether the financial statements need amending. The auditor is required to discuss with management how they intend to deal with events that will require the financial statements to be amended after the auditors have signed their report, but before the financial statements are issued.

Where the financial statements are amended, the auditor is required to carry out necessary audit procedures in light of the circumstances giving rise to the amendment. The auditor will also be required

to issue a new auditor's report on the amended financial statements and, therefore, must extend their subsequent events testing up to the (expected) date of the new auditor's report. The revised auditor's report must not be dated any earlier than the date of the amended financial statements. In situations where management refuses to make amendments to the financial statements, the auditor must take all steps required to avoid reliance by third parties on the auditor's report. The auditor should also consider the need to resign from the audit.

1. Discuss the matter with management or TCWG.
2. Determine whether the financial statements need amendment.
3. Inquire how management intends to address the matter in the financial statements.

If management amends the financial statements, auditor should extend the audit procedures and

1. Either amend the audit report to include an additional date restricted to the amendment.
2. Or provide a new/ amended report including a statement in EOM/ OM para.

If management doesn't amend the financial statements:

1. If audit report not yet provided to the management, modify the opinion or withdraw from engagement.
2. If audit report has already been provided to the management, notify TCWG not to issue it to third parties. If still issued then take appropriate action to prevent reliance on the auditor's report.

Facts that become known to the auditor after the financial statements have been issued

1. Discuss the matter with management or TCWG.
2. Determine whether the financial statements need amendment.
3. Inquire how management intends to address the matter in the financial statements.

Review if management has taken steps to inform about the situation to everyone in receipt of the previously issued financial statements.

1. If steps taken, issue new / amended report with EOM/ OM para.
2. If steps not taken, then auditor seek legal advice and take appropriate steps to prevent reliance on the auditor's report.

NSA 570: Going Concern

- ✓ The objective of this standard is to provide guidelines to the auditor for assessing the going concern assumption of the entity for the purpose of reporting.
- ✓ The objective of the auditor is to obtain sufficient appropriate audit evidence regarding the appropriateness of management use of going concern assumption and to conclude whether there is material uncertainty regarding the entity's ability to continue as a going concern

Meaning

It is an assumption of the entity regarding its ability to continue the business for a foreseeable period of time. Under going concern assumption, the FS are prepared with a view that the entity will be able to realize its assets in order to discharge its liabilities.

Going concern is the assumption that the entity will continue in business for the foreseeable future

- The period that management (and therefore the auditor) is required to consider is the period required by the applicable financial reporting framework or by law or regulation if longer.
- Generally, the period is a minimum of twelve months from the year-end. In some jurisdictions the period is a minimum of twelve months from the date the financial statements are approved
- Consideration of the foreseeable future involves making a judgment about future events, which are inherently uncertain
- Uncertainty increases with time and judgments can only be made on the basis of information available at any point. Subsequent events can overturn that judgment

Factor Affecting the judgement regarding Going Concern

- The degree of uncertainty associated with the outcome of an event or condition
- The size and complexity of the entity, the nature and condition of its business and the degree to which it is affected by external factors
- Any judgment about the future is based on information available at the time at which the judgment is made.

NSA 570, "Going Concern," requires auditors to assess an entity's ability to continue as a going concern. The auditor's assessment is based on a range of factors, including both internal and external factors. Some of the key factors affecting the assessment of going concern under NSA 570 are:

1. **Financial performance and position:** The auditor will examine the entity's financial statements to evaluate its financial performance and position. The auditor will look at factors such as profitability, liquidity, solvency, cash flow, and debt levels to assess the entity's ability to continue as a going concern.
2. **Operating environment:** The auditor will consider the entity's operating environment, including industry trends, competition, and regulatory changes. The auditor will assess the impact of these factors on the entity's operations and financial performance.
3. **Management's plans and intentions:** The auditor will examine management's plans and intentions for addressing any concerns about the entity's ability to continue as a going concern. This includes evaluating management's strategy for improving the entity's financial position, reducing costs, or raising additional funds.
4. **Financial support:** The auditor will evaluate the availability and adequacy of financial support for the entity, including its ability to raise additional funds or access credit facilities.
5. **Events after the reporting period:** The auditor will consider any events that occur after the reporting period but before the issuance of the financial statements that may affect the entity's ability to continue as a going concern.

6. **Existence of material uncertainties:** The auditor will evaluate the existence of material uncertainties related to the entity's ability to continue as a going concern. If such uncertainties exist, the auditor will determine whether they are adequately disclosed in the financial statements.
7. **Legal and regulatory requirements:** The auditor will consider any legal or regulatory requirements that may affect the entity's ability to continue as a going concern.

Overall, the assessment of going concern under NSA 570 requires a thorough evaluation of the entity's financial position, operating environment, management's plans and intentions, and other factors that may affect its ability to continue as a going concern. The auditor's assessment should be based on objective evidence and professional judgment, and the auditor should document the basis for their conclusions in their audit working papers.

Responsibility of Management

- ✓ It is the responsibility of management to identify the appropriateness of its going concern assumptions and to conduct relevant risk assessments procedures to identify whether there is any doubt regarding the going concern.
- ✓ It is also the responsibility of management to design the plans if any material inconsistencies regarding going concern arises.

Responsibility of Auditor

- ✓ It is the responsibility of the auditor to conduct sufficient audit procedures in order to identify whether the management's use of going concern is appropriate in preparation of FS and to conclude whether the going concern assumption is intact or any material uncertainties exists that may cast a significant doubt for the going concern
- ✓ The auditor shall identify the appropriateness of going concern by evaluating the indicators of going concern.

Indicators of Going concern

- a) **Financial:** Continuous losses, negative cash flows from operations, erosion of net worth, arrears in dividend, adverse key financial ratios, maturing the loan without the chance of renewal, change from credit to cash etc.
- b) **Operational:** Management's intention to liquidate, loss of KMP without any replacement, loss of market, loss of suppliers and major customers, lack of competent persons or marketing strategy that may hamper the going concern, labor issues etc.
- c) **Other:** loss of license, loss of franchise, changes in laws and regulations, adverse legal decisions, capital and statutory requirements, natural calamities etc.

Auditor's procedures when indicators are identified

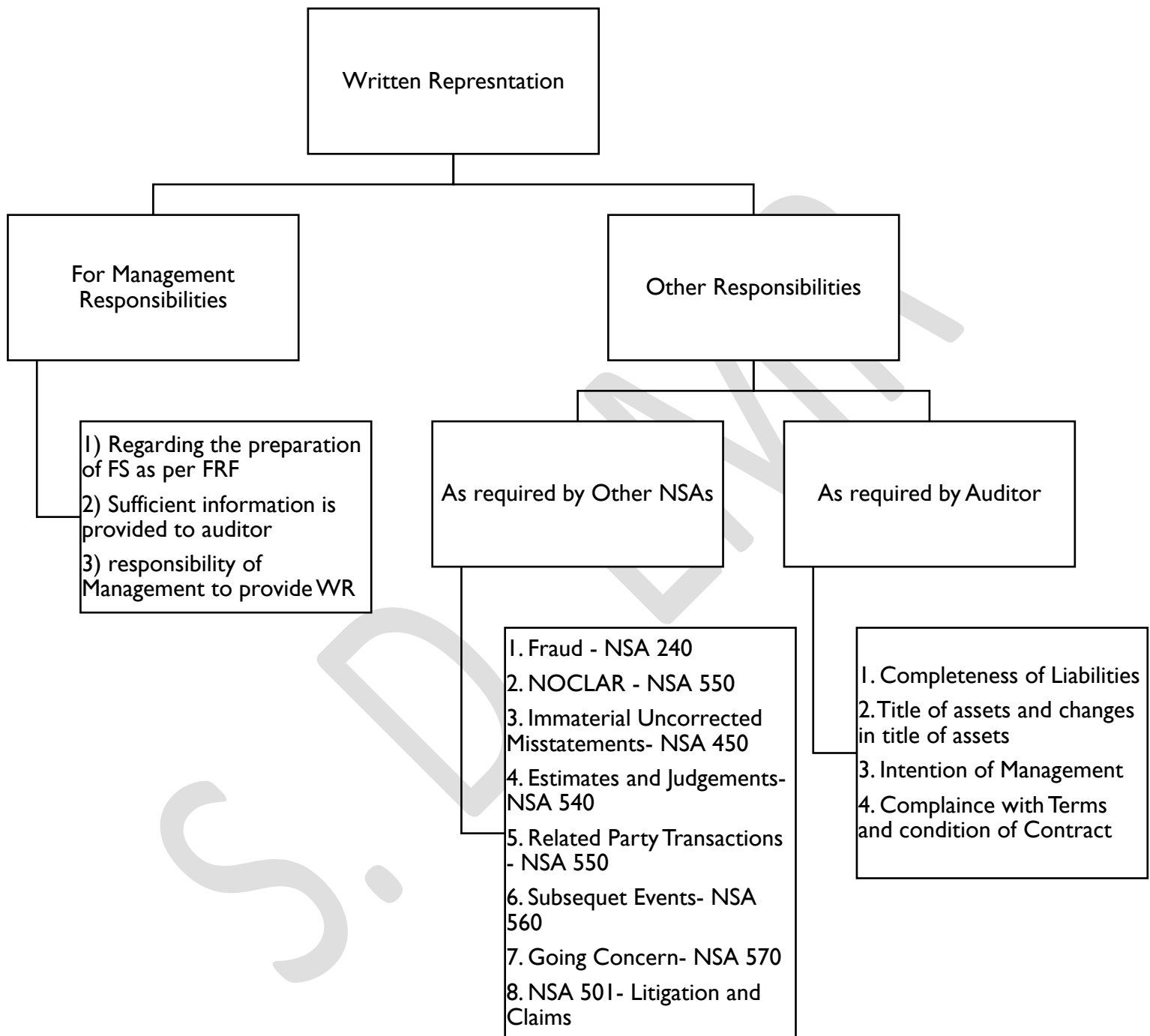
When indicators are identified, the auditor shall perform the following procedures

- ✓ Evaluate the impact of indicators
- ✓ Obtain an understanding about the management's plan for future actions in relation to its going concern assessment and evaluate whether their plans and actions are relevant for improving the going concern position
- ✓ The auditor shall also obtain written representations from the management regarding their plans and the feasibility of the plan
- ✓ If the auditor is satisfied that the going concern assumption is not appropriate, the auditor shall ask the management to adjust the FS, if the management doesn't make adjustments the auditor shall suitably modify the opinion

If going concern is appropriate but some indicators are identified. However, the material uncertainty is properly disclosed in financial statements	Emphasis of Matter
If going concern is appropriate but some indicators are identified. However, the material uncertainty is not properly disclosed in financial statements	Qualified
If going concern is not appropriate	Adverse opinion

Examination of Cash flow forecasts
One way of assessing the client's ability to continue as a going concern is to examine the reasonableness of the assumptions used to prepare the cash flow forecast. The following procedures are typical of those that would be performed in the examination of a cash flow forecast. ✓ Agree the opening balance of the cash forecast to the cash book, to ensure accuracy ✓ Consider how reasonable company forecasts have been in the past by comparing past forecasts with actual outcomes. If forecasts have been reasonable in the past, this would provide some confidence over the reasonableness of the current forecast ✓ Determine the assumptions that have been made in the preparation of the cash flow forecast. For example, if the company is operating in a poor economic climate, you would not expect cash flows from sales and realization of receivables to increase, but either to decrease or remain stable. If costs are rising you would expect payments to increase in the cash flow forecast. ✓ Agree the timing of receipts from realization of receivables and payments to suppliers with credit periods and previous trade receivables and payables payment periods. ✓ Examine the company's detailed budgets for the forecast period and discuss any specific plans with the directors ✓ Examine the assessment of the non-current assets required to meet production needs. Agree cash outflows for non-current assets to supplier quotations ✓ For acquisitions of buildings, agree the timing and amount of cash outflows to the expected completion date and consideration in the draft sale and purchase agreement. ✓ Consider the adequacy of the increased working capital and the working capital cash flows included in the forecast ✓ If relevant, compare actual performance in the most recent management accounts to the forecast figures ✓ Recalculate the cash flow forecast balances to verify arithmetical accuracy. ✓ Inspect board minutes for any other relevant issues which should be included within the forecast.

NSA 580- Written Representations



- ✓ The Objective of this standards is to provide guidelines to auditor to obtain written representations/MRL wherever necessary during the course of audit in order to collect sufficient appropriate audit evidence.

- ✓ Written Statement by the management is to confirm certain matters and to support other audit evidence obtained during the audit period.
- ✓ MRL plays a significant role for providing sufficient appropriate audit evidence to the audit. However, MRL alone cannot be regarded as Sufficient appropriate audit evidence.
- ✓ The reliable MRL doesn't affect nature timing and extent of audit and its audit procedures.

Management Representation about the Management Responsibilities

The auditor shall obtain the MRL regarding the responsibilities of the management for:

- ✓ Preparation of Financial Management Statement in accordance with the applicable FRF
- ✓ The Completeness and accuracy of the information provided to the auditor
- ✓ Responsibility of the management for the provided written representations.
- ✓ Implementation of internal control for preparation of Financial Statements

Date/Period covered by the WR

- ✓ The MRL should cover the period of the financial statements under audit
- ✓ The date of MRL should not beyond the date of Auditor's Report because the audit report provides the final opinion about the financial statements.
- ✓ That means MRL shall be dated before the date of Auditor's report. However, the date is as near as possible of the auditor's report.

Note

- ✓ The MRL should be prepared under the letter head of auditee entity and should addressed to auditor.

Doubt as to reliability of WR

- ✓ If the auditor has doubt regarding the reliability of MRL, then the auditor should obtain the audit evidence from additional audit procedures and also evaluate the effect on the auditor's report.
- ✓ The following circumstances can be considered:
 - a) **Doubt as the reliability of MRL:** if the auditor has any doubt about the reliability of MRL, the auditor shall perform additional audit procedures to obtain SAAE for assessing the impact on auditor's report.
 - b) **Management's refusal to provide MRL:** If the management refuses to provide MRL, the auditor shall discuss the matter with relevant authorities and take appropriate action by considering the impact on auditor's report
 - c) The auditor shall disclaim the opinion if the management doesn't provide MRL as required by the auditor of if the auditor has a valid doubt over integrity of the Management.

Q: During the audit of ABC Ltd, auditor couldn't verify certain goods which the management claimed you be in transit, the auditors obtained MRL from the management and signed the audit report. Comment

Answer: As per NSA 505, Audit Evidence, audit evidence is basis for information of opinion on the financial statement and audit evidence should be sufficient appropriate where sufficient refers to quantity and appropriateness refers to quality of audit evidences.
Similarly, as per NSA 580, management representation letter, written statement by the management to confirm certain matters and to support other evidence before issuance of auditor's report. However,

management representation letter cannot be regarded as sufficient appropriate evidences and substitute of other audit evidences.

In the question above, the auditor of ABC Ltd couldn't verify certain goods which the management claimed to be in transit. The auditor obtained MRL from the management and signed the audit report. Here, the WR obtained from management cannot be considered as sufficient appropriate and substitute of audit evidence. As per NSA 505, external confirmation, the confirmation obtained by the auditor directly from the third which is involved with the entity is more reliable than the information from internal sources. The auditor shall obtain confirmation request from supplier, verify with lorry receipt and also obtain import related documents (if applicable) to verify the stock in transit.

Auditor should verify such goods in transit by applying additional audit procedures as discussed above and such evidences shall confirm with Management Representation Letter. If SAAE cannot be obtained by performing additional procedures, then issue modified opinion as per NSA 705.

NSA 600 (REVISED) – Special Considerations—Audits of Group Financial Statements (Including the Work of Component Auditors)

A. INTRODUCTION AND OVERARCHING PRINCIPLES

Paragraph 1–4: Scope and Purpose

- **Applicability:** The standard applies to **all audits of group financial statements**, irrespective of the group's size or complexity. This includes any financial statements that combine the financial information of more than one entity, division, branch, or business unit.
- **Core Focus:** It specifically outlines:
 1. The **responsibilities of the group auditor**.
 2. How the **NSAs are to be applied** in a group audit context.
- **Interrelation with Other Standards:** NSA 600 must be applied **in conjunction with**:
 - **NSA 200:** For overarching objectives.
 - **NSA 220 (Revised):** For quality management at the engagement level.
 - **NSA 315 (Revised):** For risk assessment.
 - **NSA 330:** For responses to assessed risks.
- **Practical Implication:** There is no "small group" exemption. The principles are scalable but mandatory.

Paragraph 5–9: Key Definitions (Applied Practically)

- **Group:** An aggregation of all **components** included in the group financial statements.
- **Component:** A broader concept than a legal entity. It can be:
 - A subsidiary, joint venture, associate.
 - A division, branch, geographical location.
 - A **shared service center**, centralized function (e.g., group treasury, IT processing).
 - Any business activity or combination thereof whose financial information is part of the group.
- **Component Auditor:** The auditor performing work on a component's financial information. For the purposes of **NSA 220**, the component auditor is **considered part of the engagement team**. This elevates the group auditor's responsibility for their work.
- **Group Auditor:** The audit firm/partner **responsible for the group audit opinion**.
- **Group Engagement Partner:** The partner who bears **ultimate and undivided responsibility** for the group audit engagement and opinion.

B. OBJECTIVE AND FUNDAMENTAL RESPONSIBILITIES

Paragraph 10: Objective of the Group Auditor

The group auditor's objective is threefold:

1. **Engagement Viability:** To determine if accepting or continuing the engagement is appropriate.
2. **Evidence Gathering:** To obtain **sufficient appropriate audit evidence** concerning:
 - The financial information of all components.
 - The **consolidation process**.
3. **Opinion Formation:** To express an opinion on whether the group financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework.

C. ACCEPTANCE AND CONTINUANCE

Paragraph 24–27: Preconditions for Accepting/Continuing a Group Audit

- **Critical Evaluations Required:** The group auditor **must evaluate** whether:
 - **Unrestricted access** to people, information, and documentation at the component level is possible.
 - There will be **access to component management and auditors**.

- Component auditors can and will comply with **relevant ethical requirements** (e.g., independence).
- **Assessment of Component Auditors:** The group auditor must assess:
 - The **professional competence and capabilities** of the component auditors.
 - Whether they operate in a regulatory environment that **actively enforces audit standards and ethics**.
- **Dealing with Restrictions:** If there are scope restrictions at a component level (e.g., denied access), the group auditor must assess if they can still obtain sufficient appropriate evidence.
 - **If not, the engagement must not be accepted or must be withdrawn.**
- **Inspection Focus:** The **decision-making process and rationale for acceptance/continuance must be explicitly documented**. Assumptions are not sufficient.

D. RISK ASSESSMENT AT GROUP LEVEL

Paragraph 28–33: Understanding the Group and Its Environment

The group auditor must obtain a deep understanding of:

- The group's **legal and organizational structure**.
- Its **business activities, products, and geographical spread**.
- The **consolidation process**, including the IT systems and controls over it.
- **Group-wide controls** and the nature of centralized functions (e.g., payroll, procurement).
- **Special Attention Areas:**
 - Shared service centers.
 - Central treasury and financing operations.
 - Group-wide IT platforms (e.g., ERP systems).
 - Operating in jurisdictions with **restrictive regulations** (affecting access or information flow).

Paragraph 34–37: Identifying and Assessing Risks of Material Misstatement

- **Dual-Level Risk Assessment:** Risks must be identified:
 - At the **overall group financial statement level**.
 - At the **assertion level** for classes of transactions, account balances, and disclosures.
- **Sources of Risk:** Misstatement can arise from:
 - Component-specific transactions.
 - **Consolidation adjustments and journal entries**.
 - The **aggregation of small misstatements** across many components.
- **Key Concept – Aggregation Risk:** The standard explicitly highlights **aggregation risk**—the risk that individually immaterial misstatements at component level could aggregate to a material misstatement at group level.
- **Strategic Determination:** The group auditor must decide **where** (which components) and **how** (nature of procedures) to address risks, moving beyond a simplistic "important vs. non-important component" classification.

E. MATERIALITY IN GROUP AUDITS

Paragraph 38–41: Materiality Determination

- **Two-Tiered Materiality:**
 1. **Group Materiality:** For the financial statements as a whole.
 2. **Component Performance Materiality:** Set **lower than group materiality** specifically to:
 - Reduce audit risk at the component level.
 - **Address aggregation risk** across multiple components.
- **Communication:** The **clearly trivial threshold** must be communicated to component auditors.
- **Judgmental Factors:** Materiality settings must reflect:

- The **risk profile** of individual components.
- The **nature of misstatements** that are likely (e.g., risk of fraud).

F. PLANNING AND DESIGNING RESPONSES TO RISKS

Paragraph 42–49: Overall Group Audit Strategy

- The group auditor must establish a clear **overall group audit strategy** and a **detailed group audit plan**.
- The plan must address:
 - The **nature, timing, and extent** of audit work to be performed on components.
 - The **planned involvement** of the group engagement team in the work of component auditors.
- **Significant Change:** The revised standard **removes any prescribed "minimum" audit procedures** (like the old "analytical review only" option). The scope of work is now **entirely driven by risk assessment**.

Paragraph 50–57: Nature of Work at Component Level

- Based on risk, work on a component can vary significantly:
 - **Full audit** of the component's complete financial information.
 - **Audit of specific balances, classes of transactions, or disclosures** (e.g., inventory, related party loans).
 - **Specified audit procedures** on particular risk areas.
- **Who Performs the Work:** The work can be done by:
 - The **group engagement team**.
 - **Component auditors**.
 - A **combination** of both.

G. INVOLVEMENT OF COMPONENT AUDITORS

Paragraph 58–63: Direction of Component Auditors

The group auditor must give **clear, documented instructions** to component auditors, covering:

- Identified **significant risks of material misstatement**.
- Applicable **materiality levels** (group and component performance).
- **Scope of work** to be performed.
- Relevant **ethical and independence requirements**.
- **Reporting format and deadlines** for communicating findings.

Paragraph 64–69: Supervision of Component Auditors

- Supervision is an **ongoing process**, not a one-time instruction. It includes:
 - Regular interaction.
 - Monitoring progress.
 - Timely resolution of significant issues.
- The **extent of supervision** depends on:
 - **Risk** associated with the component.
 - **Complexity** of the work.
 - **Experience and competence** of the component auditor.

Paragraph 70–73: Review of Component Auditor Work

- The group auditor **must review** the component auditors' work to the extent necessary to be satisfied, it is adequate for the group audit.
- The review must include:
 - **Key working papers**.
 - **Significant professional judgments** made.
 - **Conclusions** reached.
- **Critical Warning: Relying solely on a "reporting package" or summary from the component auditor is insufficient.** The group auditor must get involved and review underlying evidence for high-risk areas.

H. PROFESSIONAL SKEPTICISM AND JUDGMENT

Paragraph 74–76

- The group auditor must **maintain professional skepticism** throughout, especially when:
 - **Evaluating the work and findings** of component auditors.
 - **Conflicting or contradictory evidence** arises.
- **No Exceptions:** Challenges like cultural differences, language barriers, or varying regulatory environments **do not diminish the requirement** for skepticism.
- **Tone at the Top:** The **group engagement partner is responsible** for fostering an environment of quality and skepticism within the group audit team.

I. CONSOLIDATION PROCESS

Paragraph 77–80

- The group auditor must **specifically audit the consolidation process**, including:
 - **Accuracy and completeness** of consolidation adjustments and elimination entries.
 - **Uniform application** of the group's accounting policies across all components.
 - **Appropriateness** of foreign currency translation.
- **High-Risk Area: Consolidation journals are presumed to be a significant risk area** due to their complexity and manual nature.
- **Disclosures:** Audit procedures must cover disclosures related to the group structure, significant components, and the consolidation process itself.

J. COMMUNICATION

Paragraph 81–83

- **Two-Way Communication** with component auditors is essential.
- Communication is also required with:
 - **Group Management**
 - **Those Charged with Governance** of the group.
- **Matters to Communicate** include:
 - The overall **scope and approach** of the group audit.
 - **Significant deficiencies** in internal control identified.
 - **Significant difficulties** encountered during the audit (e.g., scope restrictions, delays).

K. DOCUMENTATION

Paragraph 84–86

- Documentation is a **critical defense** and a primary focus for inspections (e.g., by NFRS/ICAI in India, Auditing Standards Board in Nepal).
- The audit file must clearly demonstrate:
 - The **rationale for risk assessments** at the group and component level.
 - The **basis for determining the nature and extent of work** on each component.
 - The **nature, timing, and extent of the group team's involvement** in component work.
 - **Evaluations** of component auditor competence and the work performed by them.

NSA 610- Using the work of an Internal Audit

An internal audit department forms part of the client's system of internal control. If this is an effective element of the control system it may reduce control risk, and therefore reduce the need for the auditor to perform detailed substantive testing.

Additionally, external auditors may be able to co-operate with a client's internal audit department and place reliance on their procedures in place of performing their own.

Before relying on the work of internal audit, the external auditor must assess the effectiveness of the internal audit function and assess whether the work produced by the internal auditor is adequate for the purpose of the audit.

Evaluating the internal audit function

The extent to which the internal audit functions organizational status and relevant policies and procedures support the objectivity of the internal auditors.

The competence of the internal audit function.

Whether the internal audit function applies to a systematic and disciplined approach.

Evaluating objectivity

- ✓ Whether the internal audit function reports to those charged with governance or has direct access to those charged with governance
- ✓ Whether the internal audit function is free from operational responsibility.
- ✓ Whether those charged with governance are responsible for employment decisions such as remuneration
- ✓ Whether any constraints are placed on the internal function by management or those charged with governance.
- ✓ Whether the internal auditors are members of a professional body which requires compliance with ethical requirements.

Evaluating competence

- ✓ Whether the resources of the internal audit function are appropriate and adequate for the size of the organization and nature of its operations
- ✓ Whether there are established policies for hiring, training and assigning internal auditors to internal audit engagements.
- ✓ Whether internal auditors have adequate technical training and proficiency, including relevant professional qualifications and experience.
- ✓ Whether the internal auditors have the required knowledge of the entity's financial reporting and the applicable financial reporting framework and possess the necessary skills to perform work related to the financial statements.
- ✓ Whether the internal auditors are members of a professional body which requires continued professional development.

Evaluating the systematic and disciplined approach

- ✓ Existence, adequacy and use of internal audit procedures and guidance
- ✓ Application of quality control policies and procedures.

If the external auditor considers it appropriate to use the work of the internal auditors, they then have to determine the areas and extent to which the work of the internal audit function can be used (by considering the nature and scope of work) and incorporate this into their planning to assess the impact on the nature, timing and extent of further audit procedures.

Evaluating the internal audit work

- ✓ The work was properly planned, performed, supervised, reviewed and documented.
- ✓ Sufficient appropriate evidence has been obtained.
- ✓ The conclusions reached are appropriate in the circumstances.
- ✓ The reports prepared are consistent with the work performed.

To evaluate the work adequately, the external auditor must reperform some of the procedures that the internal auditor has performed to ensure they reach the same conclusion.

The extent of the work to be performed on the internal auditor's work will depend on the amount of judgment involved and the risk of material misstatement in that area.

When reviewing and reperforming some of the work of the internal auditor, the external auditor must consider whether their initial expectation of using the work of the internal auditor is still valid.

Note that the auditor is not required to rely on the work of internal audit. In some jurisdictions, the external auditor may be prohibited or restricted from using the work of the internal auditor by law.

Responsibility for the auditor's opinion cannot be devolved, and no reference should be made to the auditor's report regarding the use of others during the audit.

Using the internal audit to provide direct assistance

External auditors can consider whether the internal auditor can provide direct assistance with gathering audit evidence under the supervision and review of the external auditor. NSA 610 provides guidance to aim to reduce the risk that the external auditor overuses the internal auditor.

The following considerations will be made:

- ✓ Direct assistance cannot be provided where laws and regulations prohibit such assistance.
- ✓ The competence and objectivity of the internal auditor. Where threats to objectivity are present, the significance of them and whether they can be managed to an acceptable level must be considered.
- ✓ The external auditor must not assign work to the internal auditor which involves significant judgment, a high risk of material misstatement or with which the internal auditor has been involved.
- ✓ The planned work must be communicated with those charged with governance so agreement can be made that the use of the internal auditor is not excessive.

Where it is agreed that the internal auditor can provide direct assistance:

- ✓ Management must agree in writing that the internal auditor can provide such assistance and that they will not intervene in that work.
- ✓ The internal auditors must provide written confirmation that they will keep the external auditors' information confidential.
- ✓ The external auditor will provide direction, supervision and review of the internal auditor's work.

- ✓ During the direction, supervision and review of the work, the external auditor should remain alert to the risk that the internal auditor is not objective or competent.

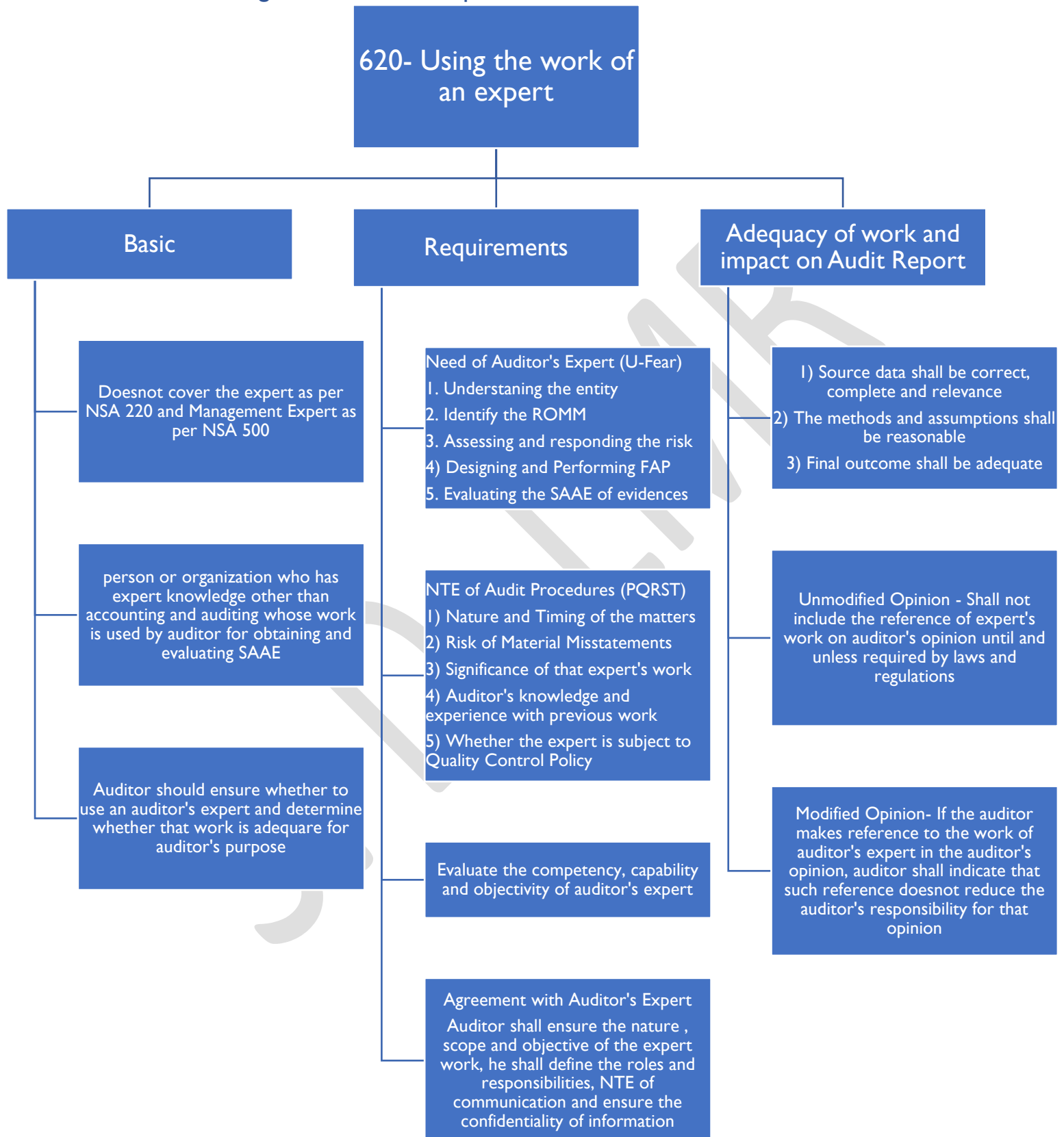
Documentation

The auditor should document:

- ✓ The evaluation of the internal auditor's objectivity and competence
- ✓ The basis for the decision regarding the nature and extent of the work performed by the internal auditor.
- ✓ The name of the reviewer and the extent of the review of the internal auditor's work.
- ✓ The written agreement of management mentioned above.
- ✓ The working papers produced by the internal auditor.

S.D.LMR

NSA 620- Using the work of an Expert.



NSA 300, Planning an Audit of Financial Statements sets out the matters that an auditor should consider, prior to the identification and assessment of the risk of material misstatements. One of these matters is the involvement of experts. NSA 500, Audit Evidence confirms that if the information to be used as evidence has been prepared using the work of a management expert, then the auditor should:

- ✓ evaluate the competence, capabilities and objectivity of that expert.
- ✓ obtain an understanding of the work of that expert.
- ✓ evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion.

NSA 620, Using the Work of an Auditor's Expert defines an auditor's expert as: 'An individual or organization possessing expertise in a field other than accounting or auditing, whose work in that field is used by the auditor to assist the auditor in obtaining sufficient appropriate audit evidence. An auditor's expert may be either an auditor's internal expert (who is a partner or staff, including temporary staff, of the auditor's firm or a network firm), or an auditor's external expert.

Auditors are experts in accounting and auditing matters, but they are not reasonably expected to be experts in any other field. However, candidates should appreciate that, in certain situations, auditors do need to employ their own expert in order to decrease the risk that material misstatement will not be detected. Such expertise may be required in relation to such matters as:

- a) Valuation of land, building, machinery, jewelry, work of art, antiques, intangible assets such as patents, trademarks, environmental liabilities
- b) Estimation of oil, gas, mining reserves
- c) The actuarial valuation of long-term liabilities
- d) Interpretation of laws, contracts,
- e) Analysis of complex or unusual tax issues

An auditor's expert needs to be competent, capable and objective if their services are to be deemed adequate for the audit purpose. Let's deal with each of these attributes.

- ✓ Competence – relates to the nature and level of expertise of the expert. Any expert employed should have widespread recognition of their expertise in the stated discipline.
- ✓ Capability – relates to the expert's ability to exercise that competence in the circumstance of the audit engagement. For example, the expert must have the time and resources available to perform the task in hand.
- ✓ Objectivity – relates to the possible effects that bias, conflict of interest or the influence of others may have on the judgment of the expert. If an expert has a vested interest in expressing anything other than objective opinion with regard to the subject matter, then their opinion will be of no value to the auditor.

If an auditor's expert does not fulfil the requirement in respect of each of the above attributes, the risk of error or inaccuracy in the work carried out is increased and, therefore, the objective of minimizing the risk of not detecting material misstatement may not be achieved. Consequently, the auditor's quality control procedures should ensure that internal experts (who are part of the audit engagement team) are capable, competent and objective. Where an audit firm is seeking to engage a new internal expert or alternatively rely on the services of an external expert, information about the competence, capability and objectivity of the expert may be sought from various sources.

These include:

- ✓ personal experience with previous work of the expert
- ✓ discussion with the expert
- ✓ discussion with other auditors who are familiar with the expert's work.
- ✓ knowledge of the expert's qualifications, membership of a professional body or industry association, license to practice, or other forms of external recognition
- ✓ published papers or books written by the expert.

When evaluating the findings and conclusions of the auditor's expert for audit purposes, the auditor may carry out various procedures, including:

- ✓ inquiries of the auditor's expert inquiries
- ✓ reviewing the auditor's expert's working papers and reports
- ✓ corroborative procedures such as:
 - ❖ observing the auditor's expert's work
 - ❖ examining reputable statistical reports and other authoritative published data
 - ❖ confirming relevant matters with third parties
 - ❖ performing detailed analytical procedures, and
 - ❖ reperforming calculations
- ✓ discussion with another expert with relevant expertise
- ✓ discussing the auditor's expert's report with management.

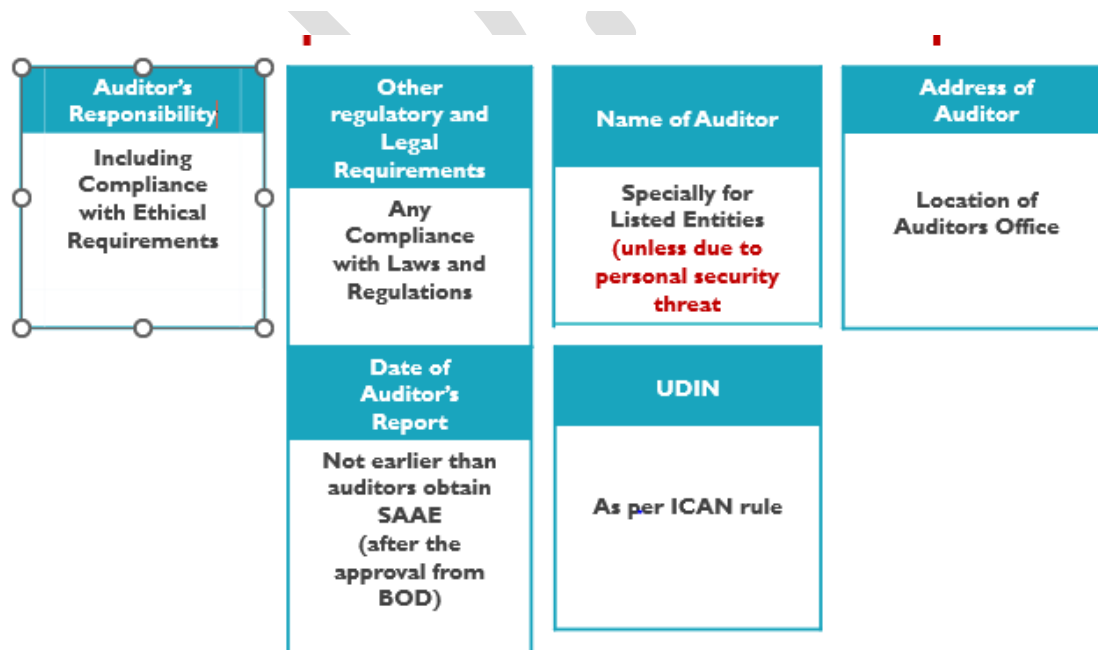
If the auditor concludes that the work of the auditor's expert is not adequate for the auditor's purpose and the auditor cannot resolve the matter – by either agreeing that the expert should carry out further work or by the auditor carrying out additional audit procedures as appropriate. With the permission of the expert, it may be appropriate to refer to the auditor's expert in the auditor's report. Conversely, unless there is a legal or regulatory requirement, there should not be any reference to the work of the auditor's expert in an unmodified report ultimately, the audit opinion is the sole responsibility of the auditor, and that this responsibility is not reduced by reliance on the work of a management's expert or an auditor's expert

Objective of the Auditor

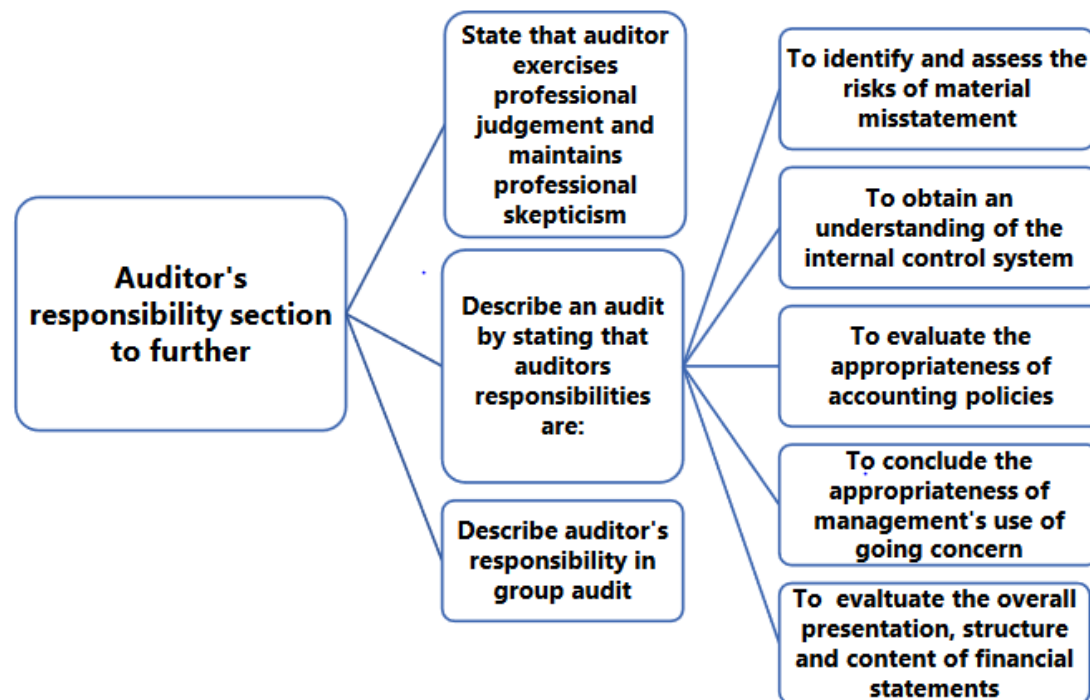
1. To Express clearly an appropriate modified opinion
2. Forming an opinion and reporting on financial statements
3. Emphasis on matter paragraphs and other matter paragraphs in the independent audit report
4. Communicate key audit matter in the independent auditor's report.

Components of Audit Report

Title Title that clearly indicates that it is the report of an independent auditor	Addressee Addressee may be Shareholders, Partners, Proprietors	Opinion In this section , Auditor Shall express his opinion on the Financial Statements	Basis for Opinion The basis for the opinion is expressed. i.e., the clarification for providing the specified opinion
Going Concern As per NSA 570	Key Audit Matter As per NSA 701	Other Information For listed entities As per NSA 720	Management Responsibility Managements Responsibilities related to FS (to reduce expectation gap)



Auditor's Responsibility Paragraph



Unqualified Opinion- Conditions

- Consists of Unqualified Opinion
- Also known as clean Opinion (कैफियत रहित)

Clean Opinion

• Conditions:

- The financial statements **appropriately disclose** the significant accounting policies selected and applied. In making this evaluation, the auditor shall consider the relevance of the accounting policies to the entity, and whether they have been presented in an understandable manner; **(Appropriate Disclosures)**
- The accounting policies selected and applied are consistent with the applicable FRF and are appropriate; **(Appropriateness and consistency of accounting policies).**
- The accounting estimates made by management are reasonable; **(Reasonableness of accounting estimates)**
- The information presented in the financial statements is relevant, reliable, comparable, and understandable. **(Relevance and Understandability)**
- The financial statements provide adequate disclosures to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements **(Adequate Disclosures);**
- The terminology used in the financial statements, including the title of each financial statement, is appropriate **(Appropriateness of titles of FS)**

INDEPENDENT AUDITOR'S REPORT

To the Shareholders,
ABC Company
Kathmandu Nepal

Clean Opinion

Report on the Audit of the Financial Statements

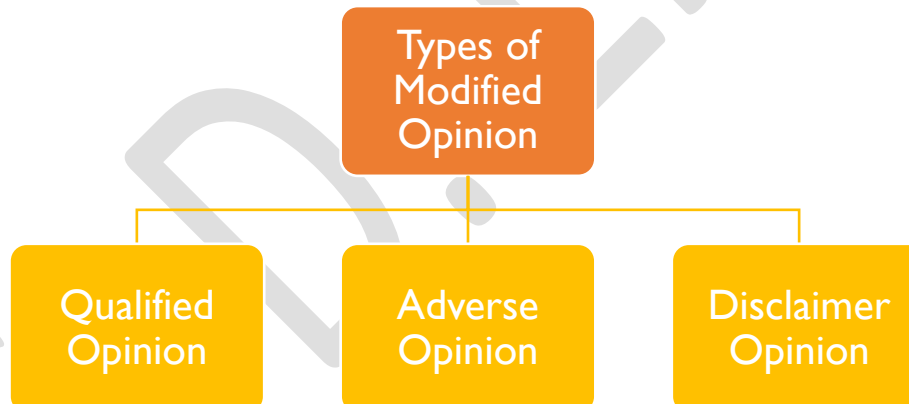
Opinion

We have audited the financial statements of ABC Company (the Company), which comprise the Statement of Financial Position as at Ashadh 32, 20XX, and the Statement of Comprehensive Income, Statement of Changes in Equity and Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements **present fairly, in all material respects, (or give a true and fair view of)** the financial position of the Company as at Ashadh 32, 20XX, and (of) its financial performance and its cash flows for the year then ended in accordance with Nepal Financial Reporting Standards (NFRSs).

Basis for Opinion

We conducted our audit in accordance with Nepal Standards on Auditing (NSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the ICAN's *Handbook of Code of Ethics for Professional Accountants* together with the ethical requirements that are relevant to our audit of the financial statements in [jurisdiction], and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ICAN's *Handbook of The Code of Ethics For Professional Accountants*. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.



<i>Nature of Matter Giving Rise to the Modification</i>	<i>Auditor's Judgment about the Pervasiveness of the Effects or Possible Effects on the Financial Statements</i>	
	<i>Material but Not Pervasive</i>	<i>Material and Pervasive</i>
Financial statements are materially misstated	Qualified opinion	Adverse opinion
Inability to obtain sufficient appropriate audit evidence	Qualified opinion	Disclaimer of opinion

Circumstances When a Modification to the Auditor's Opinion Is Required

The auditor shall modify the opinion in the auditor's report when:

- ❖ The auditor concludes that, based on the audit evidence obtained, the financial statements as a whole are not free from material misstatement.

OR.

- ❖ The auditor is unable to obtain sufficient appropriate audit evidence to conclude that the financial statements as a whole are free from material misstatement.

Basis for Modified Opinion

Reasons	Audit Modification
Limitation of scope in audit (NSA 210)	Qualified or disclaimer opinion
Applicable financial reporting framework not acceptable to auditor (210)	Disclaimer opinion (auditor shall not use the phrases like "true and fair view" in his audit report.
Identified aggregate uncorrected misstatements is material/Pervasive (450)	Qualified/Adverse
Management refusal to allow the auditor to send a confirmation request (505)	Qualified/Disclaimer
Confirmation is not obtained / Sufficient appropriate audit evidence is not obtained from alternative procedures (505)	Qualified /Disclaimer
Doubt as to the reliability of written representation (580)	Disclaimer Opinion
Written Representation not obtained (580)	Disclaimer Opinion
Reporting Non- Compliance in the Auditor's report due to non-compliance with laws and regulations	Qualified/Adverse Opinion

If the predecessor auditor's report was modified and such modification is not rectified	Qualified in current year
Identification of fraud	Qualified or disclose in Other Legal and Regulatory Requirements
Subsequent Events (560)	Emphasis of Paragraph (706)
Going concern assumption is appropriate but material uncertainty exists. However, adequate disclosures regarding material uncertainty (570)	EOM
Going concern assumption is appropriate but material uncertainty exists. However, adequate disclosures regarding material uncertainty are not made (570)	Qualified / Adverse
Going Concern is inappropriate	Adverse Opinion

Qualified Opinion (Para 7)

Misstatement Impact = Material + Not Pervasive

Evidence Not Obtained Impact = Material + Not Pervasive

The auditor should include in the Basis for Opinion section a description and quantification of the financial effects of the misstatements, unless practicable. If it is not practicable to quantify the financial effects, the auditor shall state in the section.

Wordings of Qualified Opinion

Qualified Opinion

.....

Except for the effects of matters specified in basis for opinion paragraph, the accompanying financial statements give true and fair view/ are presented fairly in all material respects

Basis for Qualified Opinion

(Mention reasons and **quantify** wherever possible....)

.....we conducted our audit.....

Adverse Opinion

Misstatement Impact = Material + Pervasive

- ✓ Non-Compliance with laws resulting in material misstatements
- ✓ Going Concern Inappropriate and Not Disclosed Properly
- ✓ The consolidated financial statements are materially misstated due to non-consolidation of a subsidiary. The material misstatement is deemed to be pervasive to the consolidated financial statements.

- ✓ Accounting policies not applied consistently which results in material misstatement
- ✓ Opening Balances are materially misstated
- ✓ Other Material Misstatements in the judgement of auditor

Words for Adverse Opinion

Adverse Opinion

.....

In our opinion, because of the significance of the matter discussed in the Basis for Adverse Opinion section of our report, the accompanying financial statements **do not give a true and fair view/** are not presented fairly in all material respects

Basis for Adverse Opinion

(Mention reasons)

.....we conducted our audit.....

Disclaimer Opinion

Audit Evidence Not Available (IMPACT)= Material + Pervasive

Some Reasons for Disclaimer Opinion

- Limitation on Scope- Unable to Withdraw
 - ✓ Management prevents the auditor from observing the counting of the physical inventory.
 - ✓ Management prevents the auditor from requesting external confirmation of specific account balances.
- The entity's accounting records have been destroyed.
- The timing of the auditor's appointment is such that the auditor is unable to observe the counting of the physical inventories
- The accounting records of a significant component have been seized indefinitely by governmental authorities.
-

Description of Auditor's Responsibilities for the Audit of the Financial Statements When the Auditor Disclaims an Opinion

- The auditor shall amend the description of the auditor's responsibilities
 - a) A statement that the auditor's responsibility is to conduct an audit of the entity's financial statements in accordance with Nepal Standards on Auditing and to issue an auditor's report;
 - b) A statement that, however, because of the matter(s) described in the Basis for Disclaimer of Opinion section, the auditor was not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the financial statements; and
 - c) The statement about auditor independence and other ethical responsibilities required by paragraph 28(c) of NSA 700

Note: NO KAM (701), No Other Information (720) when Opinion is Disclaimed

Communication with Those Charged with Governance

- When the auditor expects to modify the opinion in the auditor's report, the auditor shall communicate with those charged with governance the circumstances that led to the expected modification and the wording of the modification.

NSA 701: Communicating Key Audit Matters in the Independent Auditor's Report

Those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period.

Key audit matters are selected from matters communicated with those charged with governance.



- The auditor shall determine, from the matters communicated with those charged with governance, those matters that required significant auditor attention in performing the audit.
- In making this determination, the auditor shall take into account the following
 - Areas of higher assessed risk of material misstatement, or significant risks identified in accordance with NSA 315
 - Significant auditor judgments relating to areas in the financial statements that involved significant management judgment, including accounting estimates that have been identified as having high estimation uncertainty
 - The effect on the audit of significant events or transactions that occurred during the period

- | |
|---|
| <ul style="list-style-type: none">✓ EOM & OM paragraphs are still relevant even when KAM applies✓ Matters that give rise to a modified opinion are, by their nature → KAM✓ In case of Adverse Opinion or Qualified Opinion → KAM may be relevant✓ In case of Disclaimer Opinion → NO KAM (Unless required by laws) |
|---|

KAM is not a substitute for: - Disclosures In Financial Statements - Expressing Modified Opinion - Reporting the Matters Related to Going Concern
--

Reporting of KAM not Required?

Circumstances in Which a Matter Determined to Be a **Key Audit Matter** Is **Not Communicated in the Auditor's Report**-

- Law or regulation may preclude public disclosure,
- They would reasonably be expected to outweigh the public interest benefits of communicating about the matter.

• **No Key Audit Matters---**

'Except for the matter described in the Basis for Qualified (Adverse) Opinion section or Material Uncertainty Related to Going Concern section,] We have determined that there are no [other] key audit matters to communicate in our report.'

NSA 706: Emphasis of Matter Paragraphs and Other Matter Paragraphs in The Independent Auditor's Report

For purposes of the NSAs, the following terms have the meanings attributed below:

Emphasis of Matter paragraph

A paragraph included in the auditor's report that refers **to a matter appropriately presented or disclosed in the financial statements** that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements.

Other Matter paragraph

A paragraph included in the auditor's report that refers to a **matter other than those presented or disclosed in the financial statements** that, in the auditor's judgment, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

KAM Vs EOM

- KAM are those matters that in the auditor's professional judgement, were of most significance in the audit of FS of current period.
- KAM are selected from the matters communicated with TCWG by taking into account areas of higher assessed ROMM & significant risk, significant management judgements including accounting estimates having high estimation uncertainty & effects of significant event or transaction occurred during the audit.
- EOM refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements.

When is EOM necessary?

Specific requirements for the auditor to include Emphasis of Matter paragraphs

- When a FRF prescribed by law or regulation would be unacceptable but for the fact that it is prescribed by law or regulation.
- To alert users that the financial statements are prepared in accordance with a special purpose framework.
- When facts become known to the auditor after the date of the auditor's report and the auditor provides a new or amended auditor's report (i.e., subsequent events).

Nepal Standards on Auditing	Conditions
NSA 210 "Agreeing the Terms of Engagement" Para 19 b	If the auditor has determined that the financial reporting framework prescribed by law or regulation would be unacceptable but for the fact that it is prescribed by law or regulation.
NSA 560 "Subsequent Events" Para 12	Provide a new or amended auditor's report that includes a statement in an Emphasis of Matter Paragraph that conveys that the auditor's procedures on subsequent events are restricted solely to the amendment of the financial statements.
NSA 570 "Going Concern" Para 19	If the auditor concludes that management's use of the going concern basis of accounting is appropriate in the circumstances but the material uncertainty exist.
NSA 800	When the financial statements are prepared in accordance with special purpose framework

Circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph:

- An uncertainty relating to the future outcome of exceptional litigation or regulatory action.
- A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report
- Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.
- A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position

Placement of EOM Paragraphs in the IAR

Depends on the nature of the information to be communicated, and the auditor's judgment as to the relative significance of such information.

- When EOM relates to the applicable FRF auditor may consider it necessary to place the paragraph immediately following the Basis for Opinion section to provide appropriate context to the auditor's opinion.
- When a KAM section is presented in the auditor's report, an EOM may be presented either directly before or after the KAM section.

- Further, auditor may also add further context to the heading “EOM”, such as “EOM – Subsequent Event”, to differentiate the EOM from the individual matters described in the KAM section.

Placement of OM Paragraphs in the IAR

- When a KAM section is presented in the auditor’s report and an OM paragraph is also considered necessary, the auditor **may add further context to the heading “OM,” such as “OM – Scope of the Audit,” to differentiate** the OM paragraph from the individual matters described in the KAM section
- When an OM paragraph is included to draw users’ attention to a matter relating to Other Reporting Responsibilities addressed in the auditor’s report, the **paragraph may be included in the Report on Other Legal and Regulatory Requirements section.**
- When relevant to all the auditor’s responsibilities or users’ understanding of the auditor’s report, the Other Matter paragraph **may be included as a separate section following the Report on the Audit of the Financial Statements and the Report on Other Legal and Regulatory Requirements**

The auditor shall include an EOM paragraph in the auditor’s report provided

- The auditor would not be required to modify the opinion in accordance with NSA 705 (Revised) as a result of the matter; and
- When NSA 701 applies, the matter has not been determined to be a KAM to be communicated in the auditor’s report

When the auditor includes an EOM in the auditor’s report, the auditor shall:

- Include the paragraph within a separate section of the auditor’s report with an appropriate heading that includes the term “Emphasis of Matter;”
- Reference to the matter being emphasized and to where relevant disclosures that fully describe the matter can be found in the FS
- Indicate that the auditor’s opinion is not modified in respect of the matter emphasized.

The auditor shall include an OM paragraph in the auditor’s report, provided:

- This is not prohibited by law or regulation; and
- When NSA 701 applies, the matter has not been determined to be a KAM to be communicated in the auditor’s report

When the auditor includes an OM paragraph in the auditor’s report, the auditor shall include the paragraph within a separate section with the heading “OM,” or other appropriate heading

Circumstances in Which an Other Matter Paragraph May Be Necessary:

- the planned scope of the audit, or the application of materiality in the context of the audit
- circumstance where the auditor is unable to withdraw from an engagement even though the possible effect of an inability to obtain sufficient appropriate audit evidence due to a limitation on the scope of the audit imposed by management is pervasive
- 2 Reporting Frameworks as discussed in para A30 of NSA 700
- FS for Specific Users

Communication With TCWG (Para 12)

If the auditor expects to include an Emphasis of Matter or an Other Matter paragraph in the auditor's report, the auditor shall communicate with those charged with governance regarding this expectation and the wording of this paragraph.

Questions

M/s Raghu Manufacturing Company Ltd. has invested in the shares and debenture and other scripts of various companies listed in Nepal Stock Exchange Ltd. During the course of audit of the FY 2063/64, in spite of repeated reminders and follow up made by its external auditor, company officials did not provide the details of investments in shares and various securities held by the company at the Balance Sheet date. As a result, the external auditor came to conclusion that he/she should issue his/her final audit report as follows;

“Subject to the verification of the value of investments held in shares and debentures and other scripts of various companies listed in Nepal Stock Exchange Ltd., the balance sheet reflects a true and fair view.”

Do you think the audit report to be issued by the auditor is appropriate in view of the Company Act, 2063? Give your view.

Question

Assume that you are the auditor of M/S LMN Ltd. for FY 2066/67. While conducting the audit, you observed that the company has not charged depreciation for the period in the financial statement provided to you. The carrying amount of pool “Building” is Rs.50 lakhs and “Equipment” is Rs. 120 lakhs. The management of the company is of the opinion that since the Company has suffered a loss of Rs. 235 lakhs during the period, it would not increase the loss by charging depreciation in the financial statements and it will be disclosed in its notes.

What type of audit report of M/S LMN Ltd. will you issue? Please draft the additional content, if any, of the report which will be different from an unqualified report? ?

Question

ABC and Associates is the Auditor of Omega Limited who has prepared its financial statements for 2072/73 in accordance with NFRS. During the course of audit, the audit team noted that the inventory of Omega as on 31st Ashad 2073 is stated as Rs. 13 crores at cost although net realizable value of the inventory is Rs. 7 crores only. The misstatement of value of inventory is considered as material but not pervasive by the audit team. Audit manager is not quite clear about audit opinion and wording of the opinion in such circumstance. As an engagement partner for this audit what will be your guidance to audit manager.

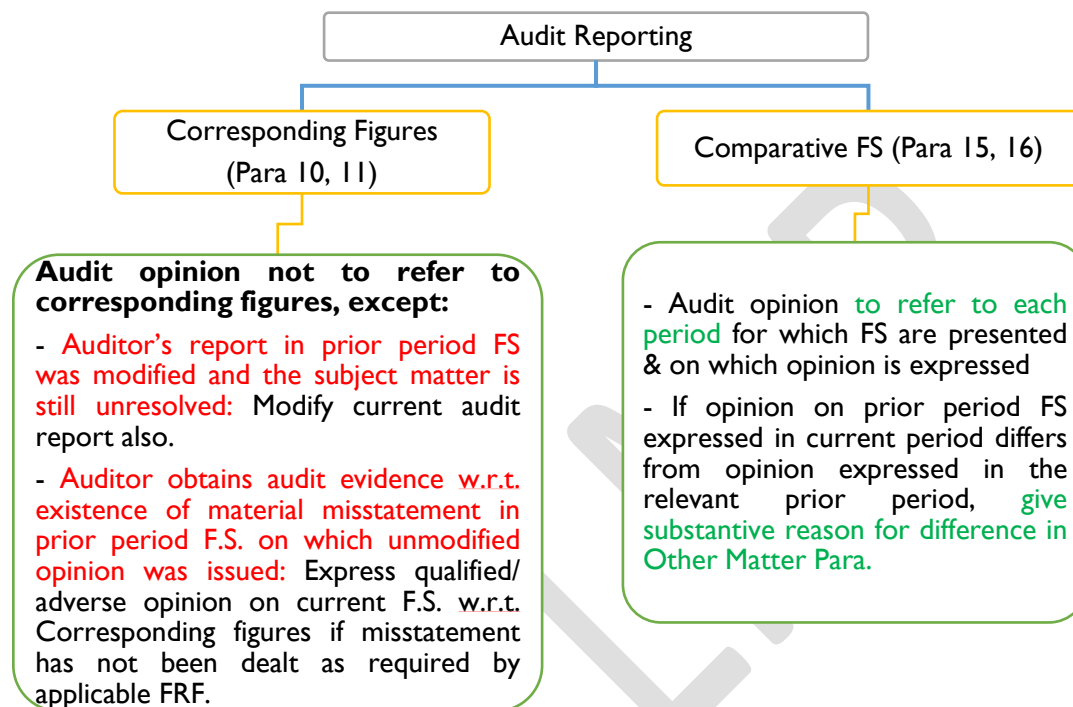
NSA 710 Comparative Information Corresponding Figures and Comparative FS

Comparative information [Para 6(a)]

The amounts and disclosures included in the financial statements in respect of **one or more prior periods** in accordance with the applicable financial reporting framework.

Corresponding figures [Para 6(b)]

Comparative information where amounts and **other disclosures for the prior period** are included as an integral part of the current period financial statements, and are intended to be read only in relation to the amounts and other disclosures relating to the current period (referred to as “current period figures”). The level of detail presented in the corresponding amounts and disclosures is dictated primarily by its relevance to the current period figures.



Prior Period Financial Statements Audited by a Predecessor Auditor

Audit report to also contain OM para, stating that: (Para 13,17)

- that the FS of the prior period were audited by a predecessor auditor;
- the type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefore; and
- the date of that report,

Material misstatement exists that affects the prior period FS on which the predecessor auditor had previously reported without modification (Para 18):

- Communicate the misstatement with the appropriate level of management and, unless all of TCWG are involved in managing the entity, TCWG, &
- request that the predecessor auditor be informed.

If the prior period FS are amended, and the predecessor auditor agrees to issue a new auditor's report on the amended FS of the prior period, the auditor shall report only on the current period

Prior Period Financial Statements Not Audited (Para 14, 19)

If the prior period financial statements were not audited, the auditor shall state in an Other Matter paragraph in the auditor's report that:

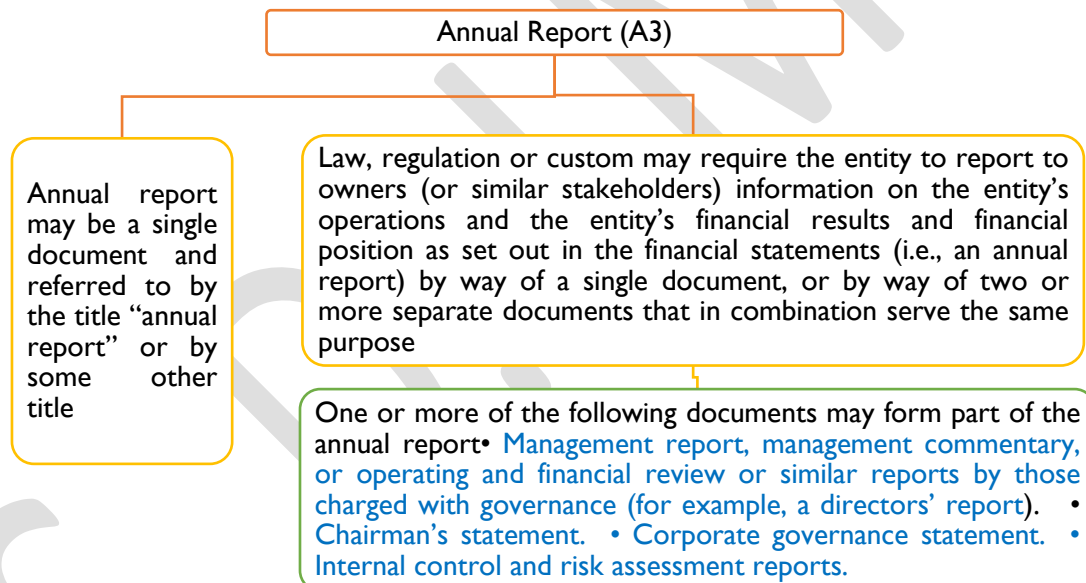
- The corresponding figures / FS are unaudited.

- Such a statement does not, however, relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements.

NSA 720 The Auditor's Responsibilities Relating to Other Information (Para 2,3)

- The auditor's opinion on the FS does not cover the other information, nor does this NSA require the auditor to obtain audit evidence beyond that required to form an opinion on the FS.
- Auditors are required to read and consider the other information because
 - ✓ other information that is materially inconsistent with the FS or
 - ✓ the auditor's knowledge obtained in the audit may indicate material misstatement of FS or
 - ✓ that a material misstatement of the other information exists,

Either of which may undermine the credibility of the FS and the auditor's report thereon. Such material misstatements may also inappropriately influence the economic decisions of the users for whom the auditor's report is prepared.



The auditor shall:

- Determine, through discussion with management, which document(s) comprises the annual report, and the entity's planned manner and timing of the issuance of such document(s);
- Make appropriate arrangements with management to obtain them in a timely manner and, if possible, prior to the date of the auditor's report, the final version of the document(s) comprising the annual report; and
- When some or all of the document(s) determined in (a) will not be available until after the date of the auditor's report, request management to provide a written representation that the final version of the document(s) will be provided to the auditor when available, and prior to its issuance by the entity, such that the auditor can complete the procedures required by this NSA.

Responding When a Material Inconsistency Appears to Exist or Other Information Appears to Be Materially Misstated (Para 16)

If the auditor identifies that a material inconsistency appears to exist (or becomes aware that the other information appears to be materially misstated), the auditor shall discuss the matter with management and, if necessary, perform other procedures to conclude whether:

- A material misstatement of the other information exists;
- A material misstatement of the financial statements exists; or
- The auditor's understanding of the entity and its environment needs to be updated.

Responding When the Auditor Concludes That a Material Misstatement of the Other Information Exists (Para 17,18,19)

If the auditor concludes that a material misstatement of the other information exists, the auditor shall request management to correct the other information. If management:

- **Agrees to correct** ⇒ determine that the correction has been made; or
- **Refuses to make the correction** ⇒ communicate the matter with TCWG and request that the correction be made.

Concludes that a material misstatement exists in other information obtained prior to the date of the auditor's report, and the other information is not corrected after communicating with TCWG

- Consider implications for auditor's report & communicate to TCWG; or
- Withdrawing from the engagement, if possible

Concludes material misstatement exists in other information after the date of the auditor's report:

- If corrected, perform the procedures necessary in the circumstances; or
- If not corrected, to seek to have uncorrected material misstatement appropriately brought to the attention of users after communicating with TCWG

Responding When a Material Misstatement in the Financial Statements Exists or the Auditor's Understanding of the Entity and Its Environment Needs to Be Updated (Para 20)

If, as a result of performing the procedures concludes that a material misstatement in the financial statements exists or the auditor's understanding of the entity and its environment needs to be updated, the auditor shall respond appropriately in accordance with the other NSAs.

Question
XYZ & Associates are an auditor of Sky Water Ltd. for the financial year 2073/74. Audit team has completed the audit procedures and the engagement manager is clear in respect of providing clean audit report on the financial statements of the company but he is confused about the manner in which to draw user's attention about a pending lawsuit against Alpha Beta for which the company has made

appropriate presentation and disclosure in Note 10 of the financial statement. Advise the manager as per relevant NSA guidance. (RTP 2018 June Q no 6)

Questions

- Explain the Auditor's responsibilities regarding comparatives.
- What do you understand by Other Information. What is the responsibility of auditor in case material inconsistencies are identified in other information obtained subsequent to the Date of the Auditor's Report?

S.D.LMR

NSA 800 Special Considerations-Audits of Financial Statements Prepared in Accordance with Special Purpose Frameworks

I. Introduction and Scope

What is NSA 800?

NSA 800 deals with the special considerations applicable to an audit of a **complete set of financial statements** prepared in accordance with a **special purpose framework** .

Key Definitions

- ✓ **Special Purpose Framework:** A financial reporting framework designed to meet the financial information needs of **specific users** . This is the crucial distinction from a general purpose framework (like NFRS) which is designed for a wide range of users.
- ✓ **Special Purpose Financial Statements:** Financial statements prepared in accordance with a special purpose framework .

Important Distinction: NSA 800 vs. NSA 805

- ✓ **NSA 800:** Applies to a *complete set* of special purpose financial statements (e.g., full balance sheet, income statement, and related notes).
- ✓ **NSA 805:** Applies to audits of a *single financial statement* (e.g., just a balance sheet) or a *specific element, account, or item* of a financial statement (e.g., a schedule of accounts receivable) .

Scope Limitations

- ✓ NSA 800 does **not** override the requirements of other NSAs. All relevant NSAs must still be applied
- ✓ It is written in the context of a complete set of financial statements and may not cover all special considerations for every unique engagement .

2. Examples of Special Purpose Frameworks

A special purpose framework is often an **acceptable modified version** of a general-purpose framework or a completely different basis of accounting. Common examples include :

- ✓ **Tax Basis:** Financial statements prepared to accompany an entity's tax return.
- ✓ **Cash Basis:** Financial statements prepared showing cash receipts and disbursements (often requested by creditors).
- ✓ **Regulatory Basis:** Financial reporting provisions established by a regulator to meet specific regulatory requirements.
- ✓ **Contractual Basis:** Financial reporting provisions of a contract, such as a bond indenture, loan agreement, or project grant.

3. Objectives of the Auditor

When applying NSAs to an audit of special purpose financial statements, the auditor's objectives are to address considerations relevant to :

- I. **Engagement Acceptance.**

2. **Planning and Performing** the audit.
3. **Forming an Opinion and Reporting** on the financial statements.

4. Key Requirements and Application

A. Engagement Acceptance (Acceptability of the Framework)

Before accepting the engagement, the auditor must determine whether the financial reporting framework is **acceptable**. This requires obtaining an understanding of :

- ✓ **The Purpose** for which the financial statements are prepared.
- ✓ **The Intended Users** of the financial statements. The needs of these specific users are a key factor in determining the framework's acceptability .
- ✓ **Management's Process** for determining that the framework is acceptable in the circumstances.

B. Planning and Performing the Audit

- ✓ The auditor must comply with **all NSAs** relevant to the audit .
- ✓ The auditor must determine whether the application of these NSAs requires **special considerations** due to the specific purpose of the financial statements (e.g., materiality might be viewed differently by the specific users) .
- ✓ If the financial statements are prepared in accordance with the **provisions of a contract**, the auditor needs to obtain an understanding of any **significant interpretations** of that contract made by management .

C. Forming an Opinion and Reporting

This is where NSA 800 has the most significant specific requirements. The auditor applies the requirements of **NSA 700 (Forming an Opinion and Reporting)** , adapted for a special purpose context .

Key Reporting Elements and Considerations:

1. **Describe the Framework:** The auditor's report must specifically describe the financial reporting framework as a **special purpose framework** .
2. **Describe the Purpose:** The report must draw attention to the fact that the financial statements are prepared for a special purpose. This includes describing :
 - The purpose for which the statements are prepared.
 - The intended users, if necessary, or refer to a note that contains this information.
3. **Management's Responsibility:** If management has a choice of frameworks, the report should reference management's responsibility for determining the framework is acceptable .
4. **Emphasis of Matter (Restriction on Use):** This is a critical component. The auditor's report is required to include an **Emphasis of Matter paragraph** to alert users to the fact that the financial statements are prepared in accordance with a special purpose framework and, therefore, **may not be suitable for another purpose** . This often results in a **restriction on the use** of the auditor's report to the intended users .
5. **Reporting Enhancements:** The revised standard (effective 2016) aligned the layout and content with NSA 700 (Revised). This includes updated terminology, ordering of elements, and application material related to topics like **going concern** .

Feature	Special Purpose (NSA 800)	General Purpose (NSA 700)
Framework	Designed for specific users (e.g., tax, regulatory, contractual).	Designed for a wide range of users (e.g., NFRS).
Acceptability	Determined by the needs of the specific users.	Generally presumed by law, regulation, or standard (e.g., NFRS).
Auditor's Report	Must specifically describe the framework as "special purpose."	Describes the applicable general purpose framework.
Communication	Must include an Emphasis of Matter paragraph alerting users that the statements may not be suitable for another purpose.	Typically does not require such a warning for the framework itself.
Use Restriction	Often restricted to the intended users.	Usually available for public use.

NSA 805 Special Considerations - Audits of Single Financial Statements and Specific Elements, Accounts or Items of a Financial Statement

I. Introduction and Scope

What is NSA 805?

NSA 805 deals with the **special considerations** applicable to an audit of a **single financial statement** or of a **specific element, account, or item** of a financial statement . This could include, for example, an audit of an accounts receivable schedule, a statement of cash flows alone, or a schedule of inventory .

Relationship with Other NSAs

- ✓ The auditor must comply with **all relevant NSAs** when conducting such an engagement .
- ✓ This standard does **not** override the requirements of other NSAs .
- ✓ It is written to address how to apply the NSAs in the unique context of auditing less than a complete set of financial statements.
- ✓ If the single financial statement or element is prepared in accordance with a **special purpose framework**, the auditor must also apply **NSA 800 (Revised)** .

Scope Exclusions

- ✓ NSA 805 does **not** apply to a component auditor's work performed at the request of a group engagement team for a group audit (which is covered by NSA 600) .

Key Distinction: NSA 805 vs. NSA 800

- ✓ **NSA 805:** Applies to audits of a *single financial statement* (e.g., just a balance sheet) or a *specific element* (e.g., a schedule of accounts receivable, inventory valuation, or royalty payments) .
- ✓ **NSA 800:** Applies to a *complete set* of financial statements prepared under a special purpose framework .

2. Examples of Engagements Covered by NSA 805

NSA 805 applies to various engagements, including audits of :

- ✓ A specific account: Accounts receivable, inventory, or a valuation allowance.
- ✓ A specific liability: Pension liability or incurred but not reported (IBNR) claims for an insurance portfolio.
- ✓ A schedule: A statement of externally managed assets, a statement of net tangible assets, or a schedule of royalty payments.
- ✓ A single financial statement: A balance sheet only, or an income statement only, without the accompanying statements.

3. Objectives of the Auditor

When applying NSAs to an audit of a single financial statement or a specific element, the auditor's objectives are to address special considerations relevant to :

- I. **Engagement Acceptance** – Determining whether the audit is practicable.

2. **Planning and Performing** the audit – Adapting procedures appropriately.
3. **Forming an Opinion and Reporting** on the financial statement or element.

4. Key Requirements and Application

A. Engagement Acceptance (Practicability of the Audit)

Before accepting an NSA 805 engagement, the auditor must determine whether the audit is **practicable**. This is a critical consideration not typically required for full financial statement audits.

Key considerations include :

- ✓ Whether the auditor has also been engaged to audit the complete set of financial statements.
- ✓ If **not** also the auditor of the full financial statements, the auditor must consider whether it will be possible to obtain sufficient appropriate audit evidence **without** having the same knowledge, information, or access as the full financial statement auditor.
- ✓ The auditor must evaluate whether performing the audit would require **disproportionate cost and effort** to obtain audit evidence.
- ✓ If the auditor concludes the audit is not practicable, they may discuss with management whether another type of engagement (e.g., a review engagement under NSAE 3000) might be more suitable .

B. Planning and Performing the Audit

- ✓ **Adapting Procedures:** The auditor must adapt all relevant NSAs to the specific circumstances of the element being audited. For example, auditing accounts receivable may require procedures related to sales cycles, cash receipts, and valuation that would normally be performed in a full audit .
- ✓ **Materiality:** Materiality determined for a single financial statement or a specific element will likely be **lower** (more sensitive) than materiality determined for a complete set of financial statements . This affects the evaluation of uncorrected misstatements.
- ✓ **Interrelationship with Other Elements:** Auditing a single element often requires obtaining evidence about **other interconnected elements** of the financial statements (e.g., auditing accounts receivable requires consideration of sales and cash) .

C. Forming an Opinion and Reporting

The auditor applies the requirements of **NSA 700 (Forming an Opinion and Reporting)** , adapted for the specific element being audited.

Key Reporting Considerations :

1. **Opinion Wording:** If the information is presented fairly in accordance with the applicable framework, the auditor may use phrases such as "**presents fairly, in all material respects**" or "**gives a true and fair view.**"
2. **Impact of Full Financial Statement Audit Report:**

- ✓ The auditor must consider the **auditor's report on the complete set of financial statements** (if one exists).
- ✓ If the full financial statements received a **modified opinion** (qualified, adverse, or disclaimer), an **emphasis of matter**, or an **other matters paragraph**, the NSA 805 auditor must consider the implications for their report on the specific element.
- ✓ **Restriction:** The auditor **may not** issue an unmodified opinion on a specific element if the full financial statements received an adverse opinion or disclaimer of opinion, **unless:**
 - Law or regulation does not prohibit it,
 - The opinion is not issued **together with** the audit report on the full financial statements, and
 - The specific element does **not constitute a material part** of the financial statements .

3. Key Audit Matters (KAM):

- ✓ Communication of KAM is **voluntary** under NSA 805, unless required by law or regulation .
- ✓ If the auditor of the full financial statements communicated KAM in their report, the NSA 805 auditor may refer to those KAM using an **"Other Matters" paragraph**, but **cannot** present them as KAM of the NSA 805 engagement unless NSA 701 was voluntarily applied .
- ✓ Guidance suggests that KAM in the full financial statements should be considered as a whole, and it would not be appropriate to refer users to only a subset of those KAM .

Feature	Single Element / Statement (NSA 805)	Complete Set of Financial Statements (NSA 700/800)
Scope	A single statement (e.g., Balance Sheet only) or a specific element/account (e.g., Accounts Receivable) .	A complete set of financial statements (BS, IS, CF, notes) .
Acceptance Challenge	Must determine if the audit is practicable without auditing the full statements .	Practicability is generally assumed.
Materiality	Typically lower (more sensitive) than for full financial statements .	Determined based on the financial statements as a whole.
Relationship with Full FS Audit	Must consider the impact of the opinion on the full FS (cannot ignore a disclaimer/adverse opinion if the element is material) .	Not applicable (or considered in group audits).
Key Audit Matters	Voluntary. Can refer to KAM from full FS report in an "Other Matters" paragraph .	Mandatory for listed entities.

NSA 810- Engagements to Report on Summary Financial Statements.

I. Introduction and Scope

What is NSA 810?

NSA 810 deals with the auditor's responsibilities relating to an engagement to report on **summary financial statements** derived from financial statements audited in accordance with NSAs by **the same auditor**.

Key Definitions:

- ✓ **Summary Financial Statements:** Historical financial information that is **derived from financial statements** but contains **less detail** than the financial statements, while still providing a structured representation consistent with that provided by the financial statements of the entity's economic resources or obligations at a point in time or the changes therein for a period of time.
- ✓ **Audited Financial Statements:** Financial statements audited by the auditor in accordance with NSAs, and from which the summary financial statements are derived.
- ✓ **Applied Criteria:** The criteria applied by management in the preparation of the summary financial statements.

Fundamental Prerequisite

The auditor can only accept an engagement to report on summary financial statements under NSA 810 if they have **audited the financial statements** from which the summary financial statements are derived.

2. Relationship with Other Standards

Standard	Subject Matter	Relationship with NSA 810
NSA 700 (Revised)	Forming an Opinion and Reporting on Financial Statements	Provides the basis for the auditor's report on the audited financial statements from which summaries are derived
NSA 701	Communicating Key Audit Matters	Amendments to NSA 810 require reference to any KAM communication in the audited financial statements report
NSA 720 (Revised)	Auditor's Responsibilities Relating to Other Information	Consequential amendments incorporated regarding uncorrected material misstatements of other information
NSA 800/805	Special Purpose Frameworks / Single Financial Statements	Separate projects due to different nature of summary financial statement engagements

3. Objectives of the Auditor

The objectives of the auditor are to:

1. **Determine whether it is acceptable** to accept the engagement to report on summary financial statements.
2. **Form an opinion** on the summary financial statements based on an evaluation of the conclusions drawn from the evidence obtained.
3. **Express clearly that opinion** through a written report that also describes the basis for that opinion.

4. Key Requirements and Application

A. Engagement Acceptance

Before accepting the engagement, the auditor **shall**:

1. **Determine whether the applied criteria are acceptable** – The criteria used by management to prepare the summary financial statements must be appropriate in the circumstances.
2. **Obtain agreement from management** that it acknowledges and understands its responsibility for:
 - Preparing the summary financial statements in accordance with the applied criteria.
 - Making the audited financial statements available to the intended users of the summary financial statements (or including a description of law/regulation if not required to be provided).
 - Including the auditor's report on the summary financial statements in any document containing the summary financial statements.
3. **Agree with management the form of opinion** to be expressed on the summary financial statements.

If the auditor concludes the applied criteria are unacceptable, or cannot obtain the required agreement from management, the auditor SHALL NOT accept the engagement (unless required by law or regulation) .

B. Nature of Procedures

The auditor shall perform the following procedures and any others considered necessary:

1. **Evaluate whether the summary financial statements adequately disclose their summarized nature** and identify the audited financial statements.
2. **Compare the summary financial statements with the audited financial statements** to determine whether they agree with or can be recalculated from the audited financial statements.
3. **Evaluate whether the summary financial statements are prepared in accordance with the applied criteria.**

4. **Evaluate whether the summary financial statements contain the information necessary** and are at an appropriate level of aggregation, considering the purpose of the summary financial statements.
5. **Consider the implications** for the auditor's report on the summary financial statements of any modified opinion, emphasis of matter paragraph, or other matter paragraph in the auditor's report on the audited financial statements.

C. Forming an Opinion and Reporting

The auditor's report on summary financial statements shall include :

Element	Description
Title	Clearly indicating it is the report of the independent auditor
Addressee	As required by the circumstances of the engagement
Introductory Paragraph	Identifying the summary financial statements and the audited financial statements from which they are derived
Management's Responsibility	Statement that management is responsible for the preparation of the summary financial statements in accordance with the applied criteria
Auditor's Responsibility	Statement that the auditor's responsibility is to express an opinion on the summary financial statements based on procedures required by NSA 810
Opinion Paragraph	The auditor's opinion on whether the summary financial statements are consistent, in all material respects, with the audited financial statements and prepared in accordance with the applied criteria

- ✓ **Modified Opinion, Emphasis of Matter, or Other Matter in Audited Financial Statements:**
 - If the auditor's report on the audited financial statements contains a **modified opinion**, the auditor's report on the summary financial statements shall state that the audited financial statements received a modified opinion and describe the basis for that modification and its effects, if any, on the summary financial statements.
 - If the auditor's report on the audited financial statements contains an **Emphasis of Matter** or **Other Matter** paragraph, the auditor's report on the summary financial statements shall state that the audited financial statements include such a paragraph and describe its effects, if any, on the summary financial statements.
- ✓ **Material Uncertainty Related to Going Concern :**
 - The auditor's report on the summary financial statements shall include a **reference to the Material Uncertainty Related to Going Concern section** in the auditor's report on the audited financial statements and describe the effects thereof, if any, on the summary financial statements.

✓ **Uncorrected Material Misstatement of Other Information :**

- The auditor's report on the summary financial statements shall include a **reference to an uncorrected material misstatement of the other information** in the auditor's report on the audited financial statements and describe the effects thereof, if any, on the information included in a document containing the summary financial statements and the auditor's report thereon.

✓ **Key Audit Matters :**

- The auditor's report on the summary financial statements shall include a **reference to any communication of Key Audit Matters** in the auditor's report on the audited financial statements.
- This is limited to a reference to the existence of such communication—it does not require describing, repeating, or otherwise referring to individual key audit matters.

✓ **Date and Signature:**

- The auditor's report on the summary financial statements shall be dated **no earlier than** the date on which the auditor has obtained sufficient appropriate evidence on which to base the opinion, including evidence that the summary financial statements have been prepared and that management has asserted responsibility for them.
- The report shall be signed.

Feature	Summary Financial Statements (NSA 810)	Complete Financial Statements (NSA 700)
Subject Matter	Historical financial information derived from audited financial statements containing less detail	Complete set of financial statements
Prerequisite	Auditor must have audited the financial statements from which the summary is derived	No such prerequisite
Opinion	Whether summary financial statements are consistent with audited financial statements and prepared in accordance with applied criteria	Whether financial statements present fairly in accordance with framework
Key Audit Matters	Reference to existence of KAM communication in audited financial statements report only—no description of individual KAMs	Required to communicate KAMs for listed entities with descriptions
Going Concern	Reference to Material Uncertainty Related to Going Concern section in audited financial statements report	Separate section on Material Uncertainty Related to Going Concern required

NSRE- 2400 Engagement to Review Historical Financial Statements

A **review engagement** is an assurance engagement where the practitioner expresses a **limited assurance** conclusion. The objective is to state whether **anything has come to the practitioner's attention** that causes them to believe the financial statements are **not prepared**, in all material respects, in accordance with the applicable financial reporting framework .

Key Point: This is a **negative assurance** engagement, not a positive one.

Level of Assurance Spectrum

Engagement Type	Assurance Level	Conclusion Form	Governing Standard
Audit	Reasonable assurance (high, but not absolute)	Positive " <i>In our opinion, the financial statements are presented fairly...</i> "	NSAs
Review	Limited assurance (moderate)	Negative " <i>Nothing has come to our attention that causes us to believe...</i> "	NSRE 2400
Compilation	No assurance	No opinion or conclusion expressed	NSRS 4410

When is a Review Engagement Appropriate?

Rational Purpose Required: The engagement must have a rational purpose (e.g., satisfying legal/regulatory reporting requirements).

Appropriate in Circumstances: The practitioner must believe that **engagement risk can be reduced to an acceptable level**.

NOT appropriate for:

- ✓ Complex entities (banks, insurance companies) where inquiry and analytical procedures alone cannot reduce engagement risk sufficiently
- ✓ When management unreasonably restricts inquiries to specified individuals
- ✓ When there is significant scope limitation

Objective & Fundamental Principles

2.2 Objective of a Review Engagement

The practitioner's objective is to:

1. Obtain **limited assurance** that the financial statements as a whole are **free from material misstatement**
2. Express a conclusion in the form of **negative assurance**
3. Report findings in accordance with NSRE 2400

2.2 Fundamental Ethical Principles (IESBA Code)

The practitioner must comply with all ethical principles:

Principle	Application to Review
Independence	Must be independent of the entity (both in fact and appearance)
Integrity	Be straightforward and honest in all professional relationships
Objectivity	Do not allow bias or conflict of interest to override judgments
Professional Competence & Due Care	Maintain required knowledge and skills; act diligently
Confidentiality	Respect information from professional relationships
Professional Behavior	Comply with laws and avoid discrediting the profession

Key Differences Between Review (NSRE 2400) and Audit (NSAs)

Aspect	Audit (Reasonable Assurance)	Review (Limited Assurance)
Assurance Level	High (reasonable)	Moderate (limited)
Conclusion Form	<i>Positive</i> ("In our opinion...")	<i>Negative</i> ("Nothing has come to our attention...")
Procedures	Risk assessment, tests of controls, substantive testing, confirmations, physical inspection	Primarily: Inquiry + Analytical procedures
Internal Controls	Must understand and test (if relied upon)	No requirement to evaluate design or test operating effectiveness
Evidence	Persuasive, detailed, multi-sourced	Limited, primarily from inquiries and analytics
Materiality	Calculated and applied throughout	Considered, but less formal calculation
Sample Sizes	Statistical or judgmental sampling with extrapolation	No formal sampling required; investigate unusual fluctuations
Reporting Language	<i>"The financial statements present fairly..."</i>	<i>"Nothing has come to our attention that causes us to believe..."</i>

Engagement Process & Procedures

Engagement Acceptance

Before accepting a review engagement, the practitioner must:

Step	Consideration
Ethical requirements	Confirm independence and competence
Rational purpose	Ensure there is a valid reason for the review
Appropriateness	Assess whether engagement risk can be reduced to acceptable level
Management integrity	Evaluate whether management is reliable and cooperative
Preconditions	Confirm financial reporting framework is acceptable; management acknowledges responsibility

Critical Point: If a client has poor internal controls, incomplete records, or a history of audit disagreements, a review may **NOT** be appropriate. In such cases, advise the client that a full audit is required .

The review primarily relies on **two types of procedures**:

A. Inquiry Procedures

Targeted inquiries of management and others responsible for financial and accounting matters:

Area of Inquiry	Specific Questions
Accounting principles	Are the financial statements prepared in accordance with the applicable framework?
Significant transactions	Has there been any unusual or complex transactions?
Changes in estimates	Have accounting estimates changed? On what basis?
Related parties	Are there any related party transactions? Have they been properly disclosed?
Subsequent events	Have any events occurred after the reporting date that require adjustment or disclosure?
Fraud or error	Is management aware of any fraud or suspected fraud affecting the entity?
Compliance	Are the entity in compliance with debt covenants, regulations, etc.?

B. Analytical Procedures

Comparison and analysis of financial relationships to identify unusual fluctuations:

Type of Analysis	Application
Trend analysis	Compare current year to prior periods
Ratio analysis	Calculate key ratios (gross margin, current ratio, etc.) and compare
Budget vs. actual	Compare actual results to forecasts/budgets
Industry comparison	Compare to industry averages or competitors
Interrelationship analysis	Identify illogical relationships (e.g., sales increase but cost of goods sold decreases without reason)

Follow-up: When analytical procedures identify **unexpected fluctuations or relationships**, the practitioner must inquire further and perform **additional procedures** to corroborate management's explanations. .

4.3 What is NOT Required in a Review

The following are **NOT required** under NSRE 2400 (and doing them would be inefficient):

- ✓ **Tests of internal controls** – No need to evaluate design or test operating effectiveness
- ✓ **Physical inspection** of assets (inventory count, fixed asset verification)

- ✓ **Direct third-party confirmations** (receivables, payables, bank balances) – though may be done if needed
- ✓ **Detailed transaction testing** with sampling and extrapolation
- ✓ **Formal materiality calculation** – though materiality is considered qualitatively

The "Efficient Review" Approach

Best Practice: A skilled practitioner can perform 90% of required procedures through:

1. **Comprehensive upfront interview** with management before performing detailed work
2. **Review the trial balance and prior financial statements** before the meeting to identify risk areas
3. **Strategic analytical procedures** focused on areas with higher risk of misstatement
4. **Document inquiries and explanations** as primary audit evidence

Part 5: Documentation Requirements

The practitioner must prepare **documentation** that demonstrates :

Documentation Element	Description
Engagement letter	Terms, scope, limitations, fees, responsibilities
Understanding of entity	Entity's business activities, accounting systems, financial reporting process
Procedures performed	Nature, timing, and extent of inquiry and analytical procedures
Trial balance agreement	Confirmation that trial balance agrees with general ledger and financial statements
Significant matters	Any matters that caused the practitioner to believe the financial statements may be materially misstated
Management explanations	Responses to inquiries and how they were evaluated
Conclusion	Practitioner's conclusion and basis for the review report

Key: Documentation must be sufficient to enable an **experienced practitioner** to understand the work performed and conclusions reached.

The Review Report (Negative Assurance)

Components of an Unqualified Review Report

Component	Content
Title	"Independent Practitioner's Review Report"
Addressee	Those charged with governance or as required by engagement terms
Introductory paragraph	Identifies financial statements reviewed and management's responsibility
Practitioner's responsibility	States review conducted in accordance with NSRE 2400

Scope paragraph	Explains review is limited to inquiry and analytical procedures; less than audit
Negative assurance conclusion	<i>"Nothing has come to our attention that causes us to believe that the financial statements are not prepared, in all material respects, in accordance with [applicable framework]"</i>
Signature	Practitioner's name and firm
Date	Date of completion of review procedures
Address	Location of practitioner

6.2 Example of Unqualified Conclusion

*"Based on our review, **nothing has come to our attention** that causes us to believe that the accompanying financial statements do not present fairly, in all material respects, the financial position of ABC Ltd as at December 31, 20X1, and its financial performance and cash flows for the year then ended in accordance with [applicable financial reporting framework]."*

6.3 Modified Conclusions (When Something Comes to Attention)

If the practitioner **does** become aware of a material misstatement:

Type of Modification	Application
Qualified conclusion	Misstatement is material but not pervasive → <i>"Except for..."</i>
Adverse conclusion	Misstatement is material and pervasive → <i>"The financial statements are materially misstated..."</i>
Disclaimer of conclusion	Scope limitation so significant that no conclusion can be expressed → <i>"We do not express a conclusion..."</i>

NSRE 2410: Engagement to Review Interim Financial Information Performed by the Independent Auditor of the Entity

What is Interim Financial Information?

Interim financial information refers to financial information prepared for a period **shorter than the entity's full financial year** (e.g., quarter, half-year, nine months). It may be presented as:

- **Complete set** of financial statements
- **Condensed set** of financial statements (most common)

Common names: Half-yearly report, quarterly report, interim financial statements, "6-month report"

I.3 The Critical Distinction: NSRE 2410 vs. NSRE 2400

This is a **highly examinable distinction**. Know this table:

Aspect	NSRE 2410	NSRE 2400
What is reviewed?	Interim financial information (quarterly, half-yearly)	Historical annual financial statements
Who performs it?	The entity's independent auditor (same as annual audit)	Any professional accountant (may not be auditor)
Key Advantage	Auditor uses knowledge from prior annual audit	No prior knowledge assumed
Understanding of Entity	Updated from annual audit knowledge	Must be obtained from scratch
Procedures	Inquiry + Analytical (informed by audit knowledge)	Inquiry + Analytical (general)
Primary User	Regulators, stock exchanges (for listed companies)	Various (SMEs, special purpose)

Critical Point: NSRE 2410 applies **ONLY** when the practitioner is the **entity's statutory auditor** (the one who audits the annual financial statements) . If a professional accountant is **not** the entity's auditor, they must use **NSRE 2400** for any review engagement .

I.4 Level of Assurance

Aspect	Details
Assurance Level	Limited assurance (moderate, but less than an audit)
Conclusion Type	Negative assurance
Risk Level	Moderate (not as low as in an audit)
Objective	To state whether anything has come to the auditor's attention that causes belief that the interim financial information is not prepared , in all material respects, in accordance with applicable framework

Exam Tip: Always state that NSRE 2410 provides **limited assurance** expressed as a **negative assurance conclusion**.

1.5 When is a Review Engagement Required?

Common scenarios requiring NSRE 2410 reviews:

Scenario	Applicable Regulation
Listed companies (half-yearly reports)	Stock exchange listing rules, securities regulations
Banking/financial institutions (quarterly reports)	Regulatory requirements
Public sector entities	Government financial reporting requirements
Debt covenants	Lender requirements for interim reporting

Objective & Fundamental Principles

2.2 Objective of a Review Under NSRE 2410

The objective is to enable the auditor to state whether, on the basis of the review, **anything has come to the auditor's attention** that causes the auditor to believe that the interim financial information is **not prepared, in all material respects**, in accordance with the applicable financial reporting framework.

Key Words to Memorize:

- “Nothing has come to our attention”
- “Limited assurance”
- “Not prepared, in all material respects”

2.3 Fundamental Principles (IESBA Code)

The auditor must comply with all ethical requirements relevant to the audit of the entity's annual financial statements:

Principle	Application to NSRE 2410
Independence	Must be independent of the entity (just as for annual audit)
Integrity	Be straightforward and honest
Objectivity	Do not allow bias or conflict of interest
Professional Competence & Due Care	Maintain knowledge and skills; act diligently
Confidentiality	Respect all client information
Professional Behavior	Comply with laws and avoid discrediting the profession

3.1 Quality Control

The auditor must apply quality control procedures applicable to the individual engagement, including:

- Leadership responsibilities for quality
- Ethical requirements
- Engagement team assignment
- Engagement performance

- Monitoring

Part 3: The Key Advantage – Using Annual Audit Knowledge

3.2 How Prior Audit Knowledge Helps

Because NSRE 2410 applies only to the **entity's independent auditor**, the practitioner already has **significant knowledge** from the annual audit :

Knowledge Area	Application to Review
Entity's business and industry	Helps focus inquiries on relevant areas
Internal control structure	Understands where risks may arise
Accounting policies	Knows which policies are applied
Significant risks	Already identified during annual audit
Related parties	Known from audit work
Prior period misstatements	History informs current period focus

Exam Tip: A key distinguishing feature of NSRE 2410 is that the auditor **updates** their understanding from the annual audit rather than building it from scratch.

4.1 When a Non-Auditor Performs a Review

If the practitioner is **not** the entity's auditor (e.g., a different firm is engaged to review interim statements), the engagement must be performed under **NSRE 2400**, not NSRE 2410 .

Part 4: Engagement Process & Procedures

4.2 Engagement Acceptance – Preconditions

Before accepting a review engagement, the auditor must ensure:

Precondition	Description
Appropriate financial reporting framework	The framework used to prepare interim information is acceptable
Management responsibility acknowledged	Management confirms responsibility for: (a) Preparing interim information; (b) Internal controls; (c) Providing unrestricted access
Auditor independence	Auditor is independent of the entity
No scope limitations	No known restrictions on the review scope

4.2 Engagement Letter

Must include:

Element	Content
Objective	To conduct a review in accordance with NSRE 2410
Scope	Description that review consists of inquiries and analytical procedures
Limitations	Statement that review is NOT an audit and no audit opinion is expressed

Conclusion type	Negative assurance (nothing came to attention)
Management responsibilities	Preparation of interim information, internal controls, access
Expected report format	Example of the review report to be issued

Illustrative engagement letter wording :

"Our review will be conducted in accordance with NSRE 2410 with the objective of providing us with a basis for reporting whether anything has come to our attention that causes us to believe that the interim financial information is not prepared, in all material respects, in accordance with [applicable framework]. A review consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures and does not, ordinarily, require corroboration of the information obtained."

4.3 Key Procedures Under NSRE 2410

The review primarily relies on **inquiry** and **analytical procedures**:

A. Inquiry Procedures

Area of Inquiry	Specific Questions
Accounting policies	Have policies been consistently applied? Any changes?
Significant transactions	Any unusual or complex transactions during the period?
Fraud or error	Any known or suspected fraud affecting interim information?
Related parties	Any new related party transactions? Properly disclosed?
Estimates	Any significant changes in accounting estimates?
Litigation & claims	Any new or pending legal matters?
Going concern	Any events/conditions casting doubt on ability to continue?
Subsequent events	Any events after interim period requiring adjustment/disclosure?
Compliance	Compliance with debt covenants, regulatory requirements?

B. Analytical Procedures

Type of Analysis	Application
Comparison to prior periods	Compare interim information to same period prior year
Comparison to budgets	Compare actual to forecast/budget
Industry comparison	Compare ratios to industry averages
Ratio analysis	Calculate and investigate unusual ratios
Non-financial data	Relate financial data to non-financial indicators (e.g., sales to square footage)

Analytical procedures help identify:

- ✓ Unexpected fluctuations

- ✓ Inconsistent relationships
- ✓ Unusual trends

4.4 What is **NOT** Required in an NSRE 2410 Review

The following are **NOT required** (and doing them would indicate misunderstanding of the standard):

- ✓ **Tests of internal controls** – No need to evaluate design or test operating effectiveness
- ✓ **Physical inspection** of assets (inventory, fixed assets)
- ✓ **Direct third-party confirmations** (accounts receivable, bank balances) – unless specific concerns arise
- ✓ **Detailed transaction testing** with sampling
- ✓ **Verification of all management representations**

4.5 Understanding Internal Control – But Different from Audit

While specific testing of controls is not required, the auditor must obtain **sufficient understanding** of internal control to:

1. Identify types of potential misstatements
2. Assess likelihood of material misstatement
3. Design appropriate inquiry and analytical procedures

4.6 Professional Skepticism

The auditor must plan and perform the review with **professional skepticism**, including:

- ✓ Critically assessing evidence obtained
- ✓ Being alert to contradictory evidence
- ✓ Questioning reliability of documents or management statements

4.7 Evidence from Accounting Records

The auditor should confirm that the interim financial information **agrees or reconciles with**:

- ✓ The accounting records (e.g., general ledger)
- ✓ Supporting documentation in the entity's records

Part 5: Evaluation of Misstatements

5.1 Accumulating and Evaluating Misstatements

Step Action

- 1 Accumulate identified misstatements (excluding **clearly trivial** amounts)
- 2 Evaluate individually and in aggregate

Step Action

- 3 Determine if misstatements require **material modification** to interim information
- 4 Consider nature, cause, amount, and whether from prior periods

Clearly Trivial Threshold: The auditor may set a threshold below which misstatements are not accumulated (expected that these will not materially affect the interim information).

5.2 Communication Requirements

Recipient	When Required
Management	Immediately upon identifying material misstatements
Those Charged with Governance	For significant matters, including material weaknesses in internal control identified during the review

5.3 Management Written Representations

The auditor must obtain **written representations** from management confirming:

- Responsibility for preparation of interim financial information
- Completeness of information provided
- All transactions recorded
- No undisclosed fraud or non-compliance
- Going concern assessment

Part 6: Subsequent Events

6.1 Key Principle

The auditor need not perform procedures to identify events occurring **after the date of the review report**. However, management should be asked whether all subsequent events requiring adjustment or disclosure have been identified.

Comparison to Audit:

Aspect	NSRE 2410 Review	Audit (NSA)
Subsequent event inquiry	Yes – inquire of management	Yes
Active procedures after report date	Not required	Required up to audit report date
Responsibility for events after report	None	Limited (no obligation to perform after date)

Part 7: The Review Report

7.1 Components of an Unqualified Review Report

Component	Description
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Title	"Report of Review of Interim Financial Information"
Addressee	Shareholders, Board of Directors, or as required
Identification of information reviewed	Identify each statement (balance sheet, income statement, cash flow, notes) and period
Management responsibility	Statement that management is responsible for preparation and presentation
Auditor responsibility	Statement that auditor is responsible for expressing conclusion
Scope paragraph	Review conducted in accordance with NSRE 2410; consists of inquiries and analytical procedures
Limitation statement	Review is substantially less in scope than an audit; no audit opinion expressed
Conclusion (Negative Assurance)	"Nothing has come to our attention that causes us to believe that the interim financial information is not prepared, in all material respects, in accordance with [framework]"
Date of report	Date of completion of review procedures
Location	City/country where auditor practices
Signature	Auditor's signature

7.2 Illustrative Unqualified Conclusion Wording

Conclusion

Based on our review, **nothing has come to our attention** that causes us to believe that the accompanying interim financial information does not present fairly, in all material respects, the financial position of ABC Limited as at June 30, 20X1, and its financial performance and its cash flows for the six-month period then ended in accordance with [applicable financial reporting framework].

7.3 Modified Conclusions

Situation	Type of Modification	Conclusion Wording
Material misstatement (not pervasive)	Qualified conclusion	"Except for the effects of the matter described..."
Material misstatement (pervasive)	Adverse conclusion	"The interim financial information is materially misstated..."
Scope limitation (significant)	Disclaimer of conclusion	"We do not express a conclusion on the interim financial information"

Part 8: Special Considerations

8.1 Condensed vs. Complete Interim Financial Statements

Type	Application
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Condensed statements	Most common for interim reporting (NAS 34 format). Include selected notes only.
Complete statements	Full set including all notes required by applicable framework (IFRS, etc.)

The same NSRE 2410 principles apply to both, but the report wording is adjusted slightly.

8.2 Consistency of Accounting Policies

The interim financial information should be prepared using the **same accounting policies** as the most recent annual financial statements, except for new policies adopted. The auditor should inquire about and confirm this consistency.

8.3 Going Concern

The auditor is required to evaluate management's assessment of the entity's ability to continue as a going concern and inquire about any events or conditions that may cast significant doubt.

8.4 Communication with Those Charged with Governance

Significant matters identified during the review should be communicated, including:

- Material misstatements identified
- Material weaknesses in internal control
- Fraud or suspected fraud
- Non-compliance with laws and regulations

NSAE 3000: Assurance Engagements Other Than Audits or Reviews of Historical Financial Information

I. Overall Objective

The practitioner's objective is to:

- ✓ Obtain **either reasonable or limited assurance** about whether the **subject matter information** is free from material misstatement.
- ✓ Express a conclusion that enhances the intended users' degree of confidence.
- ✓ Report the conclusion in a written report.

2. Scope and Application

- ✓ **Applies to:** Assurance engagements on **any subject matter** other than historical financial information (e.g., sustainability/KPIs, internal controls, compliance, prospective financial info, IT systems, social/environmental data, supply chain audits).
- ✓ **Does not apply to:** Audits or reviews of historical financial statements (those fall under ISAs or NSREs).
- ✓ **Two engagement types permitted:**
 - **Reasonable assurance engagement** (high assurance, positive conclusion).
 - **Limited assurance engagement** (moderate/lesser assurance, negative conclusion).
- ✓ **Cannot provide no assurance** – if assurance cannot be obtained, withdrawal or disclaimer is required.

3. Preconditions for Acceptance

Practitioner must determine whether:

Condition	Requirement
Appropriate criteria	Available and understandable to intended users; relevant, complete, reliable, neutral, understandable.
Subject matter	Identifiable, measurable/evaluated against criteria consistently.
Sufficient appropriate evidence	Expected to be obtainable.
Rational purpose	The engagement adds value (not just routine reporting).
Responsibilities	Management/responsible party acknowledges responsibility: (a) for subject matter, (b) for criteria, (c) for providing access and evidence.
No known threats	To independence or objectivity that cannot be reduced to acceptable level.

If preconditions not met → do not accept (unless required by law → communicate explicitly in report).

4. Materiality

- ✓ Apply materiality in **both** reasonable and limited assurance engagements.
- ✓ **Definition:** Misstatements (including omissions) that could reasonably be expected to influence decisions of intended users.
- ✓ **Quantitative and qualitative factors** – magnitude, nature, context, user needs.
- ✓ For **limited assurance** – materiality levels may be the same, but performance materiality not required.

5. Risk Assessment & Evidence Gathering

Aspect	Reasonable Assurance	Limited Assurance
Risk assessment	Identify and assess all relevant risks of material misstatement (RMMs).	Focus on areas where material misstatement is likely.
Evidence procedures	Combination of: inquiry, inspection, observation, recalculation, reperformance, analytical procedures, confirmation.	Primarily inquiry and analytical procedures; some testing but less extensive.
Sample sizes	Larger, more statistically meaningful.	Smaller, often non-statistical.
Persuasiveness	More persuasive evidence required.	Less persuasive – enough to conclude nothing came to attention.
Deviations	Investigate and project.	Inquire further if deviation noted, but less formal projection.

6. Written Assertion from Responsible Party

- **Generally required** – written assertion confirming responsibility for subject matter and criteria.
- **Exceptions only if:**
 - The criteria are publicly available AND users can evaluate subject matter directly; OR
 - Engagement is limited assurance AND obtaining assertion is impracticable.
- If no assertion, document reasoning.

7. Reporting – Core Elements

All NSAE 3000 reports must include:

1. **Title** (to indicate independent assurance).
2. **Addressee** (intended users).
3. **Subject matter information & criteria** – clear reference to source.
4. **Identification of level of assurance** (reasonable/limited).
5. **Conclusion** in prescribed form (below).

6. **Description of practitioner's work** – including risk assessment and procedures (more detail for limited assurance).
7. **Inherent limitations** (if any).
8. **Restrictions on use and distribution** (if applicable).
9. **Date of report, practitioner's address, signature.**

8. Conclusion Wording

Assurance Level	Wording Example
Reasonable (positive)	"In our opinion, the greenhouse gas emissions for the year ended Dec 31, 202X are fairly stated, in all material respects, in accordance with the GHG Protocol."
Limited (negative)	"Based on our procedures, nothing has come to our attention that causes us to believe that the sustainability indicators for 202X are not fairly stated, in all material respects, in accordance with GRI Standards."

Even in limited assurance, must say "in all material respects" – this is required by NSAE 3000.

9. Quality Control & Ethics

- Comply with **IESBA Code of Ethics** (including independence requirements).
- Apply **NSQC I** or **NSQM I** (Revised) (firm-level quality control).
- Establish **engagement quality control review (EQCR)** for listed entities or high-risk engagements.
- Document threats and safeguards.

NSAE 3400- The Examination of Prospective Financial Information

I. Overview and Scope

NSAE 3400 provides a framework for practitioners to examine and report on prospective financial information (PFI) – essentially, financial information about future events .

Types of PFI covered:

- ✓ Forecasts – based on best-estimate assumptions about future events (expectations of most likely outcome)
- ✓ Projections – based on hypothetical assumptions (what-if scenarios)
- ✓ Combinations – e.g., forecast for one year plus projections for next five years

Common practical applications:

- ✓ Loan applications and bank financing
- ✓ Government subsidy applications
- ✓ Permit approvals (environmental, building permits)
- ✓ Investor reporting and business transactions
- ✓ Mergers, acquisitions, and valuations
- ✓ Corporate restructuring plans and crisis recovery plans

2. Key Characteristics of PFI Engagements

Feature	Explanation
Subject matter	Future-oriented financial data (forecasts, projections, budgets)
Prepared by	Management of the entity
Assurance level	Typically limited assurance (moderate level) – cannot provide positive opinion due to inherent uncertainty of future events
Conclusion form	Negative assurance (e.g., "nothing has come to our attention...")
Inherent limitation	Actual results may differ materially from PFI – this caveat must be included in the report

Important: Due to the inherent uncertainty of future events, practitioners can only express a moderate level of confidence. It is generally not possible to give a positive opinion on whether future results will be achieved .

3. Acceptance of Engagement – Key Considerations

Before accepting a PFI engagement, the practitioner must evaluate the following matters :

Consideration	Key Questions
Intended use	Will the report be used solely for a specific purpose (e.g., bank overdraft facility) or for multiple purposes?
Distribution	General or limited distribution? Wider distribution increases risk and potential liability
Nature of assumptions	Best-estimate (forecast) or hypothetical (projection)? This impacts the practitioner's approach
Period covered	Shorter periods are easier to verify. Longer periods introduce more uncertainty and risk
Realism of assumptions	Engagement should not be accepted if assumptions are clearly unrealistic or PFI is inappropriate for intended use
Scope of work	What specific elements is the practitioner being asked to report on?
Resources and skills	Does the firm have staff with appropriate skills and business knowledge?
Client integrity	Consider management's reasons for engagement and potential bias (per NSQC I)
Independence	Ensure no threats to objectivity exist. For non-audit clients, consider obtaining permission to contact existing auditors

Red flags for declining an engagement:

- ✓ Assumptions are clearly unrealistic
- ✓ PFI will be inappropriate for its intended use
- ✓ Client refuses permission to contact existing auditors

4. Knowledge of the Business

The practitioner must obtain sufficient knowledge of the client's business to :

- ✓ Evaluate whether assumptions are reasonable
- ✓ Identify areas requiring special consideration
- ✓ Design appropriate examination procedures

Key areas to understand:

- ✓ Industry conditions and competitive environment
- ✓ Historical financial performance trends
- ✓ Management's competence in preparing PFI
- **Reliability of underlying source data**

5. Period Covered by PFI

- Shorter periods generally allow for more reliable verification
- Longer periods introduce greater uncertainty – assumptions become more speculative

- The practicability of obtaining sufficient appropriate evidence decreases as the forecast period lengthens

6. Examination Procedures

The practitioner should obtain sufficient appropriate evidence regarding :

Evidence Required:

1. Assumptions are reasonable – management's assumptions provide a reasonable basis for the PFI
2. Proper preparation – PFI is properly prepared based on those assumptions
3. Consistency – Appropriate accounting policies are used and consistently applied
4. Proper presentation – Assumptions are adequately disclosed and PFI is properly presented

Assessment Areas for Planning:

- ✓ Likelihood of material misstatements
- ✓ Client business information
- ✓ Management's competence regarding PFI
- ✓ Impact of management's judgments on PFI
- ✓ Adequacy and reliability of source data

Typical Procedures:

- ✓ Inquiry and analytical procedures
- ✓ Recalculation of mathematical accuracy
- ✓ Evaluation of internal controls over PFI preparation
- ✓ Comparison with historical financial statements for consistency

7. Presentation and Disclosure

The practitioner must evaluate :

- ✓ Whether accounting policies are appropriate and disclosed
- ✓ Whether significant events/assumptions are adequately explained
- ✓ The appropriateness of the forecast period

8. The Assurance Report

Required Report Elements :

Element	Description
Title	Clearly identifies as an independent assurance report
Addressee	Identifies intended users

Reference to NSAE 3400	States that the engagement was conducted in accordance with NSAE 3400
Responsibilities	Clarifies management's responsibility for PFI and practitioner's role
Scope of work	Describes procedures performed
Conclusion	Negative assurance conclusion
Caveat/warning	States that actual results may differ from PFI due to inherent uncertainty
Date, address, signature	Practitioner's signature and report date

Types of Opinions:

Situation	Opinion Type
PFI properly prepared, assumptions reasonable	Unmodified conclusion (negative assurance)
PFI inadequately presented or disclosed	Qualified opinion or adverse opinion
Assumptions clearly unrealistic	Should not accept engagement

Sample Conclusion Wording (Limited Assurance):

"Based on our examination, nothing has come to our attention that causes us to believe that the forecast is not properly prepared on the basis of the assumptions stated in the forecast, or that those assumptions do not provide a reasonable basis for the forecast."

9. Written Representations from Management

The practitioner should obtain written representations from management confirming :

- ✓ The purpose for which the PFI will be used
- ✓ That assumptions are reasonable based on management's knowledge
- ✓ Completeness of information provided
- ✓ Responsibility for the preparation of PFI

10. Ethical and Quality Control Requirements

- ✓ IESBA Code of Ethics/Handbook of COE of ICAN – including independence requirements (self-interest, self-review, advocacy threats must be managed)
- ✓ NSQC I – Quality control for firms performing assurance engagements
- ✓ Independence is required

NSAE 3402 : Assurance Reports on Controls at a Service Organization.

I. Overview and Scope

NSAE 3402 is an international standard for auditor's reports on controls at service organizations. It addresses reports on the description, design, and operating effectiveness of controls relating to the range of services that service organizations provide. Such services can include processing transactions, IT operations, data processing, payroll, hosting platforms, financial systems, and outsourcing of business functions.

When companies outsource business functions, user entities (clients) and their auditors need assurance that the service organization has adequate controls in place. NSAE 3402 provides a global benchmark for this reporting.

2. Historical Context and Relationship to Other Standards

NSAE 3402 replaced the previous standard **SAS 70 (Statement on Auditing Standards No. 70)**, which had been the globally adopted standard for outsourcing company audits since 1969.

Why the change was needed:

- SAS 70 had outlived its utility and not kept pace with developments
- Increasing regulatory focus on internal controls (post Sarbanes-Oxley)
- Globalization of business process outsourcing
- Need to respond to requirements of user entities outside the US

Relationship to other standards:

- **SSAE 16** is the US equivalent standard issued by the AICPA (American Institute of Certified Public Accountants)
- **NSAE 3000** can be used as an alternative for non-financial processes where NSAE 3402 is less suitable
- NSAE 3402 is the first new assurance standard (other than ISAs) developed under the IAASB's International Framework for Assurance Engagements

3. Key Definitions

Term	Definition
Service Organization	An entity that provides services to user entities that are likely to be relevant to those user entities' internal control over financial reporting
User Entity	An organization that uses the services of a service organization and includes the service organization's controls as part of its own internal control system
Service Auditor	The independent practitioner who examines the service organization's controls and issues the assurance report
Sub-service Organization	Another service organization used by the primary service organization to provide part of its services

4. Types of NSAE 3402 Reports

There are two types of reports under NSAE 3402, which differ in scope and depth:

Feature	Type 1 Report	Type 2 Report
What it assesses	Whether controls are suitably designed and implemented at a specific point in time	Whether controls have operated effectively over a period of time (typically 6-12 months)
Time coverage	A specific date (point-in-time)	A period (e.g., "for the year ended December 31, 202X")
Testing of operating effectiveness	Not required	Required
User confidence level	Lower - only confirms design exists	Higher - confirms controls actually work in practice
Common use case	New service organizations or initial implementation	Established service organizations with operational history

Industry note: Type 2 reports are generally preferred by user entities and their auditors, as they provide evidence of actual control performance over time.

5. Management Responsibilities (New Under NSAE 3402)

One of the most significant changes from SAS 70 was the introduction of **management's written assertion** a separate report component on the service organization's letterhead, signed by management.

Management is responsible for:

1. Preparing and presenting a complete and accurate description of the system
2. Specifying control objectives and stating them in the description of the system
3. Identifying risks that threaten achievement of control objectives
4. Designing, implementing, and maintaining controls to provide reasonable assurance that control objectives will be achieved

Key point: Unlike SAS 70, where the service auditor's opinion was the primary communication, under NSAE 3402, management takes explicit responsibility for the description and control objectives.

6. Service Auditor Responsibilities

Key changes to service auditor responsibilities under NSAE 3402 include:

- The standard moved from being an audit standard (SAS 70) to an attestation standard
- When using internal audit function work, the service auditor must describe the work performed by internal audit and the procedures used to test that work
- Greater emphasis on evaluating the suitability of design as well as operating effectiveness

7. Sub-service Organizations

When the service organization uses another service organization (sub-service organization) to provide services, special considerations apply:

- Under the **inclusive method**, sub-service organizations are also required to prepare a management assertion report
- This is more demanding than the previous SAS 70 requirement (which only required a letter of representation)
- Early discussion with sub-service organizations is critical to avoid refusal to provide assertion reports

8. When is NSAE 3402 Relevant?

The standard is typically relevant when:

- ✓ Your organization provides systems or processes that handle data or tasks for other companies
- ✓ Customers ask for or require documentation of your security and controls
- ✓ Working with compliance in regulated industries (e.g., finance, healthcare, HR)
- ✓ Wanting to strengthen trust and market position

Examples of organizations that commonly obtain NSAE 3402 reports:

- ✓ Data centers and hosting providers
- ✓ Payroll processing companies
- ✓ Cloud service providers
- ✓ IT outsourcing firms
- ✓ Business process outsourcing (BPO) providers
- ✓ Software development centers

10. Content of an NSAE 3402 Report

While the search results do not provide the complete paragraph-by-paragraph requirements, a typical NSAE 3402 report includes:

1. **Management's assertion** – Written statement on the service organization's letterhead
2. **Service auditor's report** – Independent opinion on the description, design, and operating effectiveness
3. **Description of the system** – Details of the services provided, control objectives, and controls
4. **Test results** (Type 2 only) – Documentation of controls tested and results

Reports are often referred to as **SOC 1 reports** (Service Organization Controls Report) under the equivalent US standard. Type 2 reports cover a period (e.g., 12 months) and can include additional SOC 2 and SOC 3 reports for broader controls

NSRS 4400 : Agreed Upon Procedures

I. Overview and Scope

NSRS 4400 deals with a practitioner's responsibilities when engaged to perform an agreed-upon procedures (AUP) engagement, and the form and content of the AUP report .

Key Change from Previous Standard: The revised standard broadens the scope to cover AUP engagements on **both financial and non-financial subject matters** . Previously, the standard primarily addressed financial information.

2. What is an Agreed-Up Procedures Engagement?

An AUP engagement is fundamentally different from an audit or review engagement. The key characteristics are :

Feature	Description
Nature	The practitioner performs specific procedures agreed upon with the engaging party
Report content	The practitioner communicates the procedures performed and the factual findings (not an opinion or conclusion)
Assurance provided	No assurance is expressed – neither reasonable nor limited
User responsibility	Intended users assess the procedures and findings for themselves and draw their own conclusions
Not an assurance engagement	Explicitly NOT an audit, review, or other assurance engagement

Critical Distinction: Unlike an audit (opinion) or review (negative assurance), an AUP report provides no conclusion whatsoever. Users must evaluate the findings themselves .

3. Definition of Key Terms

Term	Definition
Agreed-upon procedures	Procedures agreed upon by the practitioner and the engaging party (and if relevant, other parties)
Findings	Factual results of the agreed-upon procedures performed; capable of being objectively verified; excludes opinions, conclusions, or recommendations
Engaging party	The party(ies) that engage the practitioner to perform the engagement
Intended users	Individuals or organizations that the practitioner expects will use the AUP report
Responsible party	The party responsible for the subject matter on which procedures are performed
Practitioner's expert	Individual or organization with expertise in a field other than assurance, whose work assists the practitioner

4. Objectives of the Practitioner

The practitioner's three core objectives in an AUP engagement are :

1. **Agree** with the engaging party on the procedures to be performed
2. **Perform** the agreed-upon procedures
3. **Communicate** the procedures performed and the related findings in accordance with NSRS 4400

4. Types of Engagements and Common Applications

AUP engagements are increasingly common across various contexts . Typical applications include:

Area	Example Applications
Grants and funding	Reports to funders on whether grant expenditure was incurred per approved grant conditions
Commercial contracts	Turnover confirmations for franchisors; EBITDA or debt covenant calculations
Compliance	Certificates for non-profit organizations confirming donations spent for intended purpose; business TV licence audits
Due diligence	Verification of claims against investment or incentive schemes; due diligence reviews
Research contracts	EU research framework programme contracts
Banking/Finance	Financial covenant certificates for credit institutions; reconciliation of figures from accounting records

6. Key Requirements

6.1 Ethical Requirements

The practitioner shall comply with relevant ethical requirements, including provisions of the IESBA Code (equivalent ICAN Code of Ethics) .

- ✓ Key ethical principles include :
- ✓ Integrity
- ✓ Objectivity
- ✓ Professional competence and due care
- ✓ Confidentiality
- ✓ Professional conduct
- ✓ Compliance with technical standards

6.2 Independence

Important distinction: Unlike assurance engagements (NSAE 3000, NSAE 3402), independence is **not always required** for AUP engagements. The standard requires transparency about whether independence requirements apply . If independence is required, the practitioner shall comply .

6.3 Professional Judgment

The practitioner shall exercise professional judgment throughout the engagement . This includes:

- ✓ **Acceptance phase:** Discussing and agreeing on the nature, timing, and extent of procedures

- ✓ **Performance phase:** Determining appropriate actions if procedures cannot be performed as agreed
- ✓ **Reporting phase:** Describing findings objectively with sufficient detail

6.4 Engagement Acceptance and Continuance

Before accepting or continuing an engagement, the practitioner shall :

- a) **Understand the purpose** of the engagement
- b) **Not accept** if procedures being asked to perform are **inappropriate** for the purpose
- c) **Only accept when all conditions are met:**
 - Engaging party acknowledges the expected procedures are appropriate for the purpose
 - Practitioner expects to obtain necessary information
 - Procedures and findings can be described objectively, clearly, and without varying interpretations
 - No reason to believe ethical requirements will not be complied with
 - If independence required, no reason to believe independence requirements will not be complied with

Key practical consideration: The engaging party must acknowledge that the procedures are appropriate. The practitioner cannot accept if procedures are inappropriate .

6.5 Procedures and Evidence

The practitioner executes the agreed-upon procedures and uses evidence gathered as the basis for findings .

Typical procedures include :

- Inquiry and analysis
- Observation
- Inspection
- Comparison, recomputation, and other tests for clerical accuracy
- Obtaining confirmations

6.6 Documentation

The practitioner shall document matters that are important to provide evidence supporting the report of findings and evidence that the engagement was performed in accordance with NSRS 4400 and the terms of engagement .

7.1 Using the Work of a Practitioner's Expert

The revised standard includes new requirements for using a practitioner's expert :

- The engagement partner shall be satisfied that the practitioner can be involved in the expert's work sufficiently to take responsibility for findings included in the report
- This addresses evolving engagement circumstances where specialized expertise may be needed

7. The AUP Report – Content and Form

7.1 Required Report Elements

The AUP report must contain the following :

Element	Description
Title	Clearly identifies as an AUP report
Addressee	Identifies intended users
Identification of subject matter	Distinguishes between financial or non-financial information to which procedures apply
Statement of agreement	Describes that procedures performed are those agreed with the recipient
Reference to standard	States engagement performed in accordance with NSRS 4400
Purpose	Describes the purpose of the agreed-upon procedures
List of specific procedures	Details each procedure performed
Findings	Factual results with adequate detail of exceptions and errors found
No assurance statement	States procedures performed do not constitute an audit or review, and no assurance is expressed
Limitation statement	States that if additional procedures (audit/review) had been performed, other matters might have surfaced
Restriction on use (if applicable)	Statement that report is limited to specified parties
Date	Date of the report
Place of signature	Location
Signature	Practitioner's signature (personal name; if firm, personal name plus firm name)

7.2 Enhanced Transparency in Reporting

The revised standard introduces enhanced transparency requirements :

- ✓ **Clear terminology** that is not misleading or subject to varying interpretations
- ✓ **Responsibilities** of various parties clearly stated
- ✓ **Independence transparency** – whether the practitioner is required to comply with independence requirements and, if so, identification of relevant requirements

7.3 Restriction on Use

Notably, the revised standard **does not require** a statement restricting the report to parties that agreed to the procedures. This is now at the practitioner's discretion, with application material provided to guide this decision

NSRS 4410 (Revised) : Compilation Engagements

I. Overview and Scope

NSRS 4410 deals with engagements where a practitioner is engaged to assist management in the preparation and presentation of **historical financial information** (e.g., financial statements) . The standard applies when the practitioner is to compile financial information in accordance with an applicable financial reporting framework and provide a compilation report .

Key Characteristics:

- **Not an assurance engagement** – no assurance is provided on the accuracy or completeness of the financial information
- The practitioner applies accounting and financial reporting expertise, but is **not required to verify** the completeness or accuracy of information provided by management
- The practitioner may become aware of material misstatements during the engagement, but is not required to actively search for them

3. What is a Compilation Engagement?

A compilation engagement is fundamentally different from an audit or review engagement:

Feature	Compilation (NSRS 4410)	Audit (NSA)	Review (NSRE 2400)
Assurance provided	None	Reasonable assurance	Limited assurance
Conclusion	No conclusion expressed	Positive opinion	Negative conclusion
Practitioner role	Assist management in preparing financial statements	Independently examine and opine	Perform limited procedures
Verification	Not required to verify data	Required	Limited verification
Professional scepticism	Not required	Required	Required

Why compilations matter: Users often value the involvement of a professional accountant in compiling financial information, as it enhances the quality of reporting even though no assurance is provided .

3. Key Definitions

Term	Definition
Compiled financial information	Financial information (e.g., financial statements) that the practitioner has assisted management in preparing and presenting
Management	The party responsible for the financial information, including its accuracy and completeness
Practitioner	The professional accountant performing the compilation engagement
Applicable financial reporting framework	The accounting framework (e.g., IFRS, IFRS for SMEs, local GAAP) used to present the financial information

4. Key Requirements

4.1 Ethical Requirements

The practitioner must comply with relevant ethical requirements, including :

- ✓ **Not knowingly being associated** with materially false or misleading information
- ✓ Maintaining **professional competence and due care** throughout the engagement
- ✓ Applying **professional judgment**

4.2 Quality Control

Firms undertaking compilation engagements must apply **NSQC I** (or requirements that are at least as demanding) . This represents a significant enhancement from the previous standard and ensures consistent quality across compilation engagements .

4.3 Engagement Acceptance

Before accepting a compilation engagement, the practitioner must :

- a) Understand the purpose of the engagement
- b) Have sufficient understanding of the **entity and its operations**
- c) Have sufficient understanding of the **applicable financial reporting framework**
- d) Determine that the engagement can be performed in accordance with NSRS 4410

Key acceptance conditions :

- ✓ The engaging party acknowledges the nature of the engagement (non-assurance)
- ✓ The practitioner expects to obtain all necessary information
- ✓ There is no reason to believe ethical requirements will not be complied with

4.4 The Engagement Letter

NSRS 4410 mandates that an engagement letter is issued to clearly outline :

- ✓ The nature of the compilation engagement
- ✓ The responsibilities of both the practitioner and management
- ✓ The limitations of the engagement (no assurance)
- ✓ The applicable financial reporting framework

This formal documentation ensures management understands that they remain **fully responsible** for the accuracy, completeness, and presentation of the financial statements .

4.5 Understanding of the Entity

While the practitioner is not required to verify information, they must have sufficient understanding of :

- ✓ The entity's **business and operations**

- ✓ The entity's **industry and environment**
- ✓ The **applicable financial reporting framework**

This understanding enables the practitioner to:

- ✓ Advise the client if the selected basis of accounting is **inappropriate** for the engagement
- ✓ Identify when the compiled financial information is **materially misstated or misleading**

4.6 Communication with Management

The standard emphasizes effective communication throughout the engagement :

Communication Required	Description
Significant judgments	Discuss all significant judgments where the practitioner provided assistance, including sufficient detail for management to take full responsibility
Incomplete or inaccurate information	Request additional or corrected information if records, documents, or explanations are incomplete or inaccurate
Material misstatements	Recommend changes to rectify material misstatements or inadequate descriptions of the basis of accounting

4.7 When Management Does Not Cooperate

If management does not provide additional information or agree to recommended changes :

- ✓ The practitioner must **resign from the engagement**
- ✓ This avoids being associated with information known to be materially false or misleading
- ✓ This protects the practitioner's professional reputation and ethical standing

4.8 Selecting the Basis of Accounting

SMEs may face a variety of financial reporting demands. NSRS 4410 provides **flexibility** to use an appropriate basis of accounting when a framework is not mandated . However, this flexibility is not unlimited:

- The practitioner must advise the client if the selected basis of accounting is **inappropriate** for the engagement
- The practitioner must ensure the compiled financial information is **not misleading**

5. The Compilation Report

5.1 Required Report Elements

If a practitioner states compliance with NSRS 4410 (Revised), a **practitioner's report** must accompany the compiled financial information . The report must clearly:

Element	Purpose
Identify the compiled financial information	Specify which financial statements or information were compiled
Set out respective roles	Clarify management's responsibility vs. practitioner's role

State no assurance is given	Explicitly indicate that no audit or review was performed and no assurance is provided
Describe the nature of the engagement	Explain that the practitioner assisted management using accounting expertise
Reference NSRS 4410	State that the engagement was conducted in accordance with this standard
Date and signature	Practitioner's signature and report date

5.2 Sample Report Structure

Based on the requirements, a compilation report follows this general structure:

text

[Title – Independent Practitioner's Compilation Report]

[Addressee]

We have compiled the accompanying financial statements of [entity name] as at [date], and for the period then ended, based on information provided by management.

Management's Responsibility

Management is responsible for the accuracy and completeness of the information provided, for the preparation and presentation of the financial statements in accordance with [applicable financial reporting framework], and for the internal controls necessary to enable the preparation of financial statements.

Practitioner's Responsibility

Our responsibility is to compile the financial statements using our accounting and financial reporting expertise. We have performed this engagement in accordance with International Standard on Related Services (NSRS) 4410 (Revised), Compilation Engagements.

No Assurance

We have not performed an audit or review engagement. Accordingly, we do not express an audit opinion or a review conclusion on the financial statements.

[Signature]

[Date]

[Address]

Note on terminology: The standard explicitly does **not** require the practitioner's report to include explanatory wording about audits and reviews, as such inclusion could cause confusion where none was present before .

6. Management Responsibilities

Management bears full responsibility for :

- ✓ The accuracy and completeness of the underlying information
- ✓ The preparation and presentation of the financial statements
- ✓ Selecting and applying the appropriate financial reporting framework
- ✓ Establishing necessary internal controls
- ✓ Providing all information required for the compilation
- ✓ Granting the practitioner access to relevant records and personnel

Critical Point: The practitioner's involvement does **not** reduce or diminish management's ultimate responsibility for the financial information .

7. Ethical Considerations

Key ethical requirements applicable to compilation engagements include :

Principle	Application
Integrity	Not knowingly being associated with materially false or misleading information
Objectivity	Maintaining professional objectivity when assisting management
Professional competence	Having sufficient understanding of the entity and applicable framework
Confidentiality	Protecting client information
Professional conduct	Complying with relevant ethical requirements
Independence	Reporting requirements surrounding the practitioner's independence (or lack thereof) transparency is required

8. Relationship to NSQC I

NSRS 4410 (Revised) requires that firms undertaking compilation engagements apply **NSQC I** (International Standard on Quality Control) or requirements that are at least as demanding .

This includes:

- Establishing quality control policies and procedures
- Maintaining engagement performance standards
- Documenting the engagement appropriately
- Ensuring compliance with ethical requirements

9. Practical Applications and Examples

Compilation engagements are appropriate in various scenarios :

Scenario	Example
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Statutory exemptions	When entities are exempt from audit (common for SMEs)
External party needs	Bank lenders or grant funders require financial information
Transaction purposes	In connection with changes of ownership
Internal management use	Financial information for management decision-making
Monthly management accounts	However, less formal expectations may apply

10. Key Considerations for Practitioners

11.1 When NSRS 4410 Is NOT Appropriate

The standard is **not suitable** for :

- Monthly management accounts with low expectations of accuracy
- Engagements where users expect any form of assurance
- Situations where the practitioner cannot obtain necessary information

11.2 Distinguishing from Assurance Engagements

Given that users may not fully understand the differences, practitioners must ensure that :

- The engagement letter clearly explains the non-assurance nature
- The compilation report explicitly states that no assurance is given
- Management acknowledges their responsibilities in writing

11.3 Practical Challenges

Practitioners should be aware that :

- Compilation engagements vary greatly in size, complexity, and risk
- There is no standard work programme – each engagement must be tailored
- The standard may not be well-covered in graduate education
- Time required versus fees earned can be challenging

Code of Ethics

Identification of Threats



Basic Principles Governing Audit

The fundamental principles establish the standard of behavior expected of a professional accountant

- **Objectivity:** A professional accountant must not allow bias, conflicts of interest or undue influence of others to compromise professional or business judgments.
- **Professional behavior:** A professional accountant must comply with relevant laws and regulations and avoid any conduct that might discredit the profession.
- **Professional competence and due care:** A professional accountant must attain and maintain professional knowledge and skill at the level required to ensure that a client or employer receives competent professional services based on current developments in practice, legislation and techniques.
A professional accountant must act diligently and in accordance with applicable technical and professional standards.
- **Integrity:** A professional accountant must be straightforward and honest in all professional and business relationships.
- **Confidentiality:** A professional accountant must respect the confidentiality of information acquired as a result of professional and business relationships. They should not disclose any such information to third parties without proper and specific authority, unless there is a legal or professional right or duty to disclose. Such confidential information should not be used for the personal advantage of members or third parties.

External auditors are in a unique position of having a legal right of access to all information about their clients. The client must be able to trust the auditor not to disclose anything about its business to third parties as it could be detrimental to its operations.

Confidential information may be obtained from:

- ✓ The firm or employing organization
- ✓ Business relationships i.e. current clients and previous clients
- ✓ Prospective clients and employers.

Members of an assurance team should not disclose any information to anyone outside of the engagement team, whether or not they work for the same firm.

Circumstances in which disclosure is permitted or required

Information should only be disclosed with proper and specific authority, or when there is a legal or professional right or duty to disclose.

Disclosure of confidential information should only be made in the following circumstances:

- a) Disclosure is required by law
 - ✓ Production of documents or other provision of evidence in the course of legal proceedings.
 - ✓ Disclosure to the appropriate public authorities of infringements of the law that come to light.
- b) Disclosure is permitted by law and is authorized by the client or the employer.
- c) There is a professional duty or right to disclose, when not prohibited by law
 - ✓ To comply with the quality review of ICAN or another professional body.
 - ✓ To respond to an inquiry or investigation by ICAN or a regulatory body

- ✓ To protect the professional interests of a professional accountant in legal proceedings
- ✓ To comply with technical standards and ethics requirements.

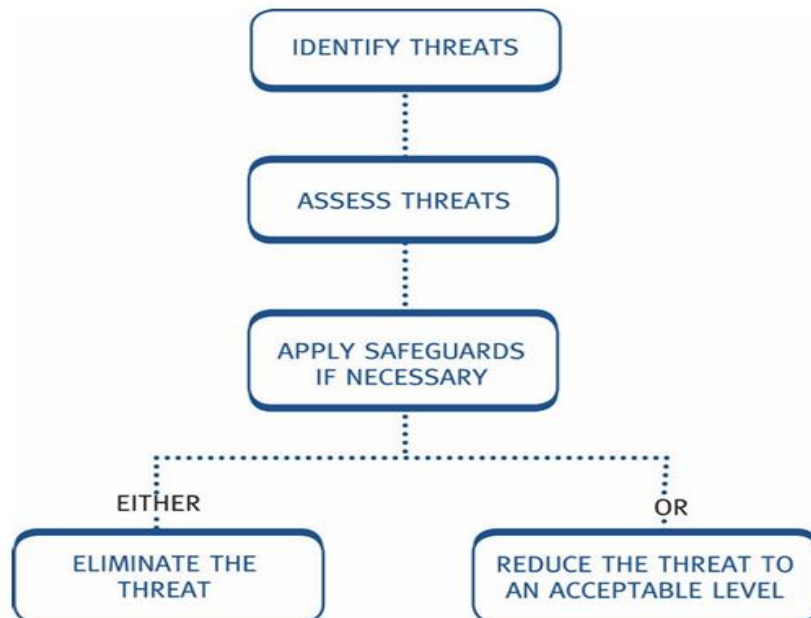
Factors to be considered before disclosing confidential information include:

- ✓ Whether harm could be caused by the disclosure
- ✓ Whether all relevant information is known and substantiated
- ✓ Whether the information is to be communicated to appropriate recipients.

Principles Based Vs Rules Based

Both IESBA and ICAN adopts principles based approach

Principles Based	Rules Based
Requires compliance with the spirit of the guidance.	May be easier to follow because rules are clearly defined
Requires the accountant to use professional judgment.	Needs frequent updating to ensure the guidance applies to new situations.
Flexible, so can be applied to new, unusual or rapidly changing situations.	May encourage accountants to interpret requirements narrowly in order to get round the spirit of the requirements.
Principles may be applied across national boundaries where laws may not.	Virtually impossible to be able to deal with every situation that may arise, particularly across various national boundaries and in a dynamic industry.
Can still incorporate specific rules for ethical situations likely to affect many firms.	



Threat	Descriptions
Self Interest Threat	
Meaning	Where the auditor has a financial or other interest that will inappropriately influence their judgment or behavior.
Fee Dependency	✓ Threats can be created if fees represent a large proportion of one partner or one office of the firm ✓ Over-dependence could lead the auditor to ignore adjustments required in the financial statements for fear of losing the client ✓ Factors relevant when evaluating the threat include ▪ Operating structure of the firm ▪ Whether the firm is well established or new ▪ The significance of the client to the firm.
For Non- Listed Client	If fees from an audit client represent a large proportion of the firm's total fees, the firm should implement safeguards such as: ✓ Increasing the client base to reduce dependency ✓ Having an appropriate reviewer who did not take part in the audit review the work performed.
Listed Clients	A firm's independence is threatened, and should be reviewed, if total fees from a listed audit client exceed 15% of the firm's total fees for two consecutive years The firm should disclose the issue to those charged with governance at the client An engagement quality review should be performed by a person not a member of the audit firm expressing the opinion, or by the professional regulatory body. This can be performed as either a pre-issuance review, before the 2nd year audit opinion is issued or a post-issuance review on the 2nd year audit before the 3rd year audit opinion is issued If fees significantly exceed 15%, a pre-issuance review should be performed if a post-issuance review would not reduce the threat to an acceptable level.
Gifts and hospitality	
	✓ Acceptance of goods, services or hospitality from an audit client can create self-interest, intimidation and familiarity threats as the auditor may feel indebted to the client ✓ Gifts and hospitality may not be accepted unless the value is trivial and inconsequential ✓ Gifts and hospitality which are trivial and inconsequential but which are intended to improperly influence the behavior of the recipient should not be accepted
Owning shares/ financial interests	
	The auditor will want to maximize return from the investment and overlook audit adjustments which would affect the value of their investment.

	When evaluating the threat, the factors which should be considered include who holds the financial interest and whether the financial interest is direct or indirect. A direct, or material indirect, financial interest in the audit client must not be held by: ✓ the firm or a network firm ✓ an audit team member or the immediate family of a team member ✓ a partner working in the office connected with the audit engagement partner ✓ any partner providing non-audit services to the audit client Safeguards a) An immediate family member may hold a financial interest such as pension or share options but must dispose of it as soon as practicable when the family member has the right to do so, e.g., when there is a right to exercise the option b) If a close family member of an audit team member holds a direct, or material indirect financial interest in an audit client, the person must be removed from the team until the financial interest is disposed and an appropriate review of the work must be performed
Loans and guarantees	
	The significance of the threat depends on whether the loan or guarantee is with a bank or similar financial institution and whether the amount is material.
	Loans and guarantees to audit clients are not permitted unless immaterial to the firm or individual making the loan or guarantee, and the client
	Loans and guarantees between an audit client which is a bank or similar financial institution and the firm, the audit team member, or their immediate family, that are not made under normal lending procedures, terms and conditions are not permitted
Safeguards	If an immaterial loan from a bank or similar financial institution is obtained under normal lending procedures, terms and conditions, an appropriate reviewer who is not an audit team member should perform a review of the audit work performed. A loan or guarantee from an audit client which is not a bank or financial institution is not permitted unless immaterial
Overdue fees	
	Overdue fees may be seen to be a loan to a client. The firm may also treat the client favorably to ensure the fees are paid.
	Factors which should be considered when evaluating the threat include how long the debt has been outstanding and the value of the debt
	A self-interest threat may be created if a significant amount of fees is not paid before the auditor's report for the following year is issued
Safeguards	To manage the threat the firm should: ✓ Obtain partial or full payment for the fees. ✓ Have an appropriate reviewer who did not take part in the audit review the work performed.
	When fees remain overdue for a significant amount of time, the firm should consider whether the overdue fees constitute a loan, and whether it is appropriate to seek reappointment or continue with the engagement
Business relationships	
	If audit firms (or members) enter into business relationships with clients (e.g. joint ventures, combining products or services of each party, distribution or marketing

	arrangements), this leads to self-interest because the auditor would have an interest in the successful operation of the client
	A firm, network firm or audit team member should not have a close business relationship with an audit client unless any financial interest is immaterial and the business relationship is insignificant to the client, the firm or the audit team member
Potential employment with an audit client	
	If a member of the engagement team has reason to believe they may become an employee of the client they will not wish to do anything to affect their potential future employment.
Safeguards	The firm must establish policies and procedures which require individuals to notify the firm of the possibility of employment with the client When such a situation occurs, the following safeguards should be implemented ✓ Remove the individual from the assurance engagement. ✓ Have an appropriate reviewer review any significant judgments made by that individual
Contingent Fees	
	The auditor would have incentive to ensure a particular outcome is achieved in order to maximize the audit fee. E.g., overlook audit adjustments that would reduce profit if the fee is calculated based on profit
	Fees based on a particular outcome, e.g. level of profits of the company, are not permitted for audit engagements
	Contingent fees are not permitted for non-assurance services provided to an audit client if: ✓ The fee is material to the firm. ✓ The outcome of the non-assurance service is dependent on a future judgment related to the audit of a material amount in the financial statements
Compensation and evaluation policies	
	A self-interest threat is created when a member of the audit team is evaluated on, or compensated for, selling non-assurance services to that audit client. The significance of the threat will depend on: • The proportion of the individual's compensation or performance evaluation that is based on the sale of such services. • The role of the individual on the audit team • Whether promotion decisions are influenced by the sale of such services.
Safeguards	Audit team members The firm shall: • Revise the compensation plan or evaluation process for that individual. • Remove that individual from the audit team. • Have an appropriate reviewer review the work of the member of the audit team. Key audit partner A key audit partner shall not be evaluated on or compensated based on their success in selling non-assurance services to their audit client.
Actual or threatened litigation	

	Litigation could represent a breakdown of trust in the relationship between auditor and client. This may affect the impartiality of the auditor, and lead to a reluctance of management to disclose relevant information to the auditor. The significance of the threat depends on the materiality of the litigation and whether the litigation relates to a prior assurance engagement
	It may be possible to continue other assurance engagements, depending on the significance of the threat by: • Discussing the matter with the client. • If the litigation involves an individual, removing that individual from the engagement team • Having an appropriate reviewer review the work performed. If adequate safeguards cannot be implemented the firm must withdraw from, or decline, the engagement
Familiarity Threats	
	When the auditor becomes too sympathetic or too trusting of a client and loses professional skepticism, or where the relationship between the auditor and client goes beyond professional boundaries.
Long association of senior personnel	
	Using the same senior personnel in an engagement team over a long period may cause the auditor to become too trusting/less skeptical of the client resulting in material misstatements going undetected A self-interest threat may also be created as a result of the individual's concern about losing a longstanding client In relation to the individual the firm should consider: ✓ The length and closeness of the individual's relationship with the client. ✓ The length of time on the audit team. ✓ The extent of direction, supervision and review of work of the individual. ✓ The extent to which the individual has had the ability to influence the outcome of the audit. In relation to the audit client, the firm should consider: ✓ Whether the complexity of the subject matter has changed ✓ Whether the client's management team has changed. ✓ Structural changes in the client's organization.
Safeguards	✓ Rotate individuals off the audit team. ✓ Change the role of the individual or the nature of the tasks they perform. ✓ Have an appropriate reviewer who was not a member of the audit team review the work performed. ✓ Perform regular independent internal or external quality reviews of the engagement.
Listed clients	✓ The engagement partner, EQR or any other key audit partner must not act for a period of more than seven cumulative years ('time-on' period). ✓ After the time-on period, the individual must serve a cooling-off period The cooling-off periods are as follows: ✓ 5 years for an engagement partner ✓ 3 years for an EQR. ✓ 2 years for a key audit partner. During the cooling-off period, the individual shall not:

	✓ Be an engagement team member ✓ Consult with the engagement team or client. ✓ Be responsible for, or provide, other professional services to the audit client. ✓ Undertake any role which would require significant interaction with senior management or directly influence the outcome of the audit. ▪ In exceptional circumstances, a key audit partner may be permitted to serve a one-year extension if continuity is important to maintain audit quality ▪ If an audit client becomes a public interest entity, the length of time served as a key audit partner before the client became a public interest entity is taken into account. ▪ If a key audit partner was a key audit partner on that engagement at a different firm, the length of time served at the prior firm should be taken into account. ▪ An independent regulatory body may provide an audit firm with an exemption from partner rotation if the firm does not have sufficient people with the necessary knowledge and experience to enable partner rotation
Family and personal relationships	✓ A familiarity threat (and self-interest or intimidation threat) may occur when a member of the engagement team has a family or personal relationship with someone at the client who is able to exert significant influence over the financial statements (or subject matter of another assurance engagement) ✓ Factors which should be considered when evaluating the threat include the individual's responsibilities on the audit team and the role of the family member or other individual within the client, and the closeness of the relationship.
Safeguards	Audit team members ▪ Where an immediate family member is a director or employee in a position to influence the accounting records or financial statements, the individual must be removed from the engagement team ▪ Where an immediate family member is in a position to exert influence over the client's financial position, performance or cash flows, or where a close family member is a director or employee in a position to influence the accounting records or financial statements, the following safeguards can be applied: ✓ Remove the individual from the audit team. ✓ Structure the engagement team so that the individual does not deal with matters that are the responsibility of the family member Other employees and partners of the firm A firm should have policies and procedures in place to provide guidance when a partner (or employee) of the firm has a family or personal relationship with someone at the client who is able to exert significant influence over the subject matter, even when the individual is not a member of the engagement team The firm should structure the individual's responsibilities to reduce any potential influence over the audit engagement and have an appropriate reviewer review the audit work performed
Recruitment services	Familiarity, self-interest or intimidation threats may arise if the firm is involved in recruiting senior personnel for the client. The firm may also be considered to be assuming management responsibilities.
Employment with an audit client	A self-interest, familiarity or intimidation threat may arise where an employee or partner of the firm becomes a director or employee of an audit client (in a position to exert significant influence over the financial statements or other subject matter).

	The firm should ensure no significant connection remains between the individual and the firm, such as entitlement to benefits or payments from the firm, or participation in the firm's business and professional activities
Safeguards	The firm should consider: ✓ The position taken at the client. ✓ The involvement the person will have with the audit team. ✓ The length of time since the individual was a member of the audit team. ✓ The former position of the individual within the audit team.
Self-review threats	
	Where non-audit work is provided to an audit client and is then subject to audit, the auditor will be unlikely to admit to errors in their own work, or may not identify the errors in their own work
Accounting and bookkeeping services	
	Providing accounting and bookkeeping services for an audit client might create a self-review threat Accounting and bookkeeping services include: ✓ Preparing accounting records and financial statements including: ▪ determining accounting policies ▪ originating journal entries ▪ determining account classifications of transactions ✓ Recording transactions ✓ Payroll services Discussing accounting treatments and proposing adjusting journal entries are a normal part of the audit process and do not create threats as long as the client is responsible for making decisions in the preparation of the financial statements
Safeguards	Non- Listed Clients A firm shall only provide a non-listed audit client with accounting and bookkeeping services which are routine or mechanical in nature Professionals who are not audit team members must be used to perform the service and an appropriate reviewer who was not involved in providing the service should review the audit work or service performed Services which are routine and mechanical in nature and therefore require little or no professional judgment include ✓ Preparing payroll calculations based on client-originated data ✓ Recording recurring transactions which are easily determinable. ✓ Calculating depreciation when the client determines the accounting policy, useful life and residual value. ✓ Posting transactions coded by the client to the ledger ✓ Posting client approved entries to the trial balance ✓ Preparing financial statements based on information in the client-approved trial balance. Listed clients A firm cannot provide a listed audit client with accounting and bookkeeping services which form the basis of financial statements on which the firm will express an opinion.

	A firm can provide accounting services for divisions or related entities of a listed client if separate teams are used and divisions or related entities are collectively immaterial to the financial statements subject to audit.
Internal audit services	In addition to the self-review threat, the audit firm must be satisfied that management takes full responsibility for the internal audit activities and internal controls to avoid assuming management responsibilities The firm should consider ✓ The materiality of the related financial statement amounts ✓ The risk of misstatement of the assertions related to the financial statement amounts ✓ The degree of reliance that the audit team will place on the internal audit service. Non- Listed Clients Professionals who are not audit team members must be used to perform the internal audit service Listed Clients A firm cannot provide internal audit services for a listed audit client, where the service relates to internal controls over financial reporting, financial accounting systems, or in relation to amounts or disclosures that are material to the financial statements
Tax services	Providing tax services to an audit client might create a self-review and advocacy threat Tax services include ✓ Tax return preparation ✓ Tax calculations for preparing accounting entries ✓ Tax planning and advisory services ✓ Tax services involving valuations ✓ Assistance in the resolution of tax disputes.
Safeguards	The firm should consider ✓ The characteristics of the engagement. ✓ The level of tax expertise of the client's employees. ✓ The complexity of the tax regime
Tax return preparation	Completion of tax returns does not usually create a threat as the returns are based on historical information and subject to approval by the tax authority
Tax calculations	Non-listed clients The firm should use professionals who are not audit team members to perform the service, and an appropriate reviewer who was not involved in providing the service should review the audit work or service performed. Listed clients The firm must not prepare tax calculations of current or deferred tax where the figures are material to the financial statements. Where the figures are immaterial, the safeguards for non-listed clients should be applied.
Tax planning and advisory services	the firm should consider ✓ The degree of subjectivity involved ✓ Whether the tax treatment is an established practice, supported by a private ruling and cleared by the tax authority ✓ Whether the advice will have a material effect on the financial statements

	✓ Whether the effectiveness of the advice depends on the accounting treatment and presentation in the financial statements and there is doubt over that treatment.
Safeguards	A firm shall not provide tax planning and advisory services to an audit client when the effectiveness of the tax advice depends on a particular accounting treatment When providing such services, the firm should: ✓ Use professionals who are not audit team members to perform the service ✓ Have an appropriate reviewer who was not involved in providing the service to review the audit work or service performed. ✓ Obtain pre-clearance from the tax authorities.
Tax services involving valuations	If the valuation performed for tax purposes is not subject to external review and the effect is material to the financial statements, the firm should also consider, ✓ The extent to which the valuation methodology is supported by tax law. ✓ The degree of subjectivity ✓ The reliability of the underlying data
Safeguards	When providing such services, the firm should: ✓ Use professionals who are not audit team members to perform the service. ✓ Have an appropriate reviewer who was not involved in providing the service to review the audit work or service performed ✓ Obtain pre-clearance from the tax authorities.
Assistance in the resolution of tax disputes	the firm should consider: ✓ The extent to which the outcome of the dispute will have a material effect on the financial statements ✓ Whether the advice provided is the subject of the tax dispute. ✓ The extent to which the matter is supported by tax law, regulation or established practice. ✓ Whether the proceedings are conducted in public.
Safeguards	When providing such services, the firm should ✓ Use professionals who are not audit team members to perform the service ✓ Have an appropriate reviewer who was not involved in providing the service to review the audit work or service performed.
	A firm shall not act as an advocate for the audit client before a public tribunal or court in the resolution of a tax matter if the amounts are material to the financial statements The firm is allowed to have a continuing advisory role e.g. ✓ Responding to specific requests for information ✓ Providing factual accounts or testimony about the work performed. ✓ Assisting the client in analyzing the tax issues
IT services	IT services may create a self-review threat and also be considered to be assuming management responsibilities. The firm should consider: ✓ The nature of the service ✓ The nature of IT systems and the extent to which they impact or interact with the client's accounting records or financial statements ✓ The degree of reliance that the audit team will place on the IT systems
	The firm can provide IT services which involve: ✓ Design or implementation of IT systems unrelated to internal controls or financial reporting.

	✓ Implementation of off-the-shelf accounting software that was not developed by the audit firm and does not require significant customization. ✓ Evaluating and making recommendations on a system designed or operated by another service provider or by the entity									
Safeguards	Listed clients A firm shall not provide IT systems services to a listed client that form a significant part of the internal controls over financial reporting or generate information that is significant to the financial statements All clients When providing such services, the firm should use professionals who are not audit team members to perform the service The audit firm must be satisfied that management takes full responsibility for the IT controls and systems									
Valuation services	Providing valuation services to an audit client might create a self-review and advocacy threat The firm should consider ✓ The use and purpose of the valuation report, including whether the report will be made public ✓ The extent of the client’s involvement in determining matters of judgment. ✓ The degree of subjectivity ✓ Whether the valuation will have a material effect on the financial statements. ✓ The degree of dependence on future events that might create significant volatility in the amounts involved									
Safeguards	Non-listed clients Valuation services shall not be provided to audit clients if the valuation involves a significant degree of subjectivity and the valuation will have a material effect on the financial statements Listed clients Valuation services that are material to the financial statements (regardless of subjectivity) should not be provided to listed audit clients. All clients Where services can be provided ✓ Use professionals who are not audit team members to perform the service ✓ Have an appropriate reviewer who was not involved in providing the service review the audit work or service performed <table><tr><td></td><td>Material to the financial statements</td><td>Not material to the financial statements</td></tr><tr><td>Valuation does not involve significant subjectivity</td><td>Non-listed, with safeguards</td><td>Listed and non-listed, with safeguards</td></tr><tr><td>Valuation involves significant subjectivity</td><td>Neither</td><td>Non-listed, with safeguards</td></tr></table>		Material to the financial statements	Not material to the financial statements	Valuation does not involve significant subjectivity	Non-listed, with safeguards	Listed and non-listed, with safeguards	Valuation involves significant subjectivity	Neither	Non-listed, with safeguards
	Material to the financial statements	Not material to the financial statements								
Valuation does not involve significant subjectivity	Non-listed, with safeguards	Listed and non-listed, with safeguards								
Valuation involves significant subjectivity	Neither	Non-listed, with safeguards								
Corporate finance services	Self-review and advocacy threats may be created if a firm ✓ Assists an audit client in developing corporate strategies. ✓ Identifies possible targets for the audit client to acquire. ✓ Advises on disposal transactions. ✓ Assists in raising finance. ✓ Provides structuring advice. Factors affecting the existence and significance of any threat include: ✓ The degree of subjectivity involved									

	✓ Whether the outcome will have a material impact on the financial statements ✓ Whether the effectiveness of the corporate finance advice depends on a particular accounting treatment.
Safeguards	Where services can be provided: ✓ Use professionals who are not audit team members to perform the service. ✓ Have an appropriate reviewer who was not involved in providing the service review the audit work or service performed Prohibited services ✓ Corporate finance services that involve promoting, dealing in, or underwriting the audit client's shares ✓ Corporate finance services where: ▪ the effectiveness of the advice depends on a particular accounting treatment or presentation in the financial statements ▪ the audit team has reasonable doubt as to the appropriateness of the accounting treatment, and ▪ the outcome will have a material effect on the financial statements
Legal services	✓ Providing legal services to an audit client might create a self-review and advocacy threat ✓ Legal services can only be provided by legally trained, or authorized, personnel. The firm should consider: ✓ The materiality of the matter in relation to the financial statements ✓ The complexity of the legal matter and the degree of judgment necessary.
Safeguards	Where services are provided, the firm should ✓ Use professionals who are not audit team members to perform the service. ✓ Have an appropriate reviewer who was not involved in providing the service review the audit work or service performed. ▪ A partner or employee of the firm must not act as general counsel for an audit client ▪ A firm shall not act in an advocacy role for an audit client when the amounts involved are material to the financial statements
Advocacy threats	Promoting the position of a client or representing them in some way would mean the audit firm is seen to be 'taking sides' with the client ▪ Representing the client in court or in any dispute where the matter is material to the financial statements. ▪ Negotiating on the client's behalf for finance ▪ Loan of personnel from an audit firm to an audit client ▪ Providing valuation services to an audit client ▪ Providing tax services to an audit client.
Intimidation threats	Actual or perceived pressures from the client, or attempts to exercise undue influence over the assurance provider, create an intimidation threat. ▪ Fee dependency ▪ Gifts and hospitality ▪ Family and personal relationships ▪ Recruitment services ▪ Employment with an audit client ▪ Litigation between the audit firm and client.

Conflict of Interest

A conflict of interest arises when the same audit firm is appointed for two companies that interact with each other, for example:

- ✓ Companies which compete in the same market
- ✓ Companies which trade with each other

A conflict of interest may create a threat to the fundamental principles of objectivity and confidentiality.

- A professional accountant provides a professional service related to a particular matter for two or more clients whose interests with respect to that matter are in conflict; or
- The interests of a professional accountant with respect to a particular matter and the interests of the client for whom the accountant provides a professional service related to that matter are in conflict.

Example

- Providing a transaction advisory service to a client seeking to acquire an audit client, where the firm has obtained confidential information during the course of the audit that might be relevant to the transaction.
- Providing advice to two clients at the same time where the clients are competing to acquire the same company and the advice might be relevant to the parties' competitive positions.
- Providing services to a seller and a buyer in relation to the same transaction.
- Preparing valuations of assets for two parties who are in an adversarial position with respect to the assets.
- Representing two clients in the same matter who are in a legal dispute with each other, such as during divorce proceedings, or the dissolution of a partnership.
- Advising a client on acquiring a business which the firm is also interested in acquiring.

It may be perceived that the auditor cannot provide objective services and advice to a company where it also audits a competitor.

Professional accountants should always act in the best interests of the client. However, where conflicts of interest exist, the firm's work should be arranged to avoid the interests of one being adversely affected by those of another and to prevent a breach of confidentiality.

In order to ensure this, the firm must disclose the nature of the conflict to the relevant parties and obtain consent to act.

The following additional safeguards should be implemented

- ✓ Separate engagement teams (with different engagement partners and team members) who are provided with clear guidance on maintaining confidentiality.
- ✓ Review of the key judgments and conclusions by an independent person of appropriate seniority.

Measures which should be taken to reduce the threat of disclosure include:

- ✓ The existence of separate practice areas for specialty functions within firms.
- ✓ Procedures to limit access to client files
- ✓ Physical separation of confidential information including separate practice areas
- ✓ Signed confidentiality agreements by the engagement team members
- ✓ Specific training and communication

If adequate safeguards cannot be implemented (i.e. where the acceptance/ continuance of an engagement would, despite safeguards, materially prejudice the interests of any clients), or if consent is refused, the firm must end or decline to perform professional services that would result in the conflict of interest.

Professional Appointments- Professional Clearance

If offered an audit role, the prospective audit firm must:

- ✓ Ask the client for permission to contact the existing auditor (and refuse the engagement if the client refuses).
- ✓ Contact the outgoing auditor, asking for all information relevant to the decision whether or not to accept appointment (e.g. overdue fees, disagreements with management, breaches of laws & regulations).
- ✓ If a reply is not received, the prospective auditor should try and contact the outgoing auditor by other means e.g. by telephone.
- ✓ If a reply is still not received, the prospective auditor may still choose to accept but must proceed with care.
- ✓ If a reply is received, consider the outgoing firm's response and assess if there are any ethical or professional reasons why they should not accept appointment.
- ✓ The existing auditor must ask the client for permission to respond to the prospective auditor.
- ✓ If the client refuses permission, the existing auditor should notify the prospective auditor of this fact.

Independence and objectivity

If the assurance provider is aware, prior to accepting an engagement, that the threats to objectivity cannot be managed to an acceptable level, the engagement should not be accepted.

A lack of integrity may indicate risks such as

- ✓ Aggressive interpretation of accounting standards including window dressing of financial statements, management bias and inappropriate judgments.
- ✓ Weak control environment and possible override of controls.
- ✓ Intimidation of auditors.
- ✓ Criminal activities such as money laundering, fraud and breach of laws and regulations.
- ✓ Aggressive tax avoidance/evasion
- ✓ Unreliable management representations.

Money laundering (client due diligence)

The firm must comply with money laundering regulations which require client due diligence to be carried out. If there is any suspicion of money laundering, or actual money laundering committed by the prospective client, the firm cannot accept the engagement.

Resources

The firm should consider whether there are adequate resources available at the time the engagement is likely to take place to perform the work properly. If there is insufficient time to conduct the work with the resources available the quality of the work could be affected.

Risks

Any risks identified with the prospective client (e.g. poor performance, poor controls, unusual transactions) should be considered. These risks can increase the level of engagement risk, i.e. the risk of issuing an inappropriate report.

Fees

The firm should consider the acceptability of the fee. The fee should be commensurate with the level of risk.

In addition, the creditworthiness of the prospective client should be considered as non-payment of fees can create a self-interest threat.

Professional competence

An engagement should only be accepted if the audit firm has the necessary skill and experience to perform the work competently.

Reputation of the client

The audit firm should consider the reputation of the client and whether its own reputation could be damaged by association.

If there are any reasons why the firm believes it may not be able to issue an appropriate report, the engagement should not be accepted.

Custody of Client Assets 2023

The Professional Accountants while assuming custody of the clients' monies or assets shall:

- ✓ **Comply with the Fundamental Principles and Conceptual Framework to identify, evaluate and address threats;**
- ✓ Holding clients' monies or assets creates self-interest threats or other threats to compliance of fundamental principles such as professional behavior and objectivity;
- ✓ Always remain alert and keep clients' assets or monies separately from firm's or personal assets;
- ✓ Use clients' assets or monies for the purpose intended and with the written approval of the clients;
- ✓ Always be ready to account for clients' assets or monies and any incomes if generated such as interest, dividend, etc.; and
- ✓ Comply with the laws and regulations of the local jurisdiction relevant to assuming and accounting for such assets.

Requirements

The Professional Accountants shall assume custody of clients' assets or monies in accordance with provisions of laws and regulations of the local jurisdiction and also in conformity with the conditions mentioned in the engagement assignment.

While assuming custody of clients' assets or monies, the Professional Accountants shall:

- ✓ make enquiries about the sources of such assets; and
- ✓ verify whether all legal and regulatory requirements are appropriately complied with.

After taking custody of clients' asset or monies: Professional Accountant shall ensure that:

- ✓ all provisions of laws and regulations are appropriately complied with;
- ✓ clients' assets are kept separately and not mixed with personal or firm's assets;
- ✓ such assets of the clients will be used as intended by the client or in accordance with the terms and conditions of the engagement assignments; and
- ✓ books of accounts are appropriately maintained at all times for the safe custody of client's assets along with any incomes or gains, dividends etc. accrued or received thereof.

Investment in short- or long-term securities and bank deposits:

The professional Accountant shall first verify and evaluate the risks associated as follows:

- ✓ Whether local laws and regulations permit to assume clients' such investments by Professional accountants?
- ✓ Whether local regulatory authorities such as banks and financial institutions, Security Board of Nepal or Stock exchange etc. permit to assume the custody by Professional Accountant and also to receive the incomes or return on such investment by the Professional Accountant?
- ✓ If permitted to assume the custody of such investments, then proceed to fully comply with regulatory the requirements;
- ✓ Collect the returns like interest income, dividend, bonus etc.;
- ✓ Shall not mix up these assets or their incomes with Professional accountant or firm' own incomes or assets; and
- ✓ maintain up –to- date appropriate accounts and records to be made available with all up to-date information to clients on regular basis.

Cash and bank balances:

- ✓ The professional Accountant shall first verify and evaluate the risks associated as follows:
- ✓ whether local laws and regulations permit to assume cash and bank balances of the clients' in the name of Professional accountant?
- ✓ Verify the legality of earning of cash and bank balances of the clients and if found legal and also permitted by local laws and regulations, regulatory authorities and bank and financial institution then proceed to assume the custody; if not decline the engagements.
- ✓ If permitted to assume the custody of cash and bank balances, then proceed to provide safe custody of such assets but shall not mix up with the Professional accountant or firm's assets;
- ✓ make legal declaration that these assets are owned by the clients and the professional accountant has only professional services by assuming the safe custody of clients' such assets;
- ✓ open and operate bank account in the name of client as permitted and directed by the local regulatory authorities;
- ✓ collect client's monies or income earned on bank deposits such as interest, dividend on securities and other recoverable and deposit them in time into the clients' bank accounts;
- ✓ in case of foreign currency if any received then verify the source of income and if found legal then open a separate foreign currency bank account in the name the clients and deposit it in time;
- ✓ Professional accounts shall obtain monthly bank statement and reconcile them within seven days of the succeeding moth on regular basis;
- ✓ In case of occurrence of any error the professional accountant shall ensure its prompt remedy;
- ✓ Before making any disbursement out of these cash or bank balances the Professional accounts shall ensure that such disbursements are having prior approval of the clients;

- ✓ In case of disbursement of Professional accountant's fees and expenses if any, the professional accountant shall ensure that these disbursements are having prior approval of the client and disbursed time;
- ✓ maintain up –to- date appropriate accounts and records to be made available with all up to-date information to clients on regular basis;
- ✓ accounts and records maintained shall be preserved for the period as required by the local laws and regulations and the engagement assignments and also be made available for inspection if any at their requirement in time.

Second Opinion

Providing a second opinion to an entity that is not an existing client might create a self-interest or other threat to compliance with one or more of the fundamental principles.

A professional accountant might be asked to provide a second opinion on the application of accounting, auditing, reporting or other standards or principles to specific circumstances or any transactions by or on behalf of company.

A threat, for example, a self-interest threat to compliance with the principle of professional competence and due care, might be created if the second opinion is not based on the same facts that the existing or predecessor accountant had, or is based on inadequate evidence.

Examples of actions that might be safeguards to address such a self- interest threat include:

- With the client's permission, obtaining information from the existing or predecessor accountant
- Describing the limitations surrounding any opinion in communications with the client.
- Providing the existing or predecessor accountant with a copy of the opinion.

When Permission to Communicate is Not Provided

If an entity requesting a second opinion from a professional accountant refuses to allow communication between the accountant and the current or previous accountant, the accountant must assess whether it is appropriate to proceed with providing the requested second opinion.

Fees and other types of Remuneration

The level of fees quoted might impact a professional accountant's ability to perform professional services in accordance with professional standards.

A professional accountant can set a fee based on judgment. Quoting a lower fee than others is not inherently unethical, but if the fee is too low to ensure compliance with professional standards, it poses a self-interest threat to the principles of professional competence and due care.

Factors that are relevant in evaluating the level of such a threat include

- Whether client is fully informed about the terms of the engagement, including the fee structure and the specific professional services covered

- Whether the level of the fee is set by an independent third party such as a regulatory body.

Examples of actions that might be safeguards to address such a self- interest threat include

- Adjusting the level of fees or the scope of the engagement.
- Having an appropriate reviewer review the work performed

Contingent Fees

For Assurance services – Prohibited

For non- assurance services – can be taken after applying safeguards

Contingent fees might create threats to compliance with the fundamental principles, particularly a self-interest threat to compliance with the principle of objectivity, in certain circumstances.

Examples of actions that might be safeguards to address such a self- interest threat include:

- ✓ Having an appropriate reviewer who was not involved in performing the non-assurance service review the work performed by the professional accountant.
- ✓ Obtaining an advance written agreement with the client on the basis of remuneration.

Referral Fees or Commissions

Referral fees and commissions includes:

- ✓ A fee paid to another accountant for securing new client work, while the existing accountant retains the client for general services but refers them for specialized services beyond their scope.
- ✓ A fee received for referring a continuing client to another professional when the existing accountant lacks expertise in the specific service needed.
- ✓ Commission received from a third party (e.g., software vendor) for facilitating the sale of goods or services to a client.

Examples of actions that might be safeguards to address such a self- interest threat include:

- ✓ Obtaining client consent in advance for commission arrangements related to the sale of goods or services from another party can mitigate self-interest threats.
- ✓ Revealing to clients any referral fees or commissions involving another accountant or third party for recommending services or products can help mitigate self-interest threats.

Inducements including gifts and hospitality inhibited by Laws and Regulations

Professional accountants must understand and comply with laws regarding bribery and corruption, ensuring adherence to restrictions on offering or accepting inducements in specific situations.

Inducements Not Prohibited by Laws and Regulations

Even if not prohibited by laws, offering or accepting inducements may still pose threats to compliance with fundamental principles.

Inducements with Intent to Improperly Influence Behavior

A professional accountant must not provide or encourage offers of inducements intended to improperly influence the behavior of the recipient or others, as perceived by a reasonable and informed third party.	A professional accountant must refrain from accepting or promoting inducements aimed at improperly influencing the behavior of the recipient or others, as determined by the accountant or a reasonable and informed third party.
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Improper influence, in the context of inducements, occurs when it leads an individual to behave unethically. This influence can target either the recipient or another individual associated with the recipient. Professional accountants use fundamental principles as a reference to determine what constitutes unethical behavior, applying them to themselves and others if necessary.

Assessing the intent to improperly influence behavior demands professional judgment. Relevant factors to consider may include the context, relationships involved, the nature of inducements, and the overall impact on ethical conduct.

- ✓ The nature, frequency, value and cumulative effect of the inducement
- ✓ Timing of when the inducement is offered relative to any action or decision that it might influence.
- ✓ Whether the inducement is a customary or cultural practice in the circumstances, for example, offering a gift on the occasion of a religious holiday or wedding.
- ✓ Evaluate if the inducement, like offering or accepting lunch in connection with a business meeting, is ancillary to the professional service, considering its appropriateness within the context of the professional relationship.
- ✓ Whether the offer of the inducement is limited to an individual recipient or available to a broader group.
- ✓ The roles and positions of the individuals at the firm or the client offering or being offered the inducement.
- ✓ Consider whether the professional accountant is aware or has reason to believe that accepting the inducement would violate the client's policies and procedures
- ✓ The degree of transparency with which the inducement is offered.
- ✓ Whether the inducement was required or requested by the recipient.
- ✓ The known previous behavior or reputation of the offeror

Safeguards

Examples of actions that might be safeguards to address such threats include

- ✓ Informing senior management of the firm or those charged with governance of the client regarding the offer.
- ✓ Amending or terminating the business relationship with the client.

Inducements with No Intent to Improperly Influence Behavior

Gifts should be clearly trivial and inconsequential. However, the cumulative effect of immaterial gift may be influential to professional accountants, then should not be accepted.

Examples of actions that might eliminate threats created by offering or accepting such an inducement include:

- ✓ Declining or not offering the inducement.
- ✓ Delegate professional service provision to a third party only if the accountant has no reason to believe that the delegated individual would be improperly influenced or perceived as such.
- ✓ Being transparent with senior management of the firm or of the client about offering or accepting an inducement.
- ✓ Record the inducement in a log overseen by senior management, an ethics compliance individual, or the client to ensure transparency and monitoring.
- ✓ Having an appropriate reviewer, who is not otherwise involved in providing the professional service, review any work performed or decisions made by the professional accountant with respect to the client from which the accountant accepted the inducement.
- ✓ After receiving an inducement, donate it to charity and disclose the donation to senior management or the individual who offered the inducement.
- ✓ Reimburse the cost of received inducements, such as hospitality expenses
- ✓ Promptly return accepted inducements, such as gifts, without delay.